

AMAZON.COM INC AMZN

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by

MadDog2020

2022 2023

Price:	3,310.00	EPS	0	0
Shares Out. (in M):	507	P/E	0	0
Market Cap (in \$M):	1,681K	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0

Description

Quick Pitch: Amazon stock is attractive because it trades at ~30x my estimate of normalized, trailing earnings with a long growth runway. The business has not traded at this level at any point in the last five years. I believe the de-rating has occurred because Amazon is engaged in another investment cycle that is depressing the free cash flow generation of the business. I have seen the market misunderstand this historically and my Amazon investment history has coincided with similar investment cycles.

Company Background

Amazon is a business we all know on some level given its role in our everyday lives. The breadth of products and services offered by the company continues to rapidly expand and deserve a quick refresher on how the pieces fit together. The unifying theme that has enabled Amazon to reach its massive scale today is the company's willingness to re-invest in new products or services that enhance what Amazon can offer customers. The 2020 Annual Shareholder letter highlights this way of thinking as Amazon aims to optimize decisions to ensure long term value creation for all parts of its ecosystem (customers, employees, 3P sellers), while earning attractive returns on capital.

Amazon has unlocked a huge amount of value through a few key decisions. Early on, the company rapidly expanded selection on Amazon.com by opening to third party sellers. By turning Amazon.com into a website where the company not only sold its own inventory, but also acted as a marketplace where other sellers could list products (like eBay), Amazon became the leading ecommerce platform in the US and Europe. The company offered a wider assortment of goods to customers, as well as a superior customer experience by investing in a logistics network that has reset customer expectations around the speed of delivery for e-commerce.

Amazon took its next major step when it rolled out Amazon Prime, an annual subscription that provided free shipping to customers on every order, as well as other ancillary benefits over time including Prime Video. This decision was pivotal as it massively increased customer loyalty and led the company to rapidly innovate its logistics network to eventually enable two-day delivery on millions of products while still generating a profit. Today, Amazon has more than 200 million Prime subscribers who spent ~\$25b (in 2020) on Prime related subscriptions.

Amazon introduction of robust seller tools, particularly its Fulfillment by Amazon (FBA) offering, to third party (3P) sellers was the next layer of innovation. These services allowed anyone in the world to sell on Amazon and leverage Amazon's infrastructure (think distribution centers and last mile logistics) to grow their business and improve their service offering to end customers. FBA allowed sellers to ship product directly to Amazon's warehouses where they could store inventory and take advantage of the fact that consumers increasingly preferred to purchase products eligible for Amazon's Prime 2-day delivery guarantee. Amazon has continued to introduce new third party seller services that have led to Amazon's 3P business to account for a larger portion of GMV than its 1P business. Another benefit of building a marketplace business within Amazon is that it naturally created the opportunity for a large advertising business as 3P sellers look to promote their products within the Amazon ecosystem. The "Other" segment, which is comprised primarily of ad revenue, is the fastest growing part of the business today.

The final piece of Amazon that is worth discussing is Amazon Web Services (AWS). Amazon incubated this online infrastructure platform going back to 2000 when Amazon started to focus on building scalable infrastructure to allow its developers to run its rapidly growing e-commerce business more effectively, as well as think about building e-commerce platforms for other retailers. The team realized that the tools it built were likely to be in demand from start-ups around the globe. The company rolled out its first commercial product in 2006 that allowed customers to buy cloud compute capacity on-demand. AWS has added thousands of new services over the last 15 years and is now the leading provider of cloud infrastructure to enterprises and governments. The AWS portion of Amazon can be looked at in an independent way and our best guess is that this business will eventually be spun out and operated as a standalone company.

The graphic below does a nice job of showing how the company's core business units fit together.

Figure 1. Amazon Business Map

Amazon Business Model Map

Amazon runs a platform business model as a core model with several business units within. Some units, like Prime and the Advertising business, are highly tied to the e-commerce platform. For instance, Prime helps Amazon reward repeat customers, thus enhancing its platform business. Other units, like AWS, helped improve Amazon's tech infrastructure.



My Amazon Investment History

I originally bought shares of Amazon in the spring of 2014. Amazon was and is a tricky business to model because of the limited segment disclosures (especially before AWS was broken out) and because of the large investment cycles that they periodically go through. As a result, I've always viewed an investment in Amazon as more art than science. When I originally bought shares in 2014, I used a basic framework to value the business, which had two key, yet simple assumptions – Amazon had two primary businesses at the time, 1P retailing and 3P retailing. While Amazon was unprofitable on a GAAP basis (due to reinvesting through the income statement) you could approximate the underlying margins of these businesses using similar, more mature comps. This started with the idea that digital businesses were inherently more efficient than their analog equivalents. As a result, I looked at the best in class for each of the two parts of Amazon's business. For the 1P business, I used Walmart's EBIT margin (5.5%) and for the 3P business I used eBay's EBIT margin (20%). This led to a rough estimate of the underlying profitability of the (then) two pillars of Amazon's business despite management aggressively (and appropriately) reinvesting in future growth.

Amazon Business Update

Amazon's original 1P business has grown substantially over the past five years, with revenue increasing from \$91.4b to \$238.9b. A 2.6x increase over five years is nothing to sneeze at, but most of the incremental value creation has occurred from three other components.

First, Amazon has increasingly copied the Costco playbook, whereby traditional retail goods are sold at lower margins and the primary profits are generated through membership fees. Amazon's twist on this model has been to use its scale advantages to instead provide a variety of different services to not only consumers but also to its third-party sellers. As a result, the profitability of the core retail business is increasingly driven by these 3P services, which generated just over \$100b of commission revenue to Amazon over the past twelve months. These 3P services carry a much higher margin than the 1P business and enable the third leg of the retail stool, advertising.

Advertising is the biggest new area of value for Amazon. Like the AWS playbook for the first 10 years of its existence, Amazon has deliberately buried the ads business in a line item called "Other." This means making some educated guesses about the ultimate profitability of the business. However, we do know from the footnotes that the ads business is the majority of the Other line item and that Other as a whole grew by almost 70% over the past year. This has resulted in a business that generated ~\$31b in revenue over the past twelve months and should continue to grow at a high rate for the foreseeable future. Understanding the steady state margins for this business is important for understanding future value.

The two ad platforms operating at Amazon scale are Facebook and Google. Facebook has generated EBIT margins as low as 38% but typically well into the 40s in modern history. During the past three years Google's core business has generated low 30s EBIT margins; however, EBIT margins have been as high as 40% in the modern era. The interesting part in thinking about Google as a comp for Amazon's ad business is that Google must pay to acquire traffic, in the form of Traffic Acquisition Costs (TAC), and Amazon does not incur these costs for delivering ads on its own website. Google spends ~35-40% of its COGS on TAC. In thinking about what kind of margin Amazon could generate on its ad business, a comparison to both Google and Facebook suggests that Amazon should be able to achieve a minimum of 30% + EBIT margins over time.

Lastly, AWS has emerged as a behemoth. Although it has been discussed at Amazon for the past 15 years, it has become the largest cloud computing company in the world. This has resulted in Amazon breaking out AWS into its own segment. Some quick numbers – AWS generated over \$57b in sales over the past twelve months with an average EBIT margin just under 30%. It did this while growing at an average rate of 34%. I expect AWS to continue to take share in the overall cloud market and operate near current levels of profitability.

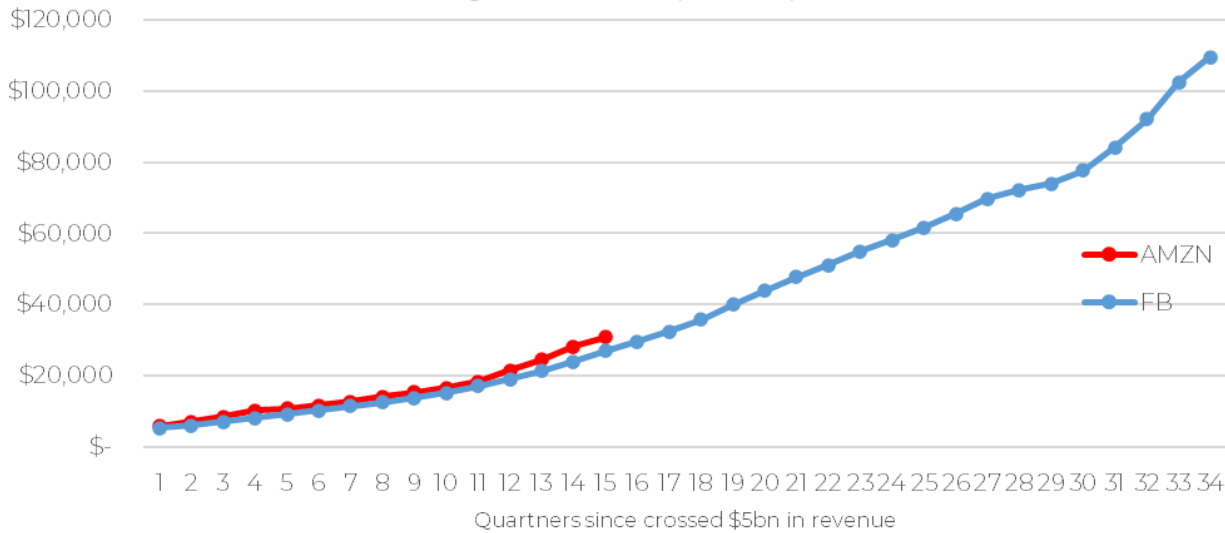
Today's price is undemanding. Using the margin assumptions described above and estimated growth rates for each part of the business (see Exhibit A), I believe the stock will generate a ~20% annualized return. This return assumes no multiple expansion from today's valuation, which arguably is conservative given how depressed the current multiple is relative to history.

Investment Risks

- § 3P margins are driven by advertising growth durability: Amazon's advertising platform has experienced incredible growth over the past four years and almost certainly carries the highest margin of the business lines within the 3P segment. The advertising business generated ~10x the revenue over the TTM vs four years earlier. At some point, Amazon will need to balance the conflict between pushing monetization and optimizing the customer experience. Google and Facebook growth suggest that this can be managed effectively if the overall ecosystem grows at a rate that allows ad load to only modestly increase because ad inventory growth and pricing increases can drive the majority of the growth. Below is a chart that shows the trajectory of Amazon's ad growth vs Facebook starting from the point when both crossed \$5b of annual ad sales respectively.

AMZN vs. FB | TTM Advertising Revenue

Starting from \$5bn base (\$millions)



- § Capital Allocation: Amazon has re-invested every dollar since its IPO in 1997 to grow the business. Jeff Bezos is widely viewed as the greatest capital allocator of the last three decades, but he has stepped away from the business day-to-day. A bet on Amazon today assumes that the company will continue to excel at directing resources to projects that generate attractive returns. Andy Jassy clearly has a proven track record, having led AWS since its creation in 2003, but he is new to the CEO role, so his ascension is not without risk. I will closely monitor Amazon's decisions but given the long duration nature of the bets it will be difficult to quickly detect mistakes.
- § Regulatory hurdles: Amazon (as well as its "big tech" peers) over the last two decades has benefitted from being able to purchase innovative businesses before they become a real nuisance from a competitive standpoint. This will be less effective going forward because regulators have become less willing to allow consolidation among tech businesses. Amazon is best positioned among its peers to deal with this because of the capital-intensive nature of its two key business lines (e-commerce and Cloud Computing). Both verticals require huge amounts of capital and scale to effectively compete.

Exhibit A – Valuation

Valuation and Returns

Assumptions:

	Downside	Base	Upside
1P 4 yr Growth Rate	2%	5%	15%
3P 4 yr Growth Rate	15%	25%	35%
AWS 4 yr Growth Rate	15%	25%	30%
1P EBIT Margin	1%	2%	2%
3P EBIT Margin	20%	30%	35%
AWS EBIT Margin	25%	30%	30%
Share Dilution	1.5%	1.5%	1.5%
Exit Multiple	25x	30x	35x

Output:

Implied LTM Multiple	44.0x	30.6x	25.2x
Implied 2025 Price	\$3,090	\$7,494	\$13,203
MOIC	0.9x	2.3x	4.1x
IRR	(1.4%)	23.1%	41.9%

Historical YOY Growth

	1P	3P	AWS
Q1 2017	14.6%	38.8%	42.7%
Q2 2017	16.6%	41.5%	42.1%
Q3 2017	28.2%	45.6%	41.9%
Q4 2017	35.1%	44.8%	44.6%
Q1 2018	36.7%	56.0%	48.6%
Q2 2018	32.5%	51.5%	48.9%
Q3 2018	20.4%	44.3%	45.7%
Q4 2018	10.8%	34.3%	45.3%
Q1 2019	8.3%	26.4%	41.4%
Q2 2019	12.4%	28.3%	37.3%
Q3 2019	17.8%	31.1%	34.7%
Q4 2019	13.1%	32.5%	34.0%
Q1 2020	22.1%	31.6%	32.8%
Q2 2020	40.4%	44.8%	29.0%
Q3 2020	32.9%	49.0%	29.0%
Q4 2020	40.9%	54.2%	28.0%
Q1 2021	37.6%	59.5%	32.1%
Q2 2021	15.5%	43.9%	37.0%
Q3 2021	4.0%	24.9%	38.9%

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Amazon is intentionally increasing their capex spend, which will lead to an intentional reduction in operating leverage. The primary reason for their increased capital investment is that demand outstripped supply which led to fulfillment center utilization approaching 100% last year. If Amazon had reached the end state, that would be a great outcome but given their overall levels of growth, that is clearly not the goal. Andy Jassy talked about this in the Q3 call and as a result, I view this as clear evidence that they're entering into the latest investment cycle. I expect the stock to be repriced once this increased capex/capacity is absorbed and Amazon returns to achieving higher levels of operating leverage. We've seen this time and time again from Amazon, the idea of converting variable costs into fixed costs,

and in my opinion, this is the latest example of it. See below for Jassy's exact comments on the Q3 call.

Q4's guidance also includes an estimated \$1 billion year-over-year negative impact from lower fixed cost leverage in our fulfillment network. Recall that we saw very high unit volumes in Q4 of last year, and then our fulfillment centers were running at close to 100% capacity as we work to add physical capacity to match demand. As we are now back to having a more normal Q4 fulfillment capacity and have even brought forward 2022 capacity into 2021, our operating leverage dropped compared with last Q4.

Our revenue guidance for the fourth quarter reflects the current trends we are seeing, including the lapping of our Prime Day event in October of last year. We're dealing with labor risks and supply chain interruptions like many other companies, which increases our range of potential outcomes in Q4. Consumers have started to return to pre-pandemic spending patterns, increasing their mobility and spending more on travel and services in Q2 and Q3, but we are appreciative that the incremental demand that came our way during the pandemic has remained, and that we are continuing to grow on top of that.

We also had to make this a great holiday season for customers. Last quarter, we discussed the physical capacity we were adding to meet customer demand. We made strong progress in Q3 to build and open new facilities. And as a result, for the first time since the pandemic began, we are no longer capacity constrained for physical space in the network. September alone, we brought online more than 100 new buildings in the United States, including fulfillment centers, sort centers and last-mile delivery stations. For the year, we expect our 2021 footprint additions to exceed last year's build-out, which was also significant.

To put this in perspective, we are on track to double our fulfillment network over the 2-year period since the pandemic's early days. A lot of this increased capacity supports our FBA sellers. Third-party sellers and the products they offer remain an important strength of our offering for customers, representing 56% of total paid units sold in Q3. That's up from 54% in Q3 of last year. And we're working with these partners, most of whom are small and medium-sized businesses, to build an even stronger offering.

Messages

Subject Agree x 2
Entry 01/11/2022 02:18 PM
Member WinBrun
 agree.

15x E2023 EBITDA--EBITDA grew from \$15.5B in 2017-to \$70B in 2021. EBITDA should grow 15% annualized--or more-through 2025. Costco is 21x E2023 EBITDA. EBITDA projected to grow 5% p.a. through 2024.

20% top-line growth in retail through 2025-retail will generate \$800B in sales--3x sales=\$2.4B (10% pre-tax margins: \$80B in profit x 30--seems reasonable if ads and marketpalce grow and there is long runway for continued growth). can generate about 12% annualized without accounting for AWS. At 15x E2022 revenue, AWS is worth ~\$1.1T right now. conceivable AWS is would be valued at \$1.5T is spun-today, depending on market conditions. is there a more dominant cloud business so early its growth in the world? many pure-playcloud multiples are still above 20x.

Ads could be a \$100B business with \$30B in EBIT in five years. depending on how long that business can sustain growth (ads might be worth \$1T alone by 2026).

Amazon Business is real gem--was annualizing \$25B in sales last year with ~50% from 3P. This probably becomes \$100GMV business--almost never discussed.

interesting to consider the how much expense is not generating any revenue or profits--Alexa--is a big one. 10,000 people working on it. entertainment is huge source of spend--to drive Prime--do not expect them to stop there--but they probably could cut in half and have no long-term impact on Prime.

I think your 1P retail margins are probably low.

several potential non-fundamental catalysts-1-stock split; 2-separate AWS; 3-perception change-re investment cycle (more fundamentals-based-the stock has tended to trade very well when FCF is growing).

near-term overhang re investment cycle/rotation away from non-FCF generating businesses or business with large capital return (move to Apple/Goog/FB)/ huge 2020 (up ~70%) and worry on tough upcoming Q1----all weighing on this. Amazon returns tend to come quick and fast--not unusual to see this up 50% in a year. would not surprise me if that happened in a market that was not up that much. I think Amazon wins market share in with improved logistics and inflation.

best set-up in awhile. buying one of the widest moat businesses in the world at 15x 2023 EBITDA seems attractive. logistics moat getting wider by the day. in practice, I think this is most insulated from regulatory risk of all big tech.

I used to feel that I have to be missing something--because there is no value to add on a name this big, this well-covered, this well-liked-how could it be not priced efficiently. then I watched Apple go to \$3T--same could happen here. hard part on AMZN is to do obvious thing (buy it/get over yourself on need to be original) and then hold it through the invariable negative regulatory headlines and investments cycles where there are no profits or buybacks to support the stock.

Subject Re: Agree x 2
Entry 01/11/2022 02:41 PM
Member SpocksBrainX

I used to feel that I have to be missing something--because there is no value to add on a name this big, this well-covered, this well-liked-how could it be not priced efficiently.

fwiw, you might be interested in:

<https://www.morningstar.com/articles/1025890/hamish-douglass-on-the-hunt-for-super-compounding-stocks>

Douglass: Jeff, this is just a really interesting question and a really interesting observation on markets, and it shows from time to time markets are inefficient. So, your question is why can the market be so wrong, sometimes, on some of the world's most researched companies. You'd expect if they're the largest companies and have the most people following them, they're the companies, if any, are going to be efficiently priced and it's going to be some obscure small cap or something that wouldn't be efficiently priced. But that's just not what we observe. We have earned some extraordinary returns in some of the world's largest companies. We bought, in 2014, Microsoft at \$28 a share. We bought Apple when it was \$94 a share. We've made enormous monies in Alphabet and Visa and Mastercard and Facebook, and I'm only picking the super large-cap ones. I could give you other companies that aren't large caps were to happen.

So, why is it that sometimes something happens in a company? A good example I would give you: Microsoft, when we bought it. They clearly missed the shift to mobile. And people thought that Windows operating system was dead and was being priced for that. And we saw something very different of what was going to happen around their office franchise and ultimately to the cloud. And actually, the stickiness of the operating system in terms of how difficult it would be to get the operating system out of enterprise here. And I would argue maybe something similar is happening at SAP at the moment--is they're shifting away from an on-premise model with their clients to a cloud-based model, which is disruptive in the short term.

And so, why does this happen from time to time? And I would say the real issue when these events happen, why markets misprice is something I would call is duration arbitrage here. The market then gets very good at assessing what's likely to be transpiring, and I would say often in the next three to six months, but really isn't focused what will change in maybe three to five years. And Apple, which was just such a great point in case when we were doing it, the market was incredibly focused on the iPhone cycle and the sales that were happening in the next few quarters. And they were in between upgrade cycles and the share price was coming down. And we were very focused notwithstanding there was volatility in the short-term iPhone cycles that the installed base was increasing and our view as recurring services revenues were increasing as a share of the company as a whole, and in five years would become material and that would lead to a large re-rating of Apple as that happened over time, notwithstanding we saw that the market saw what was happening and likely iPhone sales in the short term. And the reality is, we were right on that and the market was, because they were focused short term, just weren't able to see the longer term. And I would say occasionally--and it's important, occasionally--when the market is looking at the six-month view but something fundamentally could be changing in a five-year view, we occasionally see a very different picture, because we're looking through different lenses. We're looking through a telephoto lens and the market is looking through a standard lens. And sometimes a picture is quite different between the cameras you're looking at the same stock through. And I would say there, there are actually very, very few investors who are really taking that five-year view. People talk about it, but their behavior is very, very different.

Subject	also agree
Entry	01/11/2022 03:00 PM
Member	rjm59

seems like such a no brainer to me I worry that I am missing something actually. two things I'd point out though is there has been a massive talent exodus at the senior level here recently that I don't love. Also I'd note that it is amazing how much money the company is "wasting" (perhaps to just avoid printing enormous profits and cash flow during a huge pandemic crisis?) but all the obvious non economic money being put into various initiatives is pretty amazing, which could be bearish or bullish depending on how you look at it I guess.

Subject	devil's advocate
Entry	01/11/2022 03:32 PM
Member	Nails4

Just playing devil's advocate from the perspective of someone that has followed e-com globally for many years. I don't have a strong opinion on AMZN.

What I've observed globally is that e-com is a VERY VERY DIFFICULT business that can be flanked. No 1P heavy platforms can make much of a margin LT. On the other hand, 3P platforms are vulnerable to disruption. Selection + price + logistics is not necessarily the dominant strategy. Examples can be most easily found in China, or increasingly in Southeast Asia and Latam.

A few risk factors I'll throw out there for AMZN:

- 1) Should we be worried about new modes of e-commerce, particularly livestreaming or social? Clearly this has been very disruptive in China. I see a lot of people investing here, including Youtube and Tiktok. Clearly very early... but is this a flank where AMZN is very poorly positioned?
- 2) Does AMZN actually make money in ads? Or will they be forced to invest all of that "incremental" revenue in user retention, ecosystem, traffic acquisition, pricing, or other things? One mistake I've made is thinking JD will have increasing margins due to "high margin" ad revenues ramping. So far it has not really happened because competition is very fierce and they have to reinvest in the business. In AMZN's case, it will be in money losing things like Prime Video, maybe Fresh, maybe 1P products, maybe Alexa, maybe they share the promotional costs of certain merchants, more traffic acquisition spend, etc.

Either case, I'm not sure it's fair to assess ads as an incremental profit source, rather than being inextricably linked to e-com. In reality, higher profits in ads mean lower profits everywhere else.

How confident are you that 1P is profitable all in? Are you certain it's not just a big loss leader EBIT-wise and will remain so forever?

Of course you can easily argue most of the value here is in AWS. I can't disagree w/ that.

Subject	Re: devil's advocate
Entry	01/11/2022 03:39 PM
Member	surf1680

(1) Obviously, Jeff Bezos doesn't care anymore. He is kind of busy with rocketships, hot women, cowboy hats, testosterone supplements, dime store sunglasses, and crotch enhancing pants. Don't underestimate a shift in culture as Jeff transistions to other things (see above). Result: lowers roic, more mistakes (i.e. twitter acquisition?! That electric car investment?)

(2) Advertising erodes the trust in the Amazon store and customer reviews. FB and Google don't actually hold inventory.

(3) Absurd valuation. Walmart is expensive, too, but an investment in Walmart earns you \$4 for every \$100 invested (growing 5% per year). You earn \$1 for \$100 invested in Amazon. If you estimate that Amazon's earnings will grow 50% per year, it will take 7 years for the two investments to book the same amount of earnings. If you assume Amazon grows earnings by 10%, then you're looking at 42 years before they match up.

(4) Amazon makes a mockery of accounting. They expense stuff that should be capitalized so investors say, "oh well don't worry about that high p/e." They do nothing nice for shareholders (no buybacks, no dividends). IF they stop reinvesting all their profits who's to say that they will actually have any leftover \$ for shareholders? That high margin aws tech stuff is about as reliable over multiple decades as any other kind of tech stuff.

Subject	Re: also agree
Entry	01/11/2022 03:55 PM
Member	WinBrun

1-some of the money is spent on new businesses that just haven't been commercialized or monetized yet. only real failure has been Fire Phone. too early on the home robot family of products/Alexa/and some of the other hardware products. a lot of the investment could also be seen as strategic to retail---Project Kuiper is good if it connects more homes to the internet so they can buy from Amazon/entertainment investments (Wonderly/Audible/MGM) all done to make the Prime membership more valuable. I think Alexa could end up being a very large and highly monetizable platform---but if for no other reasons than marketing, it creates awareness, familiarity and a degree of trust in Amazon brand.

2-I think my main worry is something that negatively impacts marketplace---I'm not sure what that would be---but 3P is key to the story because it has better margins and drive ads business. I don't worry about competition/technology risk/industry economics---all favorable. At scale, being a dominant mass market retailer that can win on some combination of price/selection/convenience creates incredibly durable and high return on capital business-if the business is well-managed, knows its customer, and never stops investing and innovating to deliver on the core customer value proposition.

Just on selection, internet structurally is superior (no physical shelf space limitations-not bound by physical real estate other than fulfillment capacity) and retailers are not gated by 1P inventory---online retailing is structurally advantaged on selection--Amazon is best positioned there. So if some growing base of consumers value selection and some percentage of retail spend goes to retailer with best selection (category-by-category), and more people are going to shop online, you can underwrite a very long tail of retail purchase volume happening on Amazon. If you go category by category (how much apparel spend is won by offering low selection/competitive price)-you can build a strong bottom-up case for very durable and defensible category market share for a long time in major categories of retail that are going to move online. the improvement in Prime value and logistics/delivery speed is cementing that category leadership. Could do a similar analysis for convenience--Amazon is going to win on convenience on two layers-online is more convenient for many because you don't have to leave your house/speed of delivery is core driver of convenience--you get it fast. It boggles the mind to think about the fact that Amazon has been investing here for 20+ years--no idea how any retailer is going to beat them on convenience online. Walmart is going to have a durable grocery business-but one wonders what the cost of that is long-term-i.e. 50% of the business is grocery-does that mean that 50% of the resources of the company are devoted to grocery? Costco is incredible business on so many levels--but not going to be competitive with Amazon online.

Subject	Re: Re: devil's advocate
Entry	01/11/2022 04:08 PM
Member	WinBrun

1-first point is silly.personal snide toward Bezos is petty and dumb. so many haters. he built TWO of the greatest companies in the world. he owns \$160B in stock. He is idelibly linked to the business. he is executive chairman. he will use Amazon stock to help fight climate change which takes a lot of money. you should read every one of his letter from 1997 and and see if it sounds like a person who will stop caring. he cares.

Second, Andy Jassey is a great CEO who can run any tech company in the world. Nice to have the architect of AWS in charge. He is hyper-competitive, wants to win and wants to prove himself. sometimes CEO transition is a good thing. I would not be suprised if does what Tim Cook or Ruth Porat and has some differnet point of view on capital allocation (if there are fewer high return internal investments).

A great culture should survive any one CEO. I suspect that happens here. Amazon has its issues (like any big company)--but is is customer-obsessed.

2-There is not one shred of evidence that Advertising erodes trust. sales grow. Prime members grow. spend per customer grows. marketplace is growing. that is a feeling totally unsubstantiated by any facts. brand still ranks as one of the most trusted in the world. it very possibly helps customer make choices on unknown products--and advertising dollars reinvested to provide more convenience and delivery speed.

3-you are basically getting retail for free. that is a good value. I think you are extrapolating from two years of investment when AMZN doubled capacity and depressed FCF (which is exactly what the author said is creating the entry point)

4-they do nothing nice for shareholders except build \$1.6T of value from zero in 27 years.

5-where do they make a mockery of accounting? what specifically?

Subject	Re: devil's advocate
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Entry 01/11/2022 04:19 PM
Member WinBrun

1-Amazon combine 1P and 3P is advantage. 1P allowed business to build end-to-end logistics (more advanced and scale than any retailer in the world). 3P then benefits (i.e. FBA/sellers want access to Prime). Different than Baba/JD. I think Amazon's 3P moat is basically impenetrable if they continue on the same course—(obviously have to treat sellers well and continue to invest in services for sellers). 3P gets disrupted by cannot control costs/customer experience. Amazon started with 1P and built out over decade—then layer on marketplace. Prime also provides stickiness that I don't believe is true in China. Also, this is among largest markets in the world—Amazon can do well, Shopify will do well—will be no where close to winner take all.

2-Amazon will make money on ads at \$50B. I don't think they have to invest in anything that you noted—who around them has an offering that is remotely close in terms of value of membership and delivery speed and accuracy. they have 50% of the online market because they deliver best consumer experience.

2a) worth keeping eye on social. but still need someone to deliver the packages.

3-it is wild when investors think that a company that has created \$1.6T of value in one of the most competitive markets in the world with no to low switching cost and little customer lock-in is interested "losing money." if you study each of those categories, you would find a) they are in service of a larger business objective; 2) they tried something that hasn't yet worked and maybe wont. I would rather companies pay the price to innovate and invest than not try anything.

Subject Assumptions
Entry 01/11/2022 04:52 PM
Member churchill

Hi MadDog, thanks for the write-up. Could you elaborate on your assumptions for revenue growth? And also for the margin development in the AWS segment going forward?

Subject Re: Re: Re: devil's advocate
Entry 01/11/2022 04:57 PM
Member surf1680
 WinBrun,

Please don't take it personal - I am just playing devil's advocate. For every buyer there is a seller. For Amazon, I do notice they issue tons of shares each and every year. I try to avoid stocks like that.

As far as accounting. Yes, they are making a mockery of accounting. Among other things, the "technology and content" line item has always bugged me, from the 10k,

"Technology and Content

Technology and content costs include payroll and related expenses for employees involved in the research and development of new and existing products and services, development, design, and maintenance of our stores, curation and display of products and services made available in our online stores, and infrastructure costs. Infrastructure costs include servers, networking equipment, and data center related depreciation and amortization, rent, utilities, and other expenses necessary to support AWS and other Amazon businesses. Collectively, these costs reflect the investments we make in order to offer a wide variety of products and services to our customers.

I was taught, "capitalize costs with future economic benefits." They are expensing stuff that should be capitalized. Investments by their very nature should be capitalized except for R&D and a few other odds and ends. Are they expensing infrastructure? Or do you interpret that as infrastructure depreciation? Why? if an earnings manipulator expenses lots of stuff there is no balance sheet entry. When there is no balance sheet entry it never has to be examined for impairment, scrutinized, etc. A free pass!

Subject Bezos
Entry 01/11/2022 05:17 PM
Member Pandora

Obviously he's been catching some grief lately for all the extracurricular activities, but I get it. Of all these big tech companies, he's the only one who's been banging away at this for almost 30 years. Gates is gone. Jobs is sadly gone. Page/Brin have been the most asleep-at-the-switch tech founders for over a decade. Zuckerberg is young. Musk kinda young and Tesla just looks fun.

Amazon has to be boring for Jeff at this point. People aren't robots. Even Buffett seems to have lost some zeal in recent years. Let's face it, Amazon is basically on autopilot, the days of reinventing the world are behind them, now it's more fine-tuning. Honestly, maybe it's better if Bezos hands things off to operations people like how Cook took over Apple.

Subject	Re: Re: Re: Re: devil's advocate
Entry	01/11/2022 07:01 PM
Member	bgm722

I'll add my 2c. No position but definitely interested.

Of all the mega cap tech guys, AMZN is uniquely exposed to labor cost inflation. In rough numbers, they employ 1.5m people and employee comp is on the order of \$100B. If labor costs go up 20%, that's \$20B or roughly equivalent to their operating income. I realize that this isn't nearly granular enough, but but hadn't seen it mentioned.

More of a personal take, but over the past five years, the main site has grown faster than I expected but seems less unasailable now than it did five years ago. With all of the advertising, 3P, recommendations and different payment and buying options, the main site just seems cluttered. I found the push towards subscription purchasing particularly annoying. To me, it is harder to figure out what I am looking for than it used to be and I often leave the site annoyed.

And, unbelievably, additional competitors have emerged. Shopify as a platform. We are prime members but still order some from Walmart.com and Target. The Google shopping product is pretty cool to navigate. For most of the junk I order, I don't really care if its delivered in two days. Call me crazy.

Subject	Re: Re: Re: Re: devil's advocate
Entry	01/11/2022 07:20 PM
Member	Rulon Gardner

(Edited date of the 2 charts)

Come on man. Seriously? Their warehouses and data center goes up by a whopping 170mm sqft between 2018 and 2020 (no 2021 figures yet as 10k not filed yet). Do you think you can just put conveyor, robotics, hire people, set up systems, etc and just hit 98% efficiency over night? It took my investing in warehouse REITs for the past 6 years to fully understand the moat that Amazon is building on logistics and fulfillment. I personally have gotten to the point where I buy stuff on Amazon because I know it will be there in 1-2 days, most likely 1 day. I paid expedited shipping for something that was non-Amazon, it took 8 days despite paying for expedited shipping. I am willing to bet that there are some slacks in their logistics and fulfillment that.

Item 2. Properties

As of December 31, 2020, we operated the following facilities (in thousands):

Description of Use	Leased Square Footage (1)	Owned Square Footage	Location
Office space	23,731	5,696	North America
Office space	19,023	1,823	International
Physical stores (2)	21,157	662	North America
Physical stores (2)	169	—	International
Fulfillment, data centers, and other	285,677	8,461	North America
Fulfillment, data centers, and other	104,668	3,449	International
Total	454,425	20,091	

Item 2. Properties

As of December 31, 2018, we operated the following facilities (in thousands):

Description of Use	Leased Square Footage (1)	Owned Square Footage	Location
Office space	16,642	3,901	North America
Office space	14,738	—	International
Physical stores (2)	19,176	724	North America
Physical stores (2)	173	—	International
Fulfillment, data centers, and other	153,917	4,467	North America
Fulfillment, data centers, and other	72,596	2,085	International
Total	277,242	11,177	

(1) For leased properties, represents the total leased space excluding sub-leased space.

(2) This includes 520 North America and 7 International stores as of December 31, 2018.

Subject	Paying for Growth Internally
Entry	01/11/2022 07:24 PM
Member	Rulon Gardner

Entry
Member
<https://roic.ai/company/AMZN>

01/12/2022 09:26 AM
finn520

It's a website that is basically a copy of the VL format, you can enter any ticker and it will spit that format out.

Subject Re: Re: Re: Paying for Growth Internally
Entry 01/12/2022 11:26 AM
Member SpocksBrainX
thx!

Subject Re: Re: Re: Re: Paying for Growth Internally
Entry 02/03/2022 09:57 AM
Member AlfredJones!
Anyone willing to throw a stake in the ground here before ER?

Readthrough from Azure, GCP that we should expect strong Cloud performance?

1P / 3P seems to have improved service over the status quo given the supply chain has completely wrecked the status quo.

Advertising was actually a source of strength for FB so I would assume we at least meet expectations.

Who knows? Maybe I'm just drinking the kool aid but curious what others are expecting for q4 along with '22 given updated numbers across the other larger players.

Subject Re: Re: Re: Re: Re: Paying for Growth Internally
Entry 02/03/2022 10:23 AM
Member surf1680

I am not an ace trader of tech but I wouldn't short them now. Management is looking at all the carnage around them and saying, "ok accountants, cookie jar time. Reclassify some of that stuff we have been expensing as capex so a few more bucks pass to the bottom line."

Subject Re: Re: Re: Re: Re: Paying for Growth Internally
Entry 02/03/2022 10:26 AM
Member WinBrun

If AWS is a \$1T company standalone by 2023, this is one of better risk-reward in AMZN since 2015 when they started to break it out. seems like it won't be a great quarter-given all known concerns--and FB/PYPL trauma show that mega-cap can go down a lot on big miss (though arguably the market is concerned around more existential questions on those). No clear why active manager wants to own into the quarter--a beat is going to get overwhelmed by the macro unless it is a beat + story-changer (Amazon beats/guides high/announces a split/buyback). Otherwise, a 5% move after-hours on a beat is going to get erased on bad macro the day after. so purely from playing the quarter, risk/reward not good. you need a smack-you-over-the head good quarter to drive real sustained buying. Maybe that is Google just reported-otherwise, you just get two-days of relative outperformance in a bad tape. satisfying but ephemeral without story-changing beat.

But looking out a few months, if things settle, if the investments to double fulfillment capacity look like it will lead to extended period of market share gain/revenue growth ON top of lower cap-ex cycle (allowing FCF to scale) and AWS is annualizing 30%+--this stock can go a lot higher.

It conceivable, depending on how you value AWS, you are getting retail for free.

Subject Re: Re: Re: Re: Re: Re: Paying for Growth Internally
Entry 02/03/2022 12:46 PM
Member woop

Thanks for sharing as always WinBrun and others. Putting my trader hat on (*shudder*), it doesn't seem like the big AMZN selloff based on FB earnings is justified. AMZN's advertising business seems more similar to GOOGL's, with no meaningful AAPL interference as far as I'm aware. And generally I don't see the relationship with FB's performance, as it seems like FB's problems are different. Would be curious if others see it differently.

Subject Re: Re: Re: Re: Re: Re: Re: Paying for Growth Internally
Entry 02/03/2022 01:15 PM
Member WinBrun

I think the perceived risk is more around input cost (labor/transportation) inflation and less about deceleration in advertising.

Subject Take rates
Entry 03/02/2022 10:27 AM
Member coyote

Why do you think 1P should command 1-2% margins?

On 3P we have ~390B 2021 GMV with \$103.4B 3P seller service revenue so 26.5% take rate. Then we have \$31.2 B in advertising revenue for 3P as most of the 1P advertising campaigns from sellers come in the form of product discounts (higher gross margin) for Amazon.

Then let's assume the extreme that 100% of 3P sellers (all 3P GMV) advertise so take rate is 8% (31.2 /390). So minimum total take rate is 34.5% for 3P sellers. If we assume ad penetration is only 50% that would be 16% take rate and then 42.5% total take rate. How can a seller make money when their gross margins fall below that take rate except for some luxury products?

Can anybody explain briefly that thing called AWS that I have never understood? IaaS vs. PaaS vs. SaaS... what are those definitions with examples for dummies... what is the edge on each of the different competitors? What is the TAM / opportunity for each? What is the bundling / unbundling benefits for each lever? What is deflationary (Santa Claus told me a couple of Christmas ago IaaS as they are servers/real estate is deflationary) vs. price stable/ inflationary? What is in summary the growth dynamics and industry structure long term here? Sorry to admit I am ignorant to your eyes. But I guess in these situations it is better not to give a f*** if one wants to learn. Better to live wiser than pass ignorant.

Best.

Subject	Q2 guidance thoughts?
Entry	04/28/2022 06:12 PM
Member	lightspot

weak guidance. High cost, low revs, significantly below cons op income. Any thoughts?

Subject	Re: Q2 guidance thoughts?
Entry	04/28/2022 06:32 PM
Member	WinBrun

AWS.

Subject	Re: Re: Q2 guidance thoughts?
Entry	04/28/2022 07:18 PM
Member	mip14

Add this to your list of profitless Covid winners

Subject	Re: Re: Re: Q2 guidance thoughts?
Entry	04/28/2022 07:47 PM
Member	WinBrun

may be a different approach. trying to think what will do well long-term-not in terms of Covid winners and losers. Definitely will (have) get some wrong. Hope the good make-up for it. I bet you today on VIC that Amazon outperforms a basket of mip14 stocks over the next three years from here.

your snide up and down the cite is probably not necessary--Carvana etc. ok to respectfully disagree. but we all go through challenges and get things wrong. better to be gracious--rather than take low road with snark and schaudenfreude. not a good look.

Subject	Re: Re: Re: Re: Q2 guidance thoughts?
Entry	04/28/2022 08:40 PM
Member	yxd0950

Who can challenge Amazon on the retail front? Nobody. You see Shopify is trying to get 2-day delivery in 2024 when AMZN is already doing a lot of same day. Which company can outspend AMZN on logistics? Nobody.

AWS: The big 3 will continue to dominate. Who's going to challenge the big 3? Nobody.

Mip, please sell/short AMZN so I can buy more on the dip. Thanks.

Subject	If not now, when?
Entry	04/28/2022 10:08 PM
Member	mip14

AMZN makes \$500bn in sales and delivered this:

- **Free cash flow less equipment finance leases and principal repayments of all other finance leases and financing obligations** decreased to an **outflow of \$22.3 billion** for the trailing twelve months, compared with an inflow of \$16.8 billion for the trailing twelve months ended March 31, 2021.

This is BEFORE sbc.

Sure they can be investing in the future, we would just argue the future is kind of here for a company of this size. This MOAB has allowed people to invest in the future for a lot longer than past cycles, we don't think that changes basic business economics and we aren't going to let \$1.5t loss making companies get a pass. The chickens are coming home to roost. Look at NFLX's FCF the last 5 years and now they are having trouble growing. What is the debate? AMZN reminds us of GE (minus financial arm + a ton of operating leases).

FWIW we aren't anti tech. **We just believe good companies make money.** BKNG/V/MA/FB/GOOGL/MSFT were all printing cash when they made a few b in sales. Delivering nonsense content (NFLX), sushi in 2 hours (all food delivery companies), or a chair tomorrow (AMZN) doesn't strike us as good businesses.

Investing is hard but it can be made easier avoiding massively loss making companies.

Subject	Re: If not now, when?
Entry	04/28/2022 10:43 PM
Member	WinBrun

Pick one of the companies you like. I'll take Amazon. Let's see the performance on 1/3 basis. The debate is academic at this point.

Subject	Re: Re: If not now, when?
Entry	04/28/2022 11:13 PM
Member	mip14

I don't know when this turn 1 vs 1.

But half XPEL half VAL

Subject	Taking a step back
Entry	04/28/2022 11:23 PM
Member	mip14

I don't know when in VIC it became bad to call out companies who don't make money / trade on theoretical margins which don't seem to ever occur. Maybe that is a reflection of the climate we are in. Also, our skepticism on cash incinerating companies / companies with volatile or unpredictable earnings is an output of our mistakes. Look at our history.

MA was 10-15x fwd P/E high margins 10 years ago with 50% margins. GOOGL was 10x P/E 2-3 years out a few years ago. We have found when things are simple, there is a higher chance of making money, and when people do valuation gymnastics they open themselves up to all sorts of mistakes. We just don't like a company at \$1.5t in TEV that can't consistently make money - sorry.

The funny thing is we are so much more bearish on AMZN/tech than we are even sharing on VIC. I guess that is what makes a market. Anyway, see you at Wilshire 5000 to GDP of 100%!

Subject	Re: Taking a step back
Entry	04/28/2022 11:29 PM
Member	skimmer610

I'll probably regret stepping into the fray, but I think it's a super interesting question - *why hasn't AMZN's retail (i.e., non-AWS) business generated strong economic margins?*

Bulls, of course, believe non-AWS can. Bulls handwave the historical evidence which is clear non-AWS hasn't and fall back on 'AMZN is always investing for the future.'

Bears, of course, believe non-AWS can't. And the historical evidence certainly backs them up.

I honestly don't know (and I'd suggest the market doesn't either...but at different times is inclined more towards one answer or the other).

I'll pose these questions:

- To the bulls: what would have to happen to convince you that, in fact, non-AWS can't generate strong economic margins? To mip's point - *if not now, when?*
- To the bears: my question is a bit longer winded

AMZN's non-AWS business is comprised of: 1) 1P online; 2) physical retail; 3) 3P online; 4) subscription services (e.g., Prime); 5) online advertising; 6) other - e.g., Alexa, Kindle, Fire; 7) what is or will soon be the largest the largest logistics network in the US.

As the table below highlights (straight from CapIQ based on average of LTM/2022/2023):

- Best in class physical retailers have EBIT margins >10%, but general merchandise is lower
- 3P marketplaces have EBIT margins of 20%-30%
- Online advertisers have EBIT margins of 30% (and really more like 50% on a core basis)
- Logistics networks have EBIT margins of 7%-14%

What's lacking from the comp table:

- Most notably, analogues of 1P online business with strong margins. There are some small operators in EU that have generated them at times. Also, AMZN's 3P sellers generally have strong margins, even after paying huge fees to AMZN. So, while it's hard to point to analogues to AMZN's 1P business, it's also hard to conclude that – given its dominance – it shouldn't be at least as good as some marginal EU players or AMZN's own 3P sellers.
- 'Other' might lose a ton of money
- How the hell to think about subscription services?

A bull could, putting it together and using LTM revenue split amongst the pieces, come up with this sort of range (something lower on the low end or something higher on the high end could also be easily justified):

Of which						
Online stores	\$ 220,303	\$ 220,303	\$ 220,303	\$ 220,303	\$ 220,303	\$ 220,303
Physical stores	\$ 17,746	\$ 17,746	\$ 17,746	\$ 17,746	\$ 17,746	\$ 17,746
Third-party seller services	\$ 104,992	\$ 104,992	\$ 104,992	\$ 104,992	\$ 104,992	\$ 104,992
Subscription services	\$ 32,598	\$ 32,598	\$ 32,598	\$ 32,598	\$ 32,598	\$ 32,598
Advertising services	\$ 32,656	\$ 32,656	\$ 32,656	\$ 32,656	\$ 32,656	\$ 32,656
Other	\$ 2,313	\$ 2,313	\$ 2,313	\$ 2,313	\$ 2,313	\$ 2,313
Total	\$ 410,608	\$ 410,608	\$ 410,608	\$ 410,608	\$ 410,608	\$ 410,608
Operating margin						
Online stores	0%	2%	4%	6%	8%	10%
Physical stores	5%	6%	7%	8%	9%	10%
Third-party seller services	25%	27%	29%	31%	33%	35%
Subscription services	0%	0%	0%	0%	0%	0%
Advertising services	30%	34%	38%	42%	46%	50%
Other	0%	0%	0%	0%	0%	0%
Total	9.0%	10.9%	12.9%	14.8%	16.8%	18.7%
Operating income						
Online stores	\$ -	\$ 4,406	\$ 8,812	\$ 13,218	\$ 17,624	\$ 22,030
Physical stores	\$ 887	\$ 1,065	\$ 1,242	\$ 1,420	\$ 1,597	\$ 1,775
Third-party seller services	\$ 26,248	\$ 28,348	\$ 30,448	\$ 32,548	\$ 34,647	\$ 36,747
Subscription services	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Advertising services	\$ 9,797	\$ 11,103	\$ 12,409	\$ 13,716	\$ 15,022	\$ 16,328
Other	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total	\$ 36,932	\$ 44,922	\$ 52,911	\$ 60,901	\$ 68,891	\$ 76,880

So, to the bears: how do you break that theoretical margin build?

.....

Back to reality: LTM margins were (0.3%).

And there are plenty of puts and takes to above analysis – such as:

- AMZN wastes money on Prime Video
- AMZN wastes money on 'Other'
- Does Prime really come in at 0% margins, only to subsidize losses in other stuff?
- Logistics isn't captured as a discrete line item – is it a cost or a profit center?
- Does advertising subsidize profoundly negative margins for both 1P & 3P?

There's a /lot of such questions – some with positive implications, some with negative – that one could ask.

It boils down to: public shareholders have no idea what margins really are or ought to be because AMZN provides no answers to those questions.

In the end of the day, every piece of non-historical evidence would compel me to conclude AMZN's non-AWS business *should* generate robust economic margins. But the reality has been the reality.

Subject
Entry
Member

Re: Re: Taking a step back
04/28/2022 11:49 PM
skimmer610

Realized I forgot to include the table I referenced:

Retail Peers - 3 year average	EBITDA %	EBIT %
<i>Costco Wholesale Corporation</i>	4.6%	3.7%
<i>Target Corporation</i>	10.7%	8.3%
<i>Walmart Inc.</i>	6.6%	4.7%
<i>Dollar General Corporation</i>	11.3%	9.4%
<i>Dollar Tree, Inc.</i>	11.7%	9.1%
<i>Ollie's Bargain Outlet Holdings, Inc.</i>	12.3%	10.6%
<i>Dollarama Inc.</i>	31.3%	23.4%
<i>Five Below, Inc.</i>	16.2%	13.2%
<i>The Home Depot, Inc.</i>	17.2%	15.3%
<i>Lowe's Companies, Inc.</i>	15.1%	13.1%
<i>Tractor Supply Company</i>	12.8%	10.3%
<i>Ulta Beauty, Inc.</i>	16.9%	14.1%
<i>Floor & Decor Holdings, Inc.</i>	14.2%	10.6%
<i>Casey's General Stores, Inc.</i>	6.2%	3.8%
<i>Alimentation Couche-Tard Inc.</i>	8.2%	5.9%
<i>Ross Stores, Inc.</i>	14.5%	12.3%
<i>The TJX Companies, Inc.</i>	12.0%	10.1%
<i>Burlington Stores, Inc.</i>	11.5%	8.3%
Median	12.2%	10.1%
1st quartile	10.7%	8.2%
3rd quartile	14.9%	12.7%
<i>United Parcel Service, Inc.</i>	16.5%	13.5%
<i>FedEx Corporation</i>	12.0%	7.8%
<i>eBay Inc.</i>	35.9%	31.3%
<i>Etsy, Inc.</i>	29.6%	21.2%
<i>Meta Platforms, Inc.</i>	46.3%	30.9%
<i>Alphabet Inc.</i>	40.3%	29.4%

Subject

Re: Taking a step back

Entry
Member

04/29/2022 08:22 AM
WinBrun

It is not the "calling out"—it is the way that you are doing it. you are like the VIC Hall Monitor.

some companies that don't make money are uneconomical. some are reinvesting to grow. Amazon, to me (for all of the reasons stated), is the later. You could have made the same arguments about Amazon in 2002,2005,2010, 2015- the stock has done pretty well. it is great (and maybe smarter) to buy amazing businesses at 10x P/E with proven profitability. it is not the only way though.

AWS is a \$74b run-rate business growing 37% at 35% operating margins. It has higher operating margins than Apple on 1/5 of the revenue. It is providing one of the stickiest, most-mission critical services in enterprise. The market is large enough for three. In what is a tough time for tech and growth, the business does not seem to be slowing down—it may have several years of 30% growth ahead given that a small single digit percentage of IT spend today is in the cloud and Amazon's leadership suggests it will get a large share of the spend. This is a very high-barrier to entry oligopoly industry. At 15% NRR (growing existing spend with current customers) and organic growth that will continue from shift to the cloud—there is a good chance this business can grow revenue at 30% annualized for the next five years—\$274B—with 500bps of margin expansion—\$100B of EBIT. You don't need retail to be that profitable if that path is roughly right (I think retail will be extremely profitable) Maybe these are aggressive assumptions to you. I won't do gymnastics on the multiple—but I think the value of AWS would be at/near AMZN market cap. It could be the whole market cap today depending on how it valued stand-alone.

As for retail, it is very hard to believe that a business that now has about 60% of the units coming from 3P (which is a 30% EBITDA margin business) and \$40B of advertising growing 25% (also probably a 20-30% EBIT margin business) on its way to \$100B in advertising revenue could not show a very profitable U.S. retail business if they wanted to. It looks to me that Amazon has decided to reinvest (in international growth which is money-losing) and in a hosts of other very expensive initiatives (Kuiper/Alexa) that are not non-core to the retail business (though Alexa may be increasingly core). If you think profligate money-losing pet projects are endemic, then feel-free to capitalize those losses. But, if you think Amazon does not need to make those investments—the picture is different.

My bet is that we are going to see a very large ramp in FCF in Amazon's retail business over the next three years. Covid introduced incredible volatility in the business and they doubled FC capacity. The comps were incredibly challenging and then supply chain/labor inflation hit. but we'll see. I don't think any competitor is anywhere close to Amazon's one-day delivery speed—and speed is a narcotic in online retail. It is the single biggest driver of repeat spend. The market for online retail of books that take two weeks—is a lot different than the market for almost everything that will arrive the day you order. the addressable market of daily purchases should expand as the delivery time shortens. there are unique benefits to the business model as that happens (most 3P-more advertising-more Prime members)

I personally view Amazon as adding more value than delivering chairs tomorrow. It is saving consumers time and money—what could be more valuable? It is building and delivering a bundle of services (Prime) that is a big savings and value for the household—the value is apparent by the fact that Prime is probably now the second largest subscription business in the world (second to that also-ran Netflix (20% EBIT margins with growing FCF and entrenched dominant market position in global streaming—that will deepen as the business becomes more sophisticated—Ozark finale drops today—may make you a bull)

Amazon has the most sophisticated logistics business in the world—and it is probably a year or two away from opening up the logistics networks to third-parties which has enormous potential.

Subject cap ex?
Entry 04/29/2022 08:33 AM
Member xds68

My perhaps problematic way of simplifying here is that ex working cap AMZN generated operating cash flow of 41, 53, and 66 bil in 2019 thru 2021. They spent massively on cap ex in the last two years on logistics expansion and AWS, but my sense is they are pretty far along on the logistics spend. In 2019 cap ex was 39% of operating cash flow, which presumably still included a fair bit of growth capital. (I'm also not giving any credit for the property disposals, which have run about \$5 bil per year.)

Is there any reason to think that the business has structurally changed? If not I'd think that looking out a couple years they will near \$100 bil on operating cash flow, and 'maintenance' might be 20% to 30% of that - so theoretic free cash flow would approach \$80 bil - or maybe \$65 to \$70 bil ex stock comp.

Maybe others have more nuanced views on 'maintenance cap ex' for AWS and remaining business lines? Because on my working assumptions, the company will gush cash over time. But maybe that's wrong. This also seems to be one of the core debates that has been around Amazon for many years, if not its entire existence.

Subject How has Amazon grown?
Entry 04/29/2022 08:48 AM
Member HTC2012

I'm not sure if anyone has done this exercise, but I did it a few years ago and it's still true. It's very easy to do using capital IQ or Factset. Can anyone guess how much external capital Amazon has needed to grow since inception? Zero. This is a self funded business since inception. Cash from ops > cash from investing.

Most of this is because this is a negative working capital business which is simple, but the real secret sauce. Even with all the investment and cash outflows that have been spoken of, AMZN has continued to self fund. Pretty incredible if you ask me.

Subject Re: Taking a step back
Entry 04/29/2022 09:06 AM
Member cuyler1903

1.6 million employees is a gigantic headwind in this environment. It doesn't take much of an increase in wages/benefits to cause the retail/logistics business problems.

In my opinion, it is far better to own businesses with high margins and highly paid employees who aren't living paycheck to paycheck.

The employee stakeholders at AMZN are going to have strong negotiation power.

Subject Re: If not now, when?
Entry 04/29/2022 09:20 AM
Member SpocksBrainX

Investing is hard but it can be made easier avoiding massively loss making companies.

Many fine points....always liked this WEB quote in an annual meeting from last century:

The business is wonderful if it gives you more and more money every year without putting up anything – or by putting up very little. And we have some businesses like that. A business is also wonderful if it takes money, but where the rate at which you reinvest the money is very satisfactory. The worst business of all is the one that grows a lot, where you're forced to grow just to stay in the game and where you're reinvesting the capital at very low rates of return. And sometimes people are in those businesses without knowing it. If somebody's reinvesting all their cash flow they better have a some big figures coming down the road because a financial assets has to give you back a lot more cash one day in order to justify your laying out for it now. Investing is the art, essentially, or laying out cash now to get a whole lot more cash later on. And something at some point better deliver cash.

Personally, I think AMZN can turn on the jets anytime they want on FCF (in part cause as all have noted massive CapEx even if voluntary spend surely creates enormous distortions). It is kinda like FB the last day or so - they mention, gee, we don't really have to spend like drunken sailors, and the market goes 'WOW', things have changed, they have discipline now. AMZN could turn that switch anytime they wanted, IMO (like: let's not buy any more movie studios). Nice thing is, at the least 2022 results will be 2023 compares, so...

Subject Re: Re: Taking a step back
Entry 04/29/2022 09:28 AM
Member WinBrun

I don't disagree with this. Amazon retail has a potentially unique political/public relations challenge which is it is not a great look if the company is generating very high profits and paying workers low hourly wages (even though they pay at the high-end). invites all sorts of problems. the other tech companies do not have that problem given the makeup of the workforce. It is very possible that this dynamic affects the reinvestment/capital allocation. If Amazon retail is making \$50B on \$500B in revenue and buying back stock (which it could) there is going to be such heat on them. this is marginal negative.

AWS does not have the same issues.

Subject Re: Re: Re: Taking a step back
Entry 04/29/2022 09:45 AM
Member SpocksBrainX

Amazon retail has a potentially unique political/public relations challenge which is it is not a great look if the company is generating very high profits and paying workers low hourly wages (even though they pay at the high-end).

well....a certain politician of supposed North American I heritage recently attacked Kroger of all companies (along with Albertsons and Publix; she obviously hasn't looked at the debt load at Albertsons) for their draconian practice of....making money. I guess (yeah, Kroger - unionized Kroger). You should read the Berns' initial book if you haven't - his discussions of all those Walmart profits going to the Walmart family (cause you see, that's how thing work in his sophisticated view of the world - if you are a shareholder of the company, you get, directly, all the profits from those stores; didn't you know that? He can't claim to get misquoted - it is right there in print). Only point is there is a segment in our society who will attack anyone for any reason - it is the price of admission.

yeah, break up Kroger!!

Subject Re: Re: Re: Re: Taking a step back
Entry 04/29/2022 10:28 AM
Member jstavh

Was all this predictable? I touched on this a bit in my BABA/9988.HK write-up below and commented 2-3 weeks ago how AMZN is adding more debt to their net debt pile. Additionally, while AMZN -12% today on earnings, BABA is +12% on Xi/China "pledges stimulus to rescue economy" & "to pause putting pressure on tech giants."

https://www.valueinvestorsclub.com/idea/ALIBABA_GROUP_HLDG/2158394964#messages

Subject Re: How has Amazon grown?
Entry 04/29/2022 10:29 AM
Member NPComplete

AWS - reasonably well understood. If you go through financials carefully, you will conclude that it has an ROE of about 40% (but levered ROE as Amazon has been using a fair bit of leases to fund AWS capex). Public cloud penetration is in the 30-35% depending on whom you speak with so a pretty decent runway for growth with pretty good incremental ROE - completely self-funded business.

E-Commerce - There are a number of revenue and profit pools in e-commerce but the most significant profit pool is "last-click." That is why portals (Facebook, Google) are so special. They take anywhere between 15-20% of the GMV as their cut, and this is a 90%+ Gross margin revenue line. It is also an inflation-protected revenue stream. Only clicks that originate on the platform have high GM. This also is the reason why most pure-play e-commerce companies are struggling (FTC, RVLV, ZAL) because they end up ceding most of the value to the last-click platforms and this dynamic is unlikely to change. In fact, the value of all of the innovations that these companies do goes back to the platforms as long as their competitors copy those innovations.

Then there are ancillary revenue pools - Payments 1-3% of GMV (50% GM), Shopify-like tech platforms at 3-4% of GMV (75% GM), Logistics at 4-6% at an even lower margin and ROIC and so on.

The primary value of Amazon's e-commerce business is in that 15-20% take rate - everything else is there to ensure that customers come to the Amazon App or amazon.com habitually and directly. IMHO Amazon Prime was also designed to get people to come to Amazon directly. Amazon lists it as a separate business, but I think of it as part of Amazon's S&M.

If you think Amazon can run everything else (Logistics, Payments, Prime) at breakeven or a modest margin and ROIC, the core retailing business will eventually be worth about 1.2-1.5x GMV when growth has slowed to 4-5% (a la WMT, COST) - we are quite far from that point as the slowdown this year is mostly from digesting the Covid feast.

$(GMV \times 15\% \text{ take rate} \times 50\% \text{ EBIT margin} (1 - 20\% \text{ tax rate}))(15x \text{ P/E}) = 1.2GMV$

This assumes that everything else is at breakeven and is no reason to believe it won't be. Else UPS/FedEx/GPN/SHOP wouldn't be making money. In fact, Amazon will earn a modest return. But for the sake of simplicity, just put a zero value on all of it as one can argue that these investments feed the direct-click machine.

You can easily get to a \$2T value with this framework.

Caveat - Amazon does spend on clicks - it is the largest spender on Google. So you have to adjust the value appropriately.

Subject	Re: Re: How has Amazon grown?
Entry	04/29/2022 10:41 AM
Member	mip14

Public cloud penetration is in the **30-35%** depending on whom you speak with so a pretty decent runway for growth with pretty good incremental ROE - completely self-funded business.

Isn't that high? So yeah it triples and then trades 15x EBIT. People putting 45x EBIT today. No upside.

I have heard penetration is like much lower (10-15%) and that is the thesis.

Subject	Re: Re: Re: How has Amazon grown?
Entry	04/29/2022 10:47 AM
Member	NPCComplete

"No upside" is harsh. It will return at least it's equity cost of capital. Can it compound at a faster rate? Likely - as I do think that all the ancillary stuff they are doing will generate a decent ROIC.

Public Cloud penetration - numbers are all over the map but I am convinced they are at 25%+ in the US. And I meant 20-25% (not 30-35%). That was a typo. Definitely lower in Europe and Asia and LatAm will be a very large markets in the longer-term.

Subject	Re: Re: Re: Re: How has Amazon grown?
Entry	04/29/2022 11:09 AM
Member	NPCComplete

And you can sanity check my estimates for the profitability of "last-click" revenue using FB and GOOG. FB ex of the "safety" investments, -ve GM in Emerging markets (that will eventually make money), Metaverse spend etc. would be a 60%+ EBIT margin business. Incremental margins pre Cambridge Analytica scandal were running north of 60%. GOOG search does high 30s (and goog search is overstaffed - they can fire 20% of the workforce with zero impact), and spends 22% on TAC - primarily due to Apple. Ex Apple, TAC would be closer to 12% - and I am assuming a similar TAC for Amazon.

Subject	Re: Re: Re: Re: Re: Taking a step back -- another FCF burning quarter: follow-up comment #42
Entry	04/29/2022 11:12 AM
Member	jstavh

as a follow-up, yet another FCF burning quarter for AMZN to the tune of \$9-10B, at least 5 quarters in a row now as headwinds continued.

Subject	question
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Entry 04/29/2022 11:31 AM
Member opco

I don't own Amazon but was curious - for those of you who own it, what do you think the IRR is roughly over some reasonable period of time? I am going through the exercise of contemplating risk and corresponding IRRs for various assets, particularly in light of credit starting to become a little more interesting and potentially much more interesting over the next year.

Subject Re: question
Entry 04/29/2022 11:40 AM
Member NPComplete

A little bit higher (200-300bps) than Berkshire or SPX, especially from here. But high IRR names also have a probability tree that includes nodes with a substantial downside. Amazon is a very well-understood and well-covered business. Odds of having an "Edge" are de minimus. YOU are betting on a good machine and a good management team.

Subject Re: Re: question
Entry 04/29/2022 11:52 AM
Member opco

A close friend of mine is one of the most sr engineers within AWS, leads R&D I believe with one other fellow. MIT math PhD. I asked him the other day what he was investing in personally (ie stocks, VC , etc) and he said "I am investing in myself and working to learn and make myself more valuable to my company." Don't you wish you had an employee like him?

Subject Re: Re: question
Entry 04/29/2022 12:12 PM
Member NPComplete

And one final comment and I will give it a rest - my analysis suggests that direct traffic is over 80% of Amazon's total traffic across App+Browser. My 12% TAC assumption to get to a 50% EBIT margin is reasonably conservative.

Subject Re: Re: Re: If not now, when?
Entry 04/30/2022 12:26 PM
Member Alfred.Jones!

I, for one, would like WinBrun on team xpel. Love WinBrun's qualitative dive's into big tech...agree with miser that there are easier playgrounds.

Come on over WB, we're sitting at record low multiples over here as well...with a slight caveat that earnings is a complete wildcard...tempted?

Subject agree
Entry 05/01/2022 11:08 AM
Member mip14

<https://twitter.com/JeffBezos/status/1520546244707373057>

Most people dramatically underestimate the remarkableness of this bull run. Such things are unstoppable ... until they aren't. Markets teach. The lessons can be painful.

Subject Re: agree
Entry 05/01/2022 11:17 AM
Member ajp579

You missed the follow-up from someone who was on this forum at one point – who sounds more focused on value?

<https://twitter.com/dsundheim/status/1520758022666129408>

The problem isn't valuation at these prices. Valuations for growth stocks are not expensive. Investors have learned their lesson w valuation. Now it is time for mgmt teams to learn a lesson from the mkt. Market is telling them to stop wasting money and focus on execution.

Subject Re: Re: agree
Entry 05/01/2022 11:50 AM
Member mip14

We didnt miss that.

Subject Set-up
Entry 05/05/2022 11:25 AM
Member mip14

saw this on twitter

https://twitter.com/Mike_Taylor1972/status/1522232420430401538

thought it was interesting

Note sure why AMZN, which loses from energy roofing, should trade at 44x 2023 EPS. Margins are only going one way if inflation perssits and AWS is only going to decelerate. We think <30x 2023 EPS seems reasonable or \$1,700.

In this market, we think its worth waiting for 'FU' IRRs. Not Amzn at 44x 2023 EPS. Too much uncertainty and unlike march 2020 fed is against you.

Subject Re-Crowd source from Twitter-nice
Entry 05/05/2022 12:03 PM
Member WinBrun

mip14--there are thoughtful reasons to be negative Amazon. But a high P/E multiple on a consolidated business that contains several different businesses with different economics, margins, and rates of growth is not a great case, even putting aside the EPS from 2015 has gone from \$1.25/share to estimate of around \$50/share in 2023.

Over the last 15 years the P/E has been high because they reinvest and fund losses in many businesses and fund the business from negative working capital. If you think an online retailer with \$500B in sales, \$100B coming from 3P, \$40B from advertising, and \$30-40B coming from subscription fees-is structurally not profitable----make that argument. I am curious what margin you think Amazon can earn, if any, on \$500B in retail.

Crowd-sourcing bear theses from Twitter on the day of bloodbath for ecomm is one way to do it to state the case.

A glass half-full--Amazon is going to get some religion on separating/pulling back on money losing investment (may be forced from the outside), will separate the segments to show core retail profitability--and is going to emerge from this episode with a much stronger competitive position given that market unwillingness or potentially inability to fund money-losing/sub-scale ecomm-which is maybe everyone other than Amazon----alternatively, more companies are going outsource logistics-Amazon is going to be the logistics provider of choice and in the same way that AWS was built, this is going to build AMZL as a very large toll booth on global ecomm distribution.

Subject Re: Re-Crowd source from Twitter-nice
Entry 05/05/2022 12:14 PM
Member mip14

1. Yes but retailbusiness is going to lose more money if inflation roofs (said that) and AWS gonna decel as economy slows (said that) so you can't look so many years out on AMZN EPS.
2. Why do you think the reinvestment is a good ROI? Other then AWS, which took stock from \$300 to \$3000, what other bets are going to cash flow?
3. Just a twitter comment chill out. everyday has been a bloodbath for e-com, that tweet caught my eye today. Next time I will post on a squeeze day.
4. Yes we fundamentally believe this is the mother of all bubbles and several years from now people will look back at these years and say 'what were we thinking' - why deploy in AMZN today when world uncertain if decent probability you can buy good biz at <20x fwd P/E in the future (which was most of history BTW). If Mcap to GDP goes back to 100%, AMZN is cooked.
5. BABA was supposed to be a toll-booth. Guess what when e-com decels you get a low P/E. Sure BABA in china so maybe thats bad for their P/E but the case study for decel companies is out there.
6. Totally cool to agree to disagree. So lets put it this way - you see AMZN cheap or your normal margins, we think the odds of normal margins low cause of economic factors that are occuring as we speak --> this will cause people to look at current earnings.
7. anyone notice the bull case for this pitch is \$13k a share. Isnt that 30% of US GDP or something. Hm?

Subject Re: Re: Re-Crowd source from Twitter-nice
Entry 05/05/2022 12:34 PM
Member mip14

good ROI?

<https://twitter.com/amazonholder1/status/1522192215455502336>

Subject Re: Re: Re-Crowd source from Twitter-nice
Entry 05/05/2022 12:41 PM

Member

WinBrun

1-I think they can gain share in inflationary environment. stay home-don't spend money on gas-----bargain shop the cheapest and broadest selection on the internet---more Prime sign-ups---cause value for money for Prime shines when everything else costs more. costs go up for everyone-Amazon best positioned to absorb-- My guess-is they have more absolute gross margin to work with than any retailer on earth now.

Walmart U.S. segment margins-EBIT peaked around 8% in 2014 on \$280B in sales. There is no logical reason to me based on fixed cost of ecomm and the much higher margin revenue streams that Amazon has inside Retail that Walmart/Costco did not have---that Amazon today on \$280B in U.S. retail could not earn the same or better EBIT margin---if they stopped launching satellites into space, building a global voice AI platform, and pulled back on the \$10B in entertainment spend that I not sure is essential. I am not trying to pro forma some fantasy---but I struggle to see how Amazon's more mature U.S. businesses, even on major decel top-line, would not be very profitable if they wanted to--because I think they have long-runway even in the mature environment to grow revenue well above costs for a longt-time

now, if even if you accept that---and you put 15x P/E on \$30B of U.S. retail profit and assume AWS is worth \$300B---there is a lot of downside here. so that is a risk-- in isolation--Amazon is not going to be spared is there is a massive de-rating and major slowdown in top-line

Would be curious to know why you think AWS is going to slow down given there are no signs of that and if you believe in voodoo like S-Curves--it looks like this is about to hit the G/I mean S-Spot.

2-because they have built over \$1T in market value since 1994-pretty good record of ROIC over the long-term (remember when people were long-term). This environment is a garden party compared to what they did in early 2000s-----they invest on a seven-to-ten year horizon, and they bet big and they do so regardless of economic cycle-----they have been rewarded with more innovation, more scale, and a stronger competitive position by taking that tack over the long-term.

3-I'm chill-do I seem not seem chill??? i am really really chill right.

4-Two things can be true--we can be in a massive bubble--and Amazon could emerge more valuable, stronger, and more profitable over the long-term. Is this essentially not what happened after the first bubble--they have the market two themselves and ended up with a seven year headstart building AWS which I think is going to turn out to be more valuable than apple (are you still short Apple by the way)? (I do not want to see a 90% drawdown in the stock before we get there)

5-Baba does not have the logistics--but a fair point. Amazon is a different business and we bleed red, white and blue--not just red.

I think Amazon is cheap relative to what I think the businesses can earn 5 years from now.

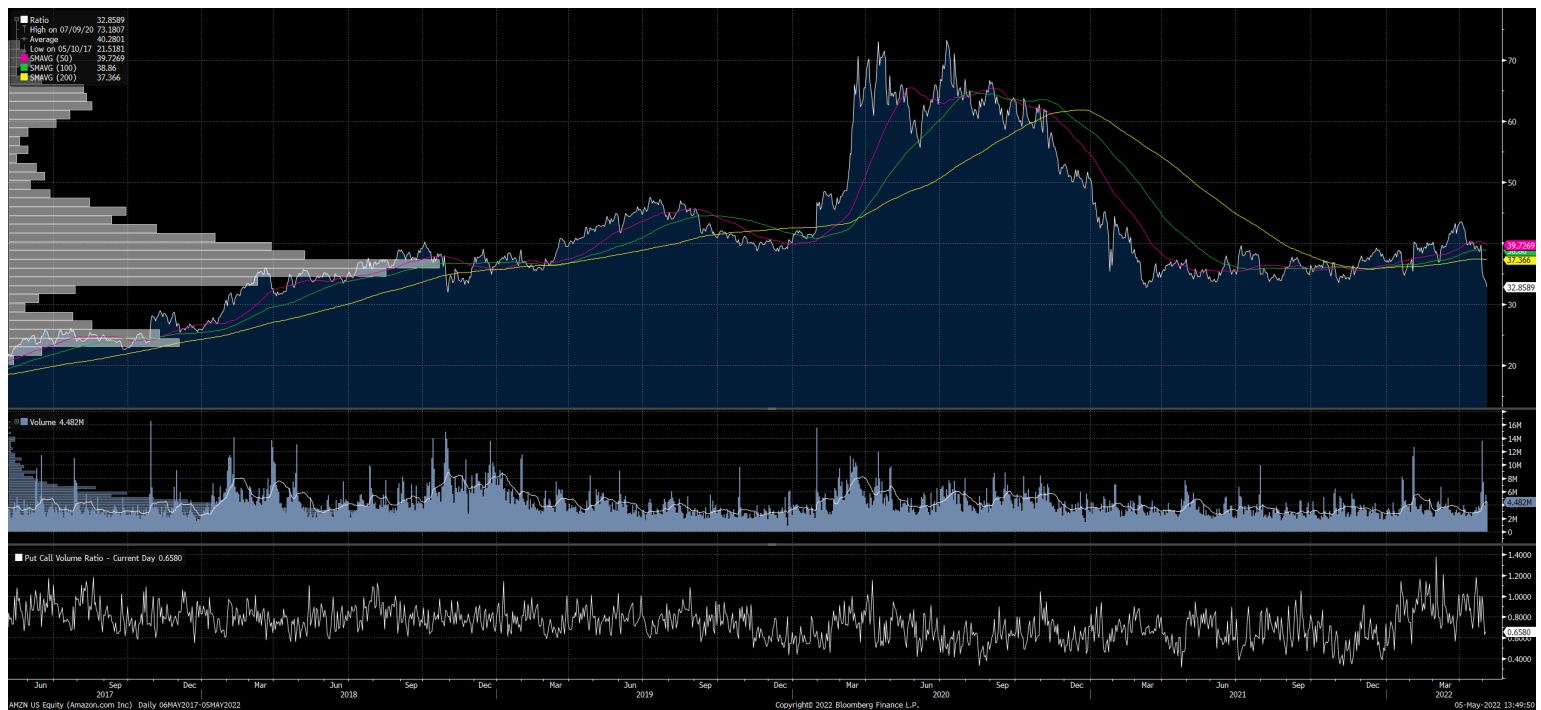
Subject	Re: Re: Re: Re-Crowd source from Twitter-nice
Entry	05/05/2022 01:46 PM
Member	mip14

All else same it sounds like people still believe "AMZN should be able too..." - I guess I will take my chances that there is a good shot an article comes out in a year or 2 "AMZN goes in reverse" and poeple put no EBIT margin expansion in their model and the thing trades down 50-75% and nobody on VIC talks about it.

Will move in then. Of course we could be wrong.

Thanks for the back in forth. Honestly, I think the difference is macro. We just think where the world is going AMZN is a big loser.

Subject	Re: Re: Re: Re-Crowd source from Twitter-nice
Entry	05/05/2022 01:50 PM
Member	NPCComplete



Subject Re: Re: Re: Re: Re-Crowd source from Twitter-nice
 Entry 05/05/2022 02:26 PM
 Member WinBrun

my macro insight is worth less than nothing. But, I'll offer anyway—the environment has definitely changed, multiples are going to compress and growth slows. many uneconomic models/money losing businesses will not work as public companies. old days are gone (stating the obvious). I also think, there is a pretty decent chance that inflation expectations come in as the transitory supply chain/energy driven inflation calms down (labor market structural problem), the leveraging (degrossing)/momo/speculation that built-up over three years is washed out, the hedge pile-on trades come undone, economy is fine (even a recession is not going to look like recessions of old), war ends, and US equities remain by far the best place to put money. great companies (Amazon being one) do better in lower growth environment (relative to competitors) and great generally means having technology, financial health, business model and talent to drive long-term competitive advantage and sustainable profit growth, and fear subsidies. eventually, capital shifts from defensive/don't lose with very little long-term upside (Costco/Kellogg) to reasonably priced secular growth businesses that are offering the most value for money or sell something businesses and consumer value more when they feel like budgets and resources are tight. What we are seeing now is fear and panic and machines controlling the volume. All of that is going to be wrong is inflation ends up being much higher than expected—so if that is your macro call—and you are right—you could be right on Amazon (though I think there are far better shorts than the world's dominant online/retail cloud business with fortress balance sheet and 200mm+ recurring revenue households at <3x sales with several very defensible and sustainable profit streams.

fair. thank you for the back and forth and for the good work that you do. XPEL seems like a great one.

Subject Interesting (sorry winbrun i know its not fundamental but still interesting!)
 Entry 05/05/2022 10:07 PM
 Member mip14

Search entire website instead...

AMAZON.COM INC AMZN	1/11/2022
AMAZON.COM INC AMZN	3/31/2021
AMAZON.COM INC AMZN	3/13/2020
AMAZON.COM INC AMZN	8/4/2016
AMAZON.COM INC AMZN	12/17/2011
AMAZON.COM INC AMZN S	6/15/2010

Wonder if AMZN is gonna be the next SRG

SERITAGE GROWTH PROPERTIES SRG S	3/10/2022
SERITAGE GROWTH PROPERTIES SRG	11/1/2018
SERITAGE GROWTH PROPERTIES SRG S	10/17/2018
SERITAGE GROWTH PROPERTIES SRG	5/23/2018
SERITAGE GROWTH PROPERTIES SRG	2/3/2017
SERITAGE GROWTH PROPERTIES (9583B) SRG S	8/25/2016
SERITAGE GROWTH PROPERTIES SRG	2/9/2016
SERITAGE GROWTH PROPERTIES SRG	8/5/2015

or next FB

Facebook FB	2/8/2022
FACEBOOK INC FB	2/8/2021
FACEBOOK INC FB	7/7/2020
FACEBOOK INC FB	9/9/2018
Facebook FB	10/27/2017
FACEBOOK INC FB S	6/3/2012
Facebook (Yes/No)	5/12/2012

or to make fun of ourselves an AMBC or inverse MKC

AMBAC FINANCIAL GROUP INC AMBC	9/28/2019
AMBAC FINANCIAL GROUP INC AMBC	6/19/2019
Ambac Financial Group AMBC	12/23/2017
AMBAC FINANCIAL GROUP INC AMBC	11/19/2013
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MCCORMICK & CO INC MKC S	2/13/2019
MCCORMICK & CO INC MKC S	5/2/2018
MCCORMICK & CO INC MKC S	6/8/2017

Subject
Entry
Member

Retail still a good business?
05/18/2022 05:05 PM
mip14

So AMZN is losing money in retail and now TGT/WMT going to invest in price. Doesn't this push back everyone's theoretical retail margin. When does theoretical become 'not happening?'

Subject What is he saying?
Entry 05/18/2022 05:06 PM
Member mip14
<https://twitter.com/JeffBezos/status/1526574968158314496>

Subject Inside Amazon's struggles with rising inflation and how it's roiling the \$1.1 trillion business empire: 'The inflationary environment is not something
Entry 05/19/2022 04:54 PM
Member mip14
<https://www.businessinsider.com/inside-amazons-struggles-with-record-inflation-2022-5>

I would normally say headlines like this are bullish but AMZN trades for 40x 2023 EPS.

Subject Re: Inside Amazon's struggles with rising inflation and how it's roiling the \$1.1 trillion business empire: 'The inflationary environment is not somet
Entry 05/19/2022 06:26 PM
Member WinBrun
 what do you think Amazon Retail is worth?
 what do you think AWS is worth?
 curious how you value each (for argument's sake---assume separate valuation).

Subject Re: Re: Inside Amazon's struggles with rising inflation and how it's roiling the \$1.1 trillion business empire: 'The inflationary environment is not s
Entry 05/20/2022 02:10 PM
Member mip14
 Retail - \$0-\$200bn. Some chance its worth nothing/negative some chance worth something.
 AWS - \$650bn. \$26bn EBIT and 25x that.
 Total \$650-850bn. Seems interesting at low end.

Subject Re: Re: Re: Inside Amazon's struggles with rising inflation and how it's roiling the \$1.1 trillion business empire: 'The inflationary environment is n
Entry 05/20/2022 03:07 PM
Member mip14
 I truly think downvotes are a contra indicator. But I will say 3 down votes in 50 minutes while a pitch that says AMZN has some probability of being worth \$6.5t in 3 years despite negative FCF today gets a bunch of 5, 6, 8, 10 stars just surprises me. I re-read VIC pitches from 5, 10, 15 years ago and I wonder, has this website succumbed to the MOAB... What happened to low P/E multiples on current earnings... Maybe we are wrong...

Subject Re: Re: Re: Re: Inside Amazon's struggles with rising inflation and how it's roiling the \$1.1 trillion business empire: 'The inflationary environment
Entry 05/20/2022 04:54 PM
Member Lasker
 How could retail have anything close to negative value? They have 200mm prime subs. It's already profitable, but if they wanted to they could easily trade away growth for more margin.

Subject read 10-k
Entry 05/20/2022 04:55 PM
Member Lasker
 Dude people have done real work and you haven't. Read the 10-K.

Subject Re: Re: Re: Re: Re: Inside Amazon's struggles with rising inflation and how it's roiling the \$1.1 trillion business empire: 'The inflationary environm
Entry 05/20/2022 05:14 PM
Member mip14

Hence the range, I dont know, someone asked me and we answered. NFLX has like 200m subs and is worth \$90bn. And even NFLX didnt deliver this...

Free cash flow less principal repayments of finance leases and financing obligations decreased to an **outflow of \$29.3 billion** for the trailing twelve months

Sorry not from a 10k but 8k. close enough.

\$200bn like 30x NA + Intl combined EBIT in 2021.

Subject Re: read 10-k
Entry 05/20/2022 05:19 PM
Member mip14

"Dude people have done real work and you haven't"

No need for personal attacks, but sounds like a bag holder comment to me

Subject Re re: read 10-k
Entry 05/20/2022 05:21 PM
Member mip14

Also, We have and it reminds us of <https://twitter.com/JeffBezos/status/1526574968158314496>

AMZN is all over the place in competitive markets. Groceries, retail, media, virtual health services, some space broadband stuff. They are ripe to get rocked by wage inflation. They have tons of lease liabilities and clearly can't estimate demand.

Honestly, its an output of manifest destiny. AMZN won. Kudos to all investors pre-2020. Now its time to get Nifty Fifty'd.

Subject Re: Re: read 10-k
Entry 05/20/2022 05:29 PM
Member Lasker

No position and I've been net short YTD until today. Having a great year. However, I'm doing work on megacap tech and AMZN right now and liking what I see.

Real work consists of more than just pasting stuff from the 10-k. Everyone knows that AMZN is the only one of the big five that doesn't gush cash. It's the most capital intensive and will be for quite some time. Share count has increased a lot. These observations aren't anywhere in the vicinity of a nuanced bear thesis.

Get your hands dirty. Look what is running through opex. Internalize this: <https://future.a16z.com/understanding-saas-pundits-wrong/>. Once AWS is fully entrenched they can roll out the MSFT playbook from the early 90s and start doing to other enterprise SaaS companeis with MSFT did to Lotus123 and Netscape. You certainly don't need that to cover TEV though. Other megcaps gush cash in part because they've run out of growth. AMZN is a scary company.

Subject Re: Re: Re: read 10-k
Entry 05/20/2022 05:35 PM
Member mip14

Not saying AWS is a 0. Seems like good biz, good margins. I put 25x ebit on that. Thats like what 35x P/E. Not bad!

Share count has increased a lot. T

not really...

Anyways... See ya'll at < \$2,000

Subject Re: Re: Re: Inside Amazon's struggles with rising inflation and how it's roiling the \$1.1 trillion business empire: 'The inflationary environment is n
Entry 05/22/2022 02:12 PM
Member WinBrun

we will agree to disagree that Amazon's Retail business could be worth 0. that sort of belies any serious thoughtful back and forth.

you may be directionally on the stock right near-term. I think you are going to be very wrong on the stock over the long-term.

Subject Amazon Aims to Sublet, End Warehouse Leases as Online Sales Cool
Entry 05/22/2022 03:08 PM
Member mip14

Company wants to shed at least 10 million square feet of space
Amazon spooked investors last month after saying it overbuilt

<https://www.bloomberg.com/news/articles/2022-05-21/amazon-aims-to-sublet-end-warehouse-leases-as-online-sales-cool>

Subject	Re: Amazon.bomb
Entry	05/22/2022 03:39 PM
Member	WinBrun

if mindlessly posting negative Amazon tweets/headlines is your game...go bigger

<https://www.barrons.com/articles/SB927932262753284707>



Subject	tweets
Entry	05/22/2022 04:03 PM
Member	Lasker

There are definitely problems in the current year. Hard time to be a retailer that sells consumer discretionary. Q2 could be a disaster. Great biz on the other side. Here's a tweet worth reading:

<https://twitter.com/sweatystartup/status/1528082715026853890>

Subject	Is the Air Coming Out of the Bubbles? And Is That Healthy or Ominous?
Entry	05/24/2022 10:56 AM
Member	mip14

<https://www.bridgewater.com/research-and-insights/is-the-air-coming-out-of-the-bubbles-and-is-that-healthy-or-ominous>

Interesting read.

Subject	Re: Is the Air Coming Out of the Bubbles? And Is That Healthy or Ominous?
Entry	05/24/2022 11:42 AM
Member	WinBrun

interesting. two thoughts:

1-don't the "tech giants" seem like they have more levers to pull to increase profitability/show more free cash flow than any other class of companies? (Google/Amazon/Facebook) have a lot of growth op-ex in the business unrelated to core profit drivers ("other bets"/Alexa-Kuiper etc/Metaverse) that could be reduced/eliminated if there is a management will/shareholder push to do it. Apple/MSFT I don't know that is the case—but they unbelievable balance sheet strength, recurring revenue and free cash flow to deploy (ditto Google).

Alternatively, if your competitors are sub-scale/unprofitable/cannot get funded—doesn't that entrench your dominance and strengthen your moat? If Snap/Twitter slowly die, are FB/Google/Amazon worse off? If Wayfair/Chewy/Shopify or other competitors cannot invest to grow their business, hire the best talent, or improve their offering during a period of macroeconomic strain, is Amazon competitively disadvantaged—doesn't Amazon's core position get stronger—won't institutional capital globally eventually flock to the strongest, safest companies that offer inflation+ returns?, of which there is now a scarcity? Do Target/Costco and Walmart at GDP top-line growth and a cost structure that consists of the two largest inflationary inputs (labor/real estate) (Amazon real estate is different) and limited to-no-software infrastructure/consumer logistics to the home— really pose a long-term structural threat to Amazon?

And then if cost of capital is lower and the business is self-sustaining, doesn't the capital structure, business model and balance sheet strength that enables long-term investment AGAINST a bad/challenged macro sow the seeds for a deeper and wider moat long-term? Isn't that how these companies effectively got so dominant in the first place? It wasn't speculative capital pushing up valuation in 2020—it was a decade post NASDAQ crash when they operated effectively w/out real competition where they invested aggressively in infrastructure and assets (Amazon/Netflix) made smart and bold acquisitions that created enormous value (YouTube/IG) and hired large, talented workforces?

Maybe we are talking around each other. You are saying—Macro bad/ mega-cap-tech multiples still too high, earnings and multiples have a lot lower to go. That is probably right short-term. But, two-three years from now—it seems likely to me that an entirely new set of variables and operating conditions may have taken hold that could improve the long-term earnings and strength of mega-cap tech generally (and Amazon specifically). The last two years have taught that it is pretty hard to predict the next two-years—and what gets extrapolated during periods of crisis or euphoria is the immediate term.

This is not a fait accompli—but bold, smart long-term action taken during times of crisis can create a lot upside. And over the last decade, each crisis has made the truly durable and strong companies that much stronger. not sure why it is different this time. If you are Apple/Amazon/Google—don't you relish this opportunity to make opportunistic acquisitions, overpower competitors with capital investment and steal employees from marginal/struggling enterprises what if we collectively underestimated the scale that online business needs to highly profitable and it actually takes ten years of unfettered and uninterrupted investment and total category dominance to generate the monopoly profits—and there isn't that much profit left for second place?

Subject
Entry
Member

Re: Re: Is the Air Coming Out of the Bubbles? And Is That Healthy or Ominous?
05/24/2022 12:11 PM
MarAzul

Interesting thoughts. Winbrun, your points on weaker competition are valid, but there are cross currents as well. Think there are specific worries for each segment/company.

-Google: How much of their massive and consistent growth came on the heels of these VC funded companies overspending for the sake of top line growth? My guess is no one really knows. Also, ad spending is cyclical and Google is a large component of total spend so they will get hit as the economy slows down. Think many investors only focused on the move to digital, share gains, etc and forgot how cyclical ad spending is.

-Amazon: Retail seems like a great business with network effects in marketplace, Ads all of this protected by a logistics network that is difficult to replicate. But the reality is that numbers still don't show high profitability. We can spend years arguing how much they are spending on growth, new projects, etc and most are valid points, but reality is that numbers have not shown how profitable this business is. Investors are starting to question (seems fair) if this business is as good as it seems. And this "show me" story makes more sense now, given how much they have spent in an environment where demand is slowing.

-Cloud: Again, a significant % of total spent comes from companies that have taken a hit. They will try to cut costs. Question remains how will it show in AWS, Azure & GCP numbers. Also, LT how will this sort of oligopoly behave and how profitable will the end state be. Not easy to handicap.

These are valid questions and probably no one has very good answers. Makes sense multiples have compressed. If things turn out as investors in these companies hope, upside is quite large. Reality is picture is less clear than a few years ago and market now is unforgiving.

In terms of levers to pull on costs and capex, agreed. Question is if they will actually do it.

Subject
Entry
Member

Re: Re: Re: Is the Air Coming Out of the Bubbles? And Is That Healthy or Ominous?
05/24/2022 12:54 PM
WinBrun

I don't know, have rebuttals. I think my general point was first order effects are not that hard to predict. But, what is harder to predict is how companies/investors will react and what conditions could develop that would be unexpected and positive (for "big tech" in this post). Conceptually, one could argue (which I sort of did), that the balance sheet strength, discretionary op-ex spending that could theoretically be reigned in, recurring revenue/essential business, self-funding and proven models and large FCF put the companies in a position to benefit—but it may not work out that way. obviously cheap valuations create leverage to positive surprises as well—and these companies are not "cheap."

The more specific point, was the headlines that some are reading as negative—maybe a few years from now are positive. Less startup funding=less cloud investment for the big three=near-term bad. Long-term, fewer new competitors getting funding, and/or large established companies seeing an opportunity to invest more in more advanced cloud services to press their advantages in tougher market and or create cost efficiencies in an inflationary market=maybe good. Some of this depends on how bad turns out to be relative to expectations.

Less VC funded companies overspending to grow revenue=bad for Google. Snapchat dying/Twitter languishing/companies increasingly reluctant to experiment and instead shift to highest return/proven channels==maybe good for Google?

Amazon—agree its is a show-me story. Bulls and bear can argue until blue in the face. won't know who is right until we know. The greatest trick in corporate America is how Amazon has managed to convince smart people like mip14 that retail is bad, unprofitable business that earns no money—on the way to \$1T market cap total category dominance across all attractive categories of online commerce, and global logistics moat that should last as long and be at least as durable as the great railroads. You pay no taxes/fund the bets the create \$100B of market cap/alleviate political/regulatory pressure and operate under the guise of constant doubt and low expectations—which is really the 8th wonder of the world.

Conceptually, the other point, our system does not really allow companies to "pull-back" on investment or innovation for sustained periods of time and remain competitive much less dominant. It is nice to have that option, and it can make the equity attractive during periods of fear, but it is not a recipe for (very) long-term value creation. The companies referenced above, by virtue of their financial and operational strength, do not need to pull back if they don't want to. They still have to negotiate the high-wire act of smartly allocating capital in rapidly changing and hard-to-predict technology industries where throwing money at something is no guarantee of success and size can be the enemy of platform shifts—but they have the resources to invest and innovate in a way very few companies will have during a recession/paradigm where most investors want profits today. They may not matter to the market next quarter—or this year—but if they do it well—it has to matter over the long-term. In the mean time, cost of capital for competitors is higher, investors have little appetite to fund losses, and there could be chronic employee retention problems at middling competitors. Post NASDAQ Crash/or 2008-09—we did not have companies with \$1T+ equity value—FCF in a year equal to market caps of competitors, that fundamentally sell corporate or consumer electricity (is anyone getting rid of their iPhone/Windows/AWS during a recession?)

Subject
Entry
Member

Re: Re: Re: Re: Is the Air Coming Out of the Bubbles? And Is That Healthy or Ominous?
05/24/2022 01:19 PM
mip14

To be clear - we didn't say retail is a bad unprofitable biz. We are big costco fans (just not at current valuation). We said Amzn retail (and many other Ecom companies) is currently (and has been historically) a bad unprofitable biz

Subject
Entry
Member

Re: Re: Re: Re: Re: Is the Air Coming Out of the Bubbles? And Is That Healthy or Ominous?
05/24/2022 01:44 PM
mike126

mip14, I'm not sure AMZN retail / ecomm is a 'bad' business. Many ways we can approach a discussion on what businesses are 'good' and 'bad' but I propose looking at it from a funding perspective. After 2001 AMZN overall has been essentially self-funding. AWS was started in 2006 and up to 2015 we didn't really know how profitable AWS is, but I doubt AWS was instantly profitable in 2006. So you could say between 2002-2006 AMZN retail/ecomm was growing at break-neck pace without raising any external capital, really. I bet the cash flow support from AWS (net of the monumental capex needed to support its growth) didn't really kick in meaningfully til at least 2010, too, so really AMZN retail/ecomm didn't take in any 'external' capital in 2002-2010. I believe bad businesses don't grow as fast as AMZN retail/ecomm has while requiring no outside capital. Valuation can and should be debated but I don't believe there's sufficient evidence that AMZN's retail / ecomm business is bad.

Subject
Entry

Re: Re: Re: Re: Re: Re: Is the Air Coming Out of the Bubbles? And Is That Healthy or Ominous?
05/24/2022 02:03 PM

Member

Light62

It was self funding if we're willing to exclude a couple billion in SBC. Alternatively, S/O went from 356m to 449m in the period you describe and those new shares would have been worth ~\$16bln at the end of the period - but what's \$16bln between friends.

Regarding this theory that a self-funding business is necessarily and always a good one, during a growth phase I can see why a self-funding business is attractive but if Amazon E-Comm is tapped out now, wouldn't shareholders (now) much prefer that Amazon's business took tons of capital to develop? Not only is the capital investment a moat against competition but shareholders would have a claim on all that capital. Balance sheets matter, right?

Subject	Amazon Retail
Entry	05/25/2022 09:57 AM
Member	WinBrun

I am not sure how much appetite there is for this discussion, but "Amazon Retail" is a catch-all term for what in reality is a lot of different businesses that are mostly strategically aligned to drive sales of products and services to consumers--but arguably are also very different in their economics, growth, and capital intensity and standalone business prospects. I am not super-familiar with Costco or Walmart, but I don't think either has a comparable set of disparate, global businesses inter-linking retail. One can argue whether the complexity in Amazon is good or not, but it is hard to argue that it is not very different than any other retailer in terms of asset base and the businesses and therefore the analysis of Amazon retail as to whether it is good or bad is inherently more nuanced than "it loses money" (in my view--I don't think this is good approach for most businesses---many years of operating losses tell you a lot--but I do think Amazon retail is different and requires a different assessment)

--for example--in "Amazon Retail"---

1-Hardware platform (Fire/Kindle/Echo/Astro/Ring)

2-Robot Platform (<https://techcrunch.com/2022/05/02/amazons-joe-quinlivan-discusses-how-building-a-robot-army-fueled-its-e-commerce-dominance-at-tc-sessions-robotics-2022/>)

3-Alexa-10,000 people--growing consumer and enterprise

4-Twitch

5-Physical stores--Go/Whole Foods--this portfolio is expanding

6-Retail Technologies--Just-Walk-Out/Amazon One (palm scanning payment technology)--this segment has a lot of potential as a source of high-margin licensing

7-Entertainment Business (MGM)--Amazon Prime Video is going to be/is large enough to be a separate standalone entertainment creation and distribution company--obviously this is not the plan given the value it provides in making Prime sticky--but Amazon

8-Amazon Business--B-B-marketplace---very different than consumer--this is extremely underappreciated---

9-International Business---\$127B business in 2021--with several markets in different states of growth and maturity i.e.
<https://www.reuters.com/technology/amazon-launches-prime-service-poland-2021-10-12/>

The fact that the international business is as large and in as varied states of growth as it is--further complicates comparable company analysis and consolidated margin analysis--unless you just think ecomm is a bad business.

10-AMZL--Amazon logistics. This is a completely different segment than you will find at comparable company retailers--and the growth of this segment in my view is probably one of the most complicating factors and biggest changes in the P&L over the last three years

11-Amazon Advertising--which is \$30B business--and

there are more. I am not arguing that this is good or bad, or whether or not this makes Amazon particularly vulnerable to inflation/labor challenges/or an economic slow-down or even whether this means Amazon Retail is a good business (I believe is a great business)---just that Amazon retail is not one thing

Subject	Question for the bulls?
Entry	06/10/2022 04:28 PM
Member	mip14

Are you modeling positive EBIT in retail for 2023?

Subject	Re: Question for the bulls?
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Entry 06/10/2022 07:34 PM
Member churchill

and how should we think about SBC going forward? because if this is going to be a recurring expense, Amazon seems to be trading at a very rich multiple when adding back SBC

Subject Re: Re: Question for the bulls?
Entry 06/11/2022 01:02 AM
Member mip14

the same way your always supposed to. i dont get the debate. its an expense.

and yes the whole SAAS industry makes \$0 money in total today.

honestly its the most impressive part of amzn, AWS prints.

Subject Re: Re: Question for the bulls?
Entry 06/11/2022 01:03 AM
Member mip14

and if the argument is well nobody cares about it so it doesnt matter... CRM, NOW, WDAY were great stocks... well we are about another 20-30% SPX selloff away from people not saying that anymore.

i love debating debatable things but something about the SBC argument grinds my gears.

Subject Re: Question for the bulls?
Entry 06/11/2022 08:00 AM
Member SpocksBrainX

it depends on whether they want to do so- going back to the last call, they discussed this issue w/regards to 2022:

We have worked to protect and enhance the customer experience despite a sharp increase in costs, particularly over the past 3 quarters. We've seen a large cost to keep up with demand these past 2 years. During this period, we doubled the size of our operations and nearly doubled our workforce to 1.6 million employees. Labor and physical space are no longer the bottlenecks they were throughout much of 2020 and 2021. However, we continue to face a variety of cost pressures in our Consumer business.

We'll break these into 2 buckets: externally driven costs, primarily inflation; and internally controllable costs, primarily productivity and fixed cost leverage. The externally driven costs are a result of intensifying inflationary pressures throughout Q1. Line haul air and ocean shipping rates continue to be at or above the rates in the second half of last year, which were already much higher than pre-COVID levels. Some of this is due to the impact of the Omicron variant in China and labor shortages at point of origin, and the start of the war in the Ukraine has contributed to high fuel prices.

For example, the cost to ship in overseas containers more than doubled compared to pre-pandemic rates. And the cost of fuel is approximately 1.5x higher than it was even a year ago. Combined with the year-over-year increases in wage inflation, these inflationary pressures have added approximately \$2 billion of incremental costs when compared to last year. While we will continue to look for ways to mitigate these costs, we expect they will be around for some time.

The next bucket of costs related to productivity and fixed cost leverage, which we consider to be more within our control and are working to reduce. These additional costs correspond to the state of the labor force and fulfillment network following 2 years of disruption and large demand variability. We now look forward to more predictability in our consumer order patterns and greater stability in our operations.

Let's start with labor. As a reminder, in the second half of 2021, we were operating in a labor-constrained environment. With the emergence of the Omicron variant in late 2021, we saw a substantial increase in fulfillment network employees out on leave, and we continue to hire new employees to cover these absences. As the variant subsided in the second half of the quarter and employees returned from leave, we quickly transitioned from being understaffed to being overstaffed, resulting in lower productivity. This lower productivity added approximately \$2 billion in costs compared to last year. In the last few weeks of the quarter and into April, we've seen productivity improvements across the network, and we expect to reduce these cost headwinds in Q2.

The last issue relates to our fixed cost leverage. Despite still seeing strong customer demand and expansion of our FBA business, we currently have excess capacity in our fulfillment and transportation network. Capacity decisions are made years in advance, and we made conscious decisions in 2020 and early 2021 to not let space be a constraint on our business.

During the pandemic, we were facing not only unprecedented demand but also extended lead times on new capacity. And we built towards the high end of a very volatile demand outlook. Now that demand patterns have stabilized, we see an opportunity to better match our capacity to demand. We have lowered our operation's capital expenditures for 2022 and are evaluating other ways to increase our fixed cost leverage. We estimate that this overcapacity, coupled with the extraordinary leverage we saw in Q1 of last year, resulted in \$2 billion of additional costs year-over-year in Q1. We do expect the effects of the fixed cost leverage to persist for the next several quarters as we grow into this capacity.

When you combine the impacts of the externally driven costs and the internally controllable costs, you get approximately \$6 billion in incremental costs for the quarter. *Approximately 2/3 of these costs are within our control, and with demand normalizing, we remain focused on rightsizing our cost structure and driving out any cost inefficiencies.*

so they are clearly focused on these things and are aware of the issue

am a simple guy - you can now buy amzn for 1.1t and get TTM NI+DA for close to 56b (much better than a 10 year treasury, though i can find 9 year paper from highly rated credits that pay similar amounts now). i don't know what happens in 2023 - a recession you would think - but looking 5 years out, if that figure grows by 10% a year on average, then the stock would be trading for forward 10x cash flow by year 2027. I think 10% NI+DA CAGR over 5 years is a doable goal.

Course, it would be much better to get another 10% or 20% drop. But in the end, the company benefited from pull-forward during the pandemic and now is, like many, many, many, many other companies, pulling back that growth. The stock is retreating too. There are cheaper things out there than this one, but as a nice stalwart name in my portfolio, it is hard not to be incrementally more optimistic. worth 2c, esp since as a person who doesn't run a hedge fund, I don't much care what it does in 2023...

Subject
Entry
Member

Re: Re: Question for the bulls?
06/14/2022 02:16 PM
mip14

Super helpful - I had been meaning to respond but why do you use TTM NI + DA for an extremely capital intensive business?

We still can't think of a better short then AMZN

- Retail margins negative for god knows how long... the outlook is getting worse by the day
- AWS is a beast, but that means its everywhere. if macro slows down and AWS decel's oh man look out below
- The doing to much when the cycle is turning is exactly how you get GE'd. Bezos even tweeting GE books...
- shareholder base is still thinking 5 years out when this is no market to look 5 years out + 5 year outlook is ridiculous. people thought AMZN was gonna print \$150 EPS this year. Guess what!
- competition competition competition. Tons of VC backed companies trying to eat AMZN lunch. Our whole foods basket has gone 50% to getir.

but this isn't a 0 (like maybe nflx is). Still think its intersting low end of \$650-950bn Mcap. Frankly almost there.

Subject	Re: Re: Re: Question for the bulls?
Entry	06/14/2022 03:00 PM
Member	WinBrun

1-retail margins--you have to be right on that. if you are wrong--and retail shows profitability (will not be this quarter-it will be two-four quarters from now which the market may anticipate)--you are going to get pimpsmacked. Bezos did this once (remember in 2014 when Henry Blodgett had him on stage for an interview after a horrible Q3 where everyone was saying what you are saying now (amazon makes no money). Next quarter they showed enormous beat and a few quarters after that they broke out AWS. they care about the stock. they have a lot of discretionary spend.

I actually think you are making a bet that not only will retail have a few bad quarters (which is consensus), but that retail is structurally unprofitable. It is wild because as a bull--I think Amazon retail could basically make as much money as they wanted to make on \$500B in retail sales with a path to \$700B by 2026--if they cared about near-term profitability-the could cut enormous amounts of discretionary spend (content/r&D/robotaxis)- not how they go to be \$1T company though. they will probably invest through the cycle.

2-AWS--it is hard to find one knowledgeable person about the shift in IT spend to the cloud who thinks it is anywhere close to mature. could it slow down--yes--does it seem likely that the slow-down would be temporary-----yes. are they hyper scaled cloud IAAS-PAAS companies well positioned to growing--seem like yes.

3-cycle--this is an interesting question. how cyclical is Amazon--versus other retailers. probably overindexed to some more discretionary categories--apparel-home--but also it is very possible they take share given that the delivery speed is improving by the week, Prime benefits are growing, and the grocery footprint is expanding. if Amazon grows through the cycle--would be good for the stock.

they definitely built-too much capacity during 2020-2021 which they have already said and they stated Q2 will be bad. we are getting close to market looking through that-and your view needing to be right to take the stock much lower.

4-you could look out one year and it is cheap if conditions are better than expected and/or the business takes share. if we have sustained period of much higher than expected inflation and terrible economic conditions--that is bad. Amazon seems more like a macro call.

I think bulls look out a long time because of the durability of the competitive position and various revenue streams that Amazon should dominate for many years. A variety of use cases (gifting/shopping fast) and categories (Apparel) and channels (mobile). the root of these respective competitive positions is selection/speed/and merchandising capability. Apparel is a fascinating one because it is a high-margin, high-traffic/ wide selection and reverse logistics based category that Amazon has 30% of online share-and it will maintain that share for a long time given the fundamentals that support it. great private label business--and a growing physical business. the reason the bulls look out a long-time is because of the strength of the category dominance-----no different than walmart in grocery. Apparel is a great category for online given convenience of trying on at home and ability to price shop. if 10% of Amazon's sales are apparel--\$40B--i think that category is probably very profitable for amazon--part of the reason they are doubling down (see Amazon Style/Luxury offering in the UK).

a competitor cannot replicate Amazon's apparel online apparel market share without the same core consumer value proposition of selection-speed-low-price--and return confidence-and you can't replicate those characteristics without a scaled marketplace and the logistics footprint. So to the extent that a large recurring volume of apparel shopping is going to go online-and some of that spend will go to the store with 1-most selection; 2-fastest delivery----Amazon is going to get a piece of that every year and it will grow with inflation over time (it will ebb and flow). The moat is then reinforced by more reviews--and faster delivery speeds and the general shift of the category. there are several other categories like that.

Over a five year period, in any quarter, there have almost always been more reasons to be bearish on Amazon than bullish. but that is mainly because they have invested so aggressively to solve one of the hardest problems imaginable (click a button and have any item you want show up at your house as fast as possible)-and although they have made progress-there is still a lot to do.

Subject
Entry
Member

Re: Re: Re: Question for the bulls?
06/14/2022 03:57 PM
SpocksBrainX

I had been meaning to respond but why do you use TTM NI + DA for an extremely capital intensive business?

--

The business is wonderful if it gives you more and more money every year without putting up anything – or by putting up very little. And we have some businesses like that. A business is also wonderful if it takes money, but where the rate at which you reinvest the money is very satisfactory. The worst business of all is the one grows a lot, where you're forced to grow just to stay in the game and where you're reinvesting the capital at a very low rate of return. And sometimes people are in those businesses without even knowing it. If somebody's reinvesting all their cash flow, they better have some very big figures down the road because a financial asset has to give you back a lot more cash one day in order to justify your laying out cash for it now. Investing is the art, essentially, of laying out the cash now to get a whole lot more cash later one. And something at some point better deliver cash.

WEB quote. In AMZN's case, I think (so just my opinion) their massive capital expenditures have been entirely rational and justified (for the most part) though pretty extreme in the last 3 years (what, 193b). Eventually they will get to the harvest phase, assuming they resist the urge to blow money on movie studios and other dumb stuff. For most companies, I don't do this, but it makes sense to use NI+DA in restaurants as you know. Or fast growing retailers, etc. I'm sure you'd use NI+Da with a Costco for example. Every dime they spend in CapEx is justified.

shareholder base is still thinking 5 years out when this is no market to look 5 years out + 5 year outlook is ridiculous.

Not sure what you mean by this. You can readjust the sizing of a bet when a valuation changes, but the one thing not to do is hold anything too long if presented with contrary evidence. (course, I know you know this so just for funsies here). I mean, you are saying the same thing with the *650-950b line*. If you were an actual bear, most likely you would not consider ownership at all.

Subject Burden of proof
Entry 08/22/2022 12:58 PM
Member mip14
 2019 - 2021 cumulative OCF - SBC - Capex - Leases = negative 27bn

Future maybe bright but during PEAK economic conditions (2019), peak e-com (2020), and peak stock market (2021), this biz has consumed cash flow and revenue growth next 3 years only going to decelerate.

Subject Re: Burden of proof
Entry 08/22/2022 01:14 PM
Member zzz007

AMZN up ~3x the S&P since your last post when you said that you "still can't think of a better short than AMZN". Just sayin'.

I think I smell some alpha burning.

Subject Re: Burden of proof
Entry 08/22/2022 01:16 PM
Member katana

"Negative FCF during very-high-growth phase, growth will decelerate going forward": You just described almost every growth tech business in history. This one has relatively high capex needs to boot.

Subject Re: Re: Burden of proof
Entry 08/22/2022 01:41 PM
Member mip14

well if you want to make it personal get it right - we aren't long S&P. we are short S&P.

Subject Re: Re: Burden of proof
Entry 08/22/2022 01:46 PM
Member mip14

FB/GOOGL/V/MA printed FCF and gained scale very early. Again, this is just a debate of if we want to do 'excel unit economics one day it'll scale math' with a company that has \$500bn in revenue...

Also we have a fairly bearish macro view - if we are remotely correct can't wait to see what AMZN PnL looks like when unemployment doubles and CPI stays sticky...

Subject Re: Re: Re: Burden of proof
Entry 08/22/2022 02:33 PM
Member Nails4

AMZN can instantly print a huge profit if they simply stopped spending money on Video and cut spending on Alexa. I have never understood why they spend like \$15b+ on video. Is the engagement really worth it? Would a ton of people drop prime if they stopped video? IMHO I seriously doubt it.

I strongly suspect there are a lot of 'pet projects' that can be cut without any impact to revenues if push comes to shove. It's really just a matter of management will.

FWIW though I wonder if the vaunted AMZN execution culture is slowly deteriorating. I recently talked to an AMZN product manager (social chatting) and was shocked when he told me how much time people spend polishing those 6 page memos (MONTHS!) and how slow decision making has become. It entirely defeated the original purpose of the 6 page memo. I wonder if some of the totems of AMZN management style has simply ossified given the massive bloat of the company.

Has anyone else heard stuff like this?

Subject	Re: Re: Re: Re: Burden of proof
Entry	08/22/2022 04:16 PM
Member	mip14
At what point are they just bad capital allocators ? Yes they got AWS right, but it seems like your not so optimistic on Video despite \$15bn of spend.	
Subject	Re: Re: Re: Re: Re: Burden of proof
Entry	08/22/2022 08:19 PM
Member	yxd0950
I'm sure this video thing of Amazon is a terrible decision because Walmart just said the #1 feature Walmart+ members desperately want is streaming.	
Subject	Re: Re: Re: Re: Re: Re: Burden of proof
Entry	08/23/2022 09:26 AM
Member	WinBrun

video is key driver of Prime. Prime has 200mm+ members probably at ~\$120/year and Prime members spend a lot more with Amazon-I have seen \$1000/year. Could be \$200B per year in Prime member spend out of \$400B of total retail. This in turn, makes marketplace more valuable--because 3P sellers benefit from larger base of Prime customers that makes sellers want to use FBA and advertise--which drives two of the highest margin revenue streams at amazon and in turn makes Prime more valuable to members as more 3P sellers join and opt for faster shipping. do they need to spend \$15b on video to sustain Prime-who knows? is it working yes. There are a lot of secondary benefits to Video---over the long-term.

The next few years will be telling. Once Walmart hit \$400b in sales--it basically grew 3% per year annualized. Amazon retail should be at about \$400B this year. The question really is can Amazon grow revenue at sustained rate above costs in a lower growth environment for a long time. the operating leverage would be substantial-seems to me it can.

I continue to believe that the quality and profitability of Amazon retail business is vastly underappreciated. The core moat is logistics---it will deepen each year-and it won't be replicated. 10% revenue at retail annualized through 2025=\$540B in retail--costs grow at 8%=\$500B in costs-\$40B in retail profit--worth \$1T---and I think that profit margin could be understated if marketplace and advertising continue to grow.

There are a lot of investments in retail (Alexa/Kuiper/Zoox) that are do not contribute to revenue or profit but have substantial asset value. They only need one of those to work.

Subject	Re: Re: Re: Re: Re: Re: Burden of proof
Entry	08/23/2022 11:41 AM
Member	Nails4

This type of fuzzy logic is what kills internet / ecommerce profitability everywhere in the world.

It's like: we are not going to make money on A. But hey! A is a loss leader, so you'll spend money on X.

Before long, it's like nope we are going to give A away, and then B, and then C, so you'll spend even MORE money on X.

Moreover, because of the number of complex cross-subsidies in an "ecosystem" it's almost impossible to prove an ROI. Because cutting in some place (that plainly loses money) could damage some other part of the ecosystem in a unpredictable fashion. This may not be TRUE, but is what everyone is afraid of... Instead, everyone is dreaming up ways of creating even more cross subsidies to make the ball of yarn even harder to disentangle. How do you KNOW the \$ you are spending is really generating a requisite amount of "ecosystem" value?

You ever wonder why take rates go up and up and yet companies don't show the massive amount of "drop throughs" as you might expect?

As a consumer, how about they get rid of Prime Video, and make everything 2% cheaper on Amazon? I'd take that all day long!

Some day, a real outsider type CEO will grab hold of one of these companies, and you'll probably see an ETSY type transformation.

In the case of video -- if video was so compelling and consumers are willing to pay for it, sell it standalone. My guess is that uptake would be minimal. *PS I half way suspect that the real reason they spent so much is just so that Bezos would get invited to more Hollywood parties.

Subject	fuzzy logic-part 2
Entry	08/23/2022 12:30 PM
Member	WinBrun

Some day, a real outsider type CEO will grab hold of one of these companies, and you'll probably see an ETSY type transformation.

The company is worth \$1.3T from about zero 25 years ago. Bezos (not the CEO anymore but it still his baby) is the ultimate outsider CEO. He has created more shareholder wealth than everyone in the Thorndike book combined and he did it pretty fast. Lets start with that. i would like to find a few more of these pretender outsiders who reinvest in the business to maximize long-term value.

cross-subsidies are everywhere in retail. You think Walmart makes a lot of money selling milk and produce or MCD franchisee makes good margin on anything but fries and soda?

if Amazon's retail business structurally cannot generate a profit on \$500B in retail sales, with about 30% of that coming from marketplace and ads----not a good sign for ecomm.

I would assume that if Video was not adding value to Prime--which one of the most valuable pieces of Amazon's business-they would not spend money on it.

Subject	Re: fuzzy logic-part 2
Entry	08/23/2022 01:15 PM
Member	bowd57

Hi, WinBrun --

> I would assume that if Video was not adding value to Prime--which one of the most valuable pieces of Amazon's business-they would not spend money on it.

Well, that's the precisely the question, isn't it?

I don't and and never have had a position in Amazon, and don't claim to know anything about the company,other than it's hard to avoid if you mess around with stocks. On the retail side, the big question is, can they take price and if so when will they? The company's been around for 25(?) years and is the nation's second largest employer. But there's still a speculative component to investing here, because where is the money? I think that's a good question to ask: Where is the f*cking money? And if you don't have it now, when will you have it?

Yours,

Bowd

Subject	Re: Re: fuzzy logic-part 2
Entry	08/23/2022 02:00 PM
Member	WinBrun

Hi Bowd—I think the first order of business is to know thyself. Some investors will never and can never invest until a business is generating GAAP profits today. that is their primal hang-up here. a bull cannot prove that retail is going to be profitable. this thread, and the various other threads, goes into a lot of the bull case as to why retail can be/is profitable at the core. but if the real-hang up is not the logic but the proof——then bulls-v. bears/skeptics are arguing religion. I don't think its crazy that bears are doubtful given that the business has been around a long time. but, I also think if you really analyze the various businesses, the states of growth, the growing revenue and profit—the enormous build-out of logistics over the past two-years-and the policy of funding long-time horizon big bets—you start to see how the question is a more bit more nuanced and complicated. I also think if you read the Bezos letters from the beginning—he has been very clear on two core principles: 1) free cash flow per share is what matters; 2—he wants to maximize the long-term free cash flow per share.

As to your big question—that is not the question i.e. can they take price. Low prices are fundamental to the business. they will raise on price Prime—and they will raise third-party seller fees——and they will charge higher CPMS if they can it get on advertsing——but they are definitely going to try to keep prices low for customers—and they are going to invest more in Prime so the value for money only improves. One of the most powerful ways to keep prices low is to offer free shipping to Prime customers.

The other consideration—is to ignore retail—and try to figure out what AWS worth so you don't have to be that smart on retail. enormous amount of hand-wringing on retail when AWS could be worth close the entire value of the company in which case the retail can be worth a wide range and the return is still going to be good here.

Subject	Re: Re: Re: fuzzy logic-part 2
Entry	08/23/2022 02:56 PM
Member	mip14

on that point of AWS... made \$5.7bn in operating income last q. Tax that and you get maybe \$4.6bn or \$18.5bn annualized. Multiply that by 40x and you get \$735bn. How does that equal the whole TEV of AMZN?

Subject	Re: Re: Re: Re: fuzzy logic-part 2
Entry	08/23/2022 03:07 PM
Member	WinBrun

I think I said "could be worth close." can model it different ways and get very close.

Subject	Re: fuzzy logic-part 2
Entry	08/23/2022 03:55 PM
Member	Light62

The company is worth \$1.3T from about zero 25 years ago.

I would assume that if Video was not adding value to Prime—which one of the most valuable pieces of Amazon's business—they would not spend money on it.

Some might argue that that \$1.3trln of value that's been created rests largely on this sort of assumption - I have no view on whether the assumption will prove out to be true but the story you're telling (cross-synergies, economies of scale, market dominance, unprofitable investment into LT winning products) is the consensus and it's what's driving the valuation. To claim the valuation is proof that the story is true when the valuation itself is a function of the story seems a bit circular (though I don't doubt that circularity is a big part of why the stock is where it is and why the market is so enamored of it).

Subject	if Amazon's retail business structurally cannot generate a profit on \$500B in retail sales, with about 30% of that coming from marketplace and ads----
Entry	08/23/2022 04:24 PM
Member	Nails4

if Amazon's retail business structurally cannot generate a profit on \$500B in retail sales, with about 30% of that coming from marketplace and ads—not a good sign for ecomm.

This is a valid thing to think about and I'm deathly afraid of this. I think this is the key bear case.

How about this for a hypothesis –

E-commerce, at least how it exists today, has destroyed retail as a business. This is because e-commerce destroyed one of the strongest sources of moat for a retailer – the very nature of *place-ness*. That is, it radically reduced search costs and switching costs (e.g. you are in the store to buy item X, but for convenience you buy Y and Z too). Instead, it's created a Hobbsian world of competition red in tooth and claw. All incremental gross profit (or take rate) must be reinvested in the business to defend against competition. Yes there are alternative moat sources in e-commerce, but these new moat sources do not compensate adequately for what's been lost.

Empirically, at least so far, this mental model describes e-commerce reasonably well, not just in the US but all over the world. As soon as a dominant business "relaxes" for an instant – like Alibaba in China – they are quickly attacked and cannibalized.

This hypothesis would suggest e-commerce is simply a bad business. AMZN IS the best large general merchandise e-commerce business in the world. If I had to bet on one, I'd bet on AMZN. But as you say, if AMZN doesn't make money, what does that say about this industry? Is AMZN just the best house in a very bad neighborhood?

Subject	Re: if Amazon's retail business structurally cannot generate a profit on \$500B in retail sales, with about 30% of that coming from marketplace and ads
Entry	08/23/2022 05:11 PM
Member	mip14

Nailed it :)

Subject	Re: if Amazon's retail business structurally cannot generate a profit on \$500B in retail sales, with about 30% of that coming from marketplace and ads
Entry	08/23/2022 05:48 PM
Member	Nails4

Just to be clear I'm not saying what I wrote is absolutely correct (I'm sure it's over-simplification). But it's at least plausible to me as a baseline mental model for e-commerce. If anything it seems to fit the facts on the ground.

I suspect there's profit potential for AMZN (more so than just about anybody else in the world) largely because of the nature of the North American market / consumer (let's face it, we are rich and lazy vs the rest of the world, and we don't use superapps), but it may require them to reduce costs and become much more disciplined about side projects. The profits won't simply arise out of scale. Or at least, it's much more complicated than that.

Subject	Re: Re: if Amazon's retail business structurally cannot generate a profit on \$500B in retail sales, with about 30% of that coming from marketplace and
Entry	08/23/2022 08:53 PM
Member	yxd0950

How could a business without moat keep raising Prime membership prices and third party seller fees?

Subject	Re: Re: Re: if Amazon's retail business structurally cannot generate a profit on \$500B in retail sales, with about 30% of that coming from marketplace
Entry	08/23/2022 09:08 PM
Member	Light62

If it's true that AWS is run-rating at ~\$20bln of Op Profit then Amazon is losing money on the retail side. Why would you need a moat to be able to raise price if you're selling a service for less than it costs you to provide it? And isn't that the whole idea behind these high-growth consumer-facing tech business models - way underprice your offering to grab all the market share you can on the expectation that the terminal economics will be good?

Subject	...
Entry	08/23/2022 09:58 PM
Member	SpocksBrainX

*E-commerce, at least how it exists today, has destroyed retail as a business. This is because e-commerce destroyed one of the strongest sources of moat for a retailer -- the very nature of **place-ness**. That it, it radically reduced search costs and switching costs (e.g. you are in the store to buy item X, but for convenience you buy Y and Z too). Instead, it's created a Hobbsian world of competition red in tooth and claw. All incremental gross profit (or take rate) must be reinvested in the business to defend against competition. Yes there are alternative moat sources in e-commerce, but these new moat sources do not compensate adequately for what's been lost.*

heard a podcast recently about shein clothing being valued at some point this year at 100b which seems to refute the argument perhaps?; besides, how can you measure true profitability with this much spending? That they can will turn off at some point, perhaps; maybe it has already started?. Maybe Amazon can just turn it on when they R truly expected or even 'forced' to do so, like they did here:

The year 2001 will be an important one in our development. Like 2000, this year will be a year of focus and execution. As a first step, we've set the goal of achieving a pro forma operating profit in the fourth quarter

I think they will do it when it is expected they do it. He wrote this then cause that what was needed at the time...

not thinking too hard about this - this stock makes my head hurt so i don't go there anymore; far easier ideas to follow IMO

Subject Re: ...
Entry 08/24/2022 09:01 PM
Member yxd0950

Way underpricing selling below cost yet still have positive cashflow even before the advent of AWS in the early days.

How did that work?

And if it is so easy to just sell below cost as you said, where are the copycats that also have survived as long as AMZN?

If we after 20+ years and 3 recessions just realized AMZN has no moat, it would be the biggest mistake the weighting machine has ever made.

Subject Re: Re: ...
Entry 08/24/2022 09:25 PM
Member Light62

I mean, they don't seem to be generating cash flow today from the e-commerce business and today is when they're raising price. Beyond that, cash flow is not earnings and even positive earnings do not necessitate that a business is earning its cost of capital.

I never said it was easy to sustain a business that sells goods below cost - I think it is hard as it requires sustained investor enthusiasm and belief in the terminal economics. The question, again, is - when Amazon starts cutting costs or raising prices much faster than costs will customers leave and/or will competitors flourish? Amazon has never really demonstrated that neither of those things will happen as it has never generated sustained earnings from the e-commerce business sufficient to justify the valuation. I don't know if either of those things will happen and I'm not claiming to have any insight on the matter except to say it seems like it is open for debate.

Subject Boring The Club Again
Entry 08/25/2022 01:49 AM
Member bowd57
 Hi, all --

Not sure why I'm re-weighing in, other than to point out that Light62 said it better than I did. Again, I have no position and don't know enough to even have an opinion, but there are obvious questions here. In my phrasing, "OK, they're the second largest non-governmental employer in the US. When do they take price? When they're the largest? And when do they become the largest?"

I also want to amplify remarks someone made upthread: Giving stuff away makes it hard to guess at the actual economics of the business, or, if you're a free-market maximalist, *impossible*. This isn't Amazon-specific, as any market observer over the last couple of years can attest.

Yours,

Bowd

Subject Already focused on healthcare?
Entry 09/08/2022 09:04 AM
Member mip14

Its OK that retail is burning like \$2bn in FCF per month. Healthcare is a growth vertical! Buying public market companies for a premium to get into healthcare is exactly what a \$1.5t money burning company should be doing.

AMZN's best days seem behind it and this pivot to healthcare should scare bulls.

https://www.wsj.com/articles/amazon-ceo-charts-slower-hiring-following-pandemic-boom-11662583104?mod=business_lead_pos12

Subject Re: Already focused on healthcare?
Entry 09/08/2022 09:48 AM
Member WinBrun

AMZN's track record of entering and scaling new businesses should scare bulls. the failures of AWS/Advertising/Marketplace/Logistics/Consumer Electronics/Entertainment are scary. should have stayed with books that two weeks to arrive.

you are doing no work on these names. you take a taking a cursory look at income statement and making big bold uninformed statements.

I am not saying that you are wrong about Amazon (I think over a five-year period—you are going to be volently wrong). but if you are right in the short-term, it is for the wrong reasons.

Subject Wage Inflation
Entry 09/13/2022 09:41 PM
Member mip14

AMZN is already deeply unprofitable in retail and it seems like labor is ready to fight capital. Another headwind to everyones projected retail OI margin.

no view if this passes or not but I suspect wage inflation will continue to be an issue for AMZN.

https://www.wsj.com/articles/amazon-union-election-in-upstate-new-york-is-planned-for-october-11663107292?mod=hp_lista_pos1

Subject Re: Wage Inflation
Entry 09/14/2022 02:53 PM
Member WinBrun

AMZN is probably more insulated against this problem. Most of the labor is in FC/DC—and to some extent last mile. It is supply chain—which likely more feasible to automate/make more productive through technology investment. Amazon is probably one of, if not the, target commercial robotics company in the world. The robots automate tasks in the warehouse-and more crucially, can make workers more productive. On the last mle—the shift to autonomous vehicle/drones-is probably helpful. You won't do this because it is a heavier lift than reposting WSJ articles—but if you are truly a long-term fundamental bear on AMZN (and not betting on how it does through end of year)—you should read about the investments and improvements that Amazon has made in warehouse robotics and supply chain technology—it is remarkable—and I think both will drive major productivity gains. This is now the most sophisticated and technologically advanced logistics business in the world.

Conversely, the physical retailers (Walmart/Target) probably have a more uphill battle to automate their retail locations-unless they are going to have robots with the computer vision required to restock store shelves without running into customers. And, they lack the technology in-house on the supply side and the delivery network is not developed because they are betting in-store pickup. Fundamentally, the difference between fulfillment of a chain of retail stores versus fulfillment of an individual customer order to their home-is totally different.

Lastly, it is advantage to have more margin to work with if this happens. Pre-Covid--Walmart was growing revenue 3%. with a 4% EBIT margin. call it \$587B in revenue and \$563B in costs-EBIT-\$24B (lumping Sam's in). 50bps of cost increase more than revenue--i.e. revenue grow 3% versus costs grow 3.5%--margin down 12.5%. I might be wrong, but 3% top-line grow with inflation seems challenging (of course Walmart could take market share and grow SSS-I am not negative on Walmart—but I do think amazon is going to take share of the next three years as delivery speed improves and grocery is more developed).

I personally find it hard to believe that AMZN retail grows less than 10% top-line over the next three years annualized---given the many growth drivers in the business (Prime/International/Advertising/shift to ecomm/faster delivery)---and provided that costs grow less---(the big if)--Amazon retail should expand margins meaningfully-I would tell you that I think Amazon is starting from a much higher retail margin that you believe given the high-margin revenue embedded in mature and growing areas of retail (N.A./Ads/Marketplace) and--a lot of the losses in retail are from consolidating losses in new businesses or high-growth businesses (Alexa/Kuiper/Zoox/Intl') and this could continue. But, my sense is that we should see sustained improvement in retail margins and cash flow over the next few years given that the business is now planning for much lower top-line growth and the trends and growth in the business should still be healthy.

Subject Fedex
Entry 09/16/2022 11:31 AM
Member mip14

Any thoughts on what this FDX explosion means for AMZN?

Subject Re: Fedex
Entry 09/16/2022 11:56 AM
Member mike126

not a very educated guess by me but I think it doesn't mean as much as one might think, at first. AMZN's been deemphasizing FedEx (and I believe also UPS, but to a lower extent, perhaps), so quality of the read-across has been declining

Subject Entry Member	I miss the old mip- 09/16/2022 12:35 PM WinBrun Re: Re: Re: Re: Re: Re: Re: USPS parcel injection... delivery cost will go up a lot
mip14 8/08/16	

23

While I understand the viewpoint that Amazon is currently being subsidized, I wonder if this perspective misses broader story. Autonomous vehicles are coming, drones may be coming, and it seems relatively clear that the long-term costs of transportation are going down, not up. When Amazon no longer has to pay the cost of a driver and increasingly controls its logistics network, I personally would be very surprised if delivery costs are not meaningfully lower in 10-20 years (which is what current owners of Amazon are playing for). I am not trying to advocate for ownership of Amazon but I would personally be very cautious about any thesis predicated on delivery costs going up.

Subject Entry Member	Re: I miss the old mip- 09/16/2022 12:42 PM mip14 old mip was a bull market baby.
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Subject Entry Member	Amazon prime membership is the last to cut among almost all things 10/13/2022 05:01 AM yxd0950 https://downloads.ctfassets.net/0o6s67aqwnu/2cEHaMphwzN7d2L5PtUZF/05818aacde67374a914e04e7dc024ac7/NRG_ThoughtLeadership-Subscriptions-Final_Version.pdf?utm_content=null&utm_source=Sailthru&utm_medium=email&utm_campaign=Tuesday%20Email&utm_term=4ABCD Just want to share this very informative research that clearly shows the power of Prime. NFLX/Spotify came in close 2nd/3rd.
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Subject Entry Member	Where is the growth? Where is the profit? 10/27/2022 04:06 PM mip14 Where is it?
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Fourth Quarter 2022 Guidance

- Net sales are expected to be between \$140.0 billion and \$148.0 billion, or to grow **between 2% and 8%** compared with fourth quarter 2021. This guidance anticipates an unfavorable impact of approximately 460 basis points from foreign exchange rates.
- Operating income is expected to be between **\$0 and \$4.0 billion**, compared with \$3.5 billion in fourth quarter 2021.
- This guidance assumes, among other things, that no additional business acquisitions, restructurings, or legal settlements are concluded.

Its time to stop doing framework/excel gymnastics and go back to FCF - SBC. VIC is coming back.

Subject Entry Member	Re: Where is the growth? Where is the profit? 10/27/2022 04:08 PM mip14 oh and leases which is cash flow financing.
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Subject Entry Member	Re: Re: Where is the growth? Where is the profit? 10/27/2022 04:22 PM natty813
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Subject Entry	Re: Re: Re: Where is the growth? Where is the profit? 10/27/2022 04:27 PM
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Member

Chalkbaggery

Very entertained

Subject Epic cash burn for barely any growth
Entry 10/27/2022 04:50 PM
Member mip14

•Free cash flow less equipment finance leases and principal repayments of all other finance leases and financing obligations decreased to an outflow of \$21.5 billion for the trailing twelve months, compared with an outflow of \$3.9 billion for the trailing twelve months ended September 30, 2021.

If you blow 22bn and then have 17bn SBC thats a nearly 40bn true FCF burn over 12 months. This is the most epic cash burn I've ever witnessed. Wait... what if AMZN retail is just the original metaverse? Cash burning at epic proportions and stealing all of AWS' profit.

Question - has any company burned 40bn in FCF - leases - SBC ever in 12 months?

Subject Winbrun what did you mean 1/3 basis (1 year 3 year?) in Comment 30?
Entry 10/27/2022 04:59 PM
Member mip14

Well first 6m XPEL / VAL on fire and AMZN is a dumpster fire. VAL just hit highs.

Btw you started this 'pick one contest.' I am just following up. So thumbs down me all you want.

Please clarify since I don't want to be 'too academic.'

Subject Re: Winbrun what did you mean 1/3 basis (1 year 3 year?) in Comment 30?
Entry 10/27/2022 05:49 PM
Member WinBrun

nice to see you reacting in a measured way--no hot takes. mip picked the wrong day to stop sniffing glue.

I meant lets see how the stocks do over a 1-year-3 year period. 1 year is looking good for you--though my post was from April--so there is still time on the one year. three years--(what seems to be a fair time frame for the "bold faced type value investors club") is a long time in markets these days. maybe a little early to beat your chest.

i didn't mean you were being academic. I meant the debate was. I don't look at a consolidated P&L number in one quarter on Amazon to determine whether I think there is value there over a multi-year period of time. I am not sure why you need proselytize continuously about how people should look at things. big boys and girls here--you have your view-they have theirs. no ideological purity tests. you should take your well deserved wins in 2022--with some grace---things are always changing.

Subject Amazon \$36bn ad business
Entry 10/27/2022 10:02 PM
Member marwari25

Amazon's advertising business recorded \$35.8 billion in net sales in the last 12 months, growing +25% in Q3 2022

Given Meta's negative growth and Google YouTube's negative revenue growth last quarter, wow

Amazon's \$35-50bn ad business alone has greater revenue than: Visa Nvidia Mastercard Salesforce PayPal Netflix Starbucks Uber

Go figure

Subject Re: Amazon \$36bn ad business
Entry 10/27/2022 10:09 PM
Member pcm983

what's the margin on that?

Subject Its really this simple
Entry 10/27/2022 10:36 PM
Member mip14

The Rings of Pain

amazon 🤡

A business that can't support itself unless the government imposes lockdowns 🤡

AMAZON.COM ANNOUNCES THIRD QUARTER RESULTS

SEATTLE—(BUSINESS WIRE) October 27, 2022—Amazon.com, Inc. (NASDAQ: AMZN) today announced financial results for its third quarter ended September 30, 2022.

What's the point of growth if they lose money and burn cash on every sale?

- **Net sales** increased 15% to \$127.1 billion in the third quarter, compared with \$110.8 billion in third quarter 2021. Excluding the \$5.0 billion unfavorable impact from year-over-year changes in foreign exchange rates throughout the quarter, net sales increased 19% compared with third quarter 2021. **They never bothered to show this when FX was good for them.**
 - North America segment sales increased 20% year-over-year to \$78.8 billion.
 - International segment sales decreased 5% year-over-year to \$27.7 billion, but increased 12% excluding changes in foreign exchange rates. **No fix for international. No lockdowns helping them anymore.**
 - AWS segment sales increased 27% year-over-year to \$20.5 billion, or increased 28% excluding changes in foreign exchange rates. **Lowest growth ever, and much lower than \$GOOGL and \$MSFT**
 - **Operating income** decreased to \$2.5 billion in the third quarter, compared with \$4.9 billion in third quarter 2021.
 - North America segment operating loss was \$0.4 billion, compared with operating income of \$0.9 billion in third quarter 2021. **How can they STILL not make money in the US? 🤡**
 - International segment operating loss was \$2.5 billion, compared with operating loss of \$0.9 billion in third quarter 2021. **No chance ever making money internationally**
 - AWS segment operating income was \$5.4 billion, compared with operating income of \$4.9 billion in third quarter 2021. **Collapsing AWS margin from 30%+ to 26% = flat EBIT despite topline growth!**
 - **Net income** decreased to \$2.9 billion in the third quarter, or \$0.28 per diluted share, compared with \$3.2 billion, or \$0.31 per diluted share, in third quarter 2021. **Earnings down to \$1.9bn from \$3.2bn last year ex-RIVN gain**
 - Third quarter 2022 net income includes a pre-tax valuation gain of \$1.1 billion included in non-operating income from the common stock investment in Rivian Automotive, Inc.
 - **Operating cash flow** decreased 27% to \$39.7 billion for the trailing twelve months, compared with \$54.7 billion for the trailing twelve months ended September 30, 2021. **\$17.4bn capex, \$66bn trailing 12 months 🤡**
 - **Free cash flow** decreased to an outflow of \$19.7 billion for the trailing twelve months, compared with an inflow of \$2.6 billion for the trailing twelve months ended September 30, 2021.
 - **Free cash flow less principal repayments of finance leases and financing obligations** decreased to an outflow of \$28.5 billion for the trailing twelve months, compared with an outflow of \$8.8 billion for the trailing twelve months ended September 30, 2021. **How can they burn so much cash? \$28.5bn? Excl \$17.7bn SBC!**
 - **Free cash flow less equipment finance leases and principal repayments of all other finance leases and financing obligations** decreased to an outflow of \$21.5 billion for the trailing twelve months, compared with an outflow of \$3.9 billion for the trailing twelve months ended September 30, 2021.
- Q4 guidance (for what's supposed to be their best quarter): \$140-148bn sales (vs \$155bn consensus), 2-8% growth 🤡, EBIT \$0-4bn (vs \$5bn consensus). YIKES! 🤡**
- At least employees still minting cash: 12 month share based compensation a new RECORD high of \$17.7bn (vs \$11.6bn last year)! 🤡🤡🤡**
- Cash burn incl SBC a record \$46.2bn 🤡🤡🤡**

Mathematically, this is one of the ugliest 12 months in business history.

I want to say unlike most MOAB stocks with insane adj. I really respect AMZN's investor slides. It just really narrates how unprofitable this business is.

Subject

Re: Amazon \$36bn ad business

**Entry
Member**

10/27/2022 11:47 PM
NPComplete

"AD Business" is a misnomer. What it is at the end of the day is selective take rate... And should be rolled into the overall 3P take rate of Amazon.

**Subject
Entry
Member**

Re: Its really this simple
10/28/2022 02:47 AM
natey1015

I don't think it's "really this simple." First of all, let's give Bezos (and team) a lot of credit for creating a company of this size that impacts (generally positively) many of our daily lives in various ways. Let's not forget he sat in our "seat" at the onset of his career. From all accounts he is a rational, profit maximizing investor. His timeline might be different (i.e. much longer) than most to do this. And he certainly has enough wealth not to care how long it might take or the risks/cash burn it takes to possibly get there. But his recent comments about reigning in expenses seems to mean he does care about balancing having a sensible cost structure for the current economic environment while trying to maximize long-term value creation.

Ten years ago I had a meeting with Fred Smith at FDX headquarters with some other investors. One investor asked Fred if he ever worried about AMZN competing with FDX and self-delivering its own goods. Fred said that AMZN would never do it because its lack of scale/local density in much of the U.S. would result in huge losses. He cited DHL trying to compete with FDX and UPS in the U.S. and failing miserably. Fred was wrong about the former, but right about the later—at least where AMZN currently stands. And that is likely where a huge amount of losses are currently.

Just think about it—it has a huge recurring Prime subscription business, high margin 3P business and fast growing, high margin advertising business. But this is offset by losses in self-delivery, video (including expensive sports rights), etc.

Another way to think about it is that when a consumer goes to WMT, TGT, etc. to shop for groceries, home goods, etc. they are traveling to that store on their own dime—both in terms of unpaid time and unpaid travel expense. But when goods are delivered to your home, AMZN is paying for that courier's time and cost of vehicle/gas/insurance. The only way the economics work in AMZN's favor is with massive local scale—and that is the long game it is playing for. My gut is it will work out for AMZN in the long-term because younger people who are its future, largest customers have grown up with these services as more of a standard way of living as opposed to older people who grew up going to the supermarket, mall, etc. to shop as part of their daily/weekly routine. But is the long-term where we can see the pay-off come through its P&L 3 years, 5 years, 10 years, 20 years or 50 years?!

And so this is why it's not "really this simple." None of us, not mip14, WinBrun, me, etc. have the crystal ball to know whether or not these current operating losses, Capex investments and acquisitions will ultimately pay off over the long-term and when that might be. And often the long-term doesn't jive with managing money for other people whose timelines are usually the here and now. All we can do is watch, listen and potentially invest if we get what we feel is a good risk/reward entry point on valuation. Maybe it's now, maybe it's down the road or maybe it's never.

My read of how Bezos (and team) thinks is that it is playing the long-term market share game. They probably figure every incremental unit sold generally has a nice gross margin and some fulfillment cost translating into very healthy incremental unit economics (especially when including incremental advertising revenue) because it is leveraging existing deliveries to the same household (or households in the same local area). They know most likely no other retail company will make these kinds of investments and "suffer" these kinds of near-term losses. And every point of market share gained weakens its competitors ability to further invest in their businesses—serving to improve AMZN's competitive advantage if it actually translates into substantial profits (and healthy ROIC) down the road.

What AMZN probably didn't factor into its plans for the current environment is that there would be huge wage and energy inflation (impacting its delivery costs) at the same time there is an economic slowdown for goods purchased (in favor of travel, experiences, etc.). And it unfortunately massively expanded their delivery capacity into this dynamic.

If AMZN's retail investments ultimately pay off (into substantial GAAP EPS) you can see the potential value creation. COST (a subscription based retail biz model) trades at ~33x forward EPS (and ~30x avg. forward P/E over the last 10 years). Clearly, it's not a perfect apples-to-apples comparison, but a decent one nonetheless.

We're all very lucky to be a part of VIC and hopefully we're helping each other be better investors over time by sharing our often different points of view.
#InvestWithHumility

**Subject
Entry
Member**

Re: Re: Its really this simple
10/28/2022 07:17 AM
ahnuld

Personally ive come around to the view over the past 6 months watching some of these ecom names blow up that same day delivery with no minimum order size will never be profitable. Its just a function of free money over the last decade. How can anyone make money when they are dropping off a roll of paper towels (6\$ item, 1\$ GP) to my house in 2 hours? Honestly its just stupid. Put a \$50 minimum order size, maybe it works. But really I would like to see these companies switch back to 2 day delivery, 50 min order for free shipment. Maybe they can be profitable then. Will consumers complain? Yeah, probably for a few days. People are lazy and have now been trained. But if the choice is wait 2 days and get your stuff without getting off the couch or drive to walmart, its a fair trade off and people will choose based off the immediacy of the need/want.

Would like someone to explain to my how the economics can ever work out plz.

Its also horrible for the environment but thats another story.

Subject

Re: Re: Its really this simple

Entry 10/28/2022 08:35 AM
 Member mip14

First of all this humility thing is really a gem. I was told to read the AMZN 10k. I was told SBC isn't real. I was told healthcare companies should be scared of AMZN. I was told I am being academic. I was told how can retail have negative value despite on my math they just burned \$50bn in FCF-SBC the last 12 months. I think someone even said they AMZN is up so we are losing alpha haha. Are you kidding - long oils short tech is a trade of a lifetime. In response, I just said **"look at the numbers, they suck"...** **"look at the numbers, they suck."** If you want to 'investwithhumility' realize the world is uncertain, making money is tough, so having random margin math in your models when the current numbers are a dumpster fire for a company with insane fixed costs in an tough economic environment is a total lack of humility. This bubble got so strong. And really its not anyones fault. Powell and Co changed everyone from LTM FCF to 2026 theoretical EBIT. I am as angry as anyone that the powers that be did that.

Zoom out. Keep it simple. We are waiting for a \$600bn sales company to scale? Like say it out loud in the mirror while looking at yourself. "I am waiting for a \$600bn in sales company to get scale when its a \$750bn company." Does it make sense? Even if it does, you should get PAID if you are right (entry <\$650bn Mcap on my math). You are making a heroic call and kudos if you are right.

I just dont get how your "gut" can replace the reality that this is a cash burning machine. But lets see. Yes maybe they will make "some" cash but to support a cap this size? Anyways, i'll wait 0.5 and 2.5 years for WinBrun. Its in my calendar. In the mean time, I said this would reach <\$2,000. Check. I still think AMZN is a flyer (option value gamble) at lower end of \$650-850bn TEV. Results are a train wreck (almost no growth Q4), so maybe I should lower that but clearly happy to stay short and press here.

TLDR: No matter how you slice it and dice it, a juicy investment for AMZN you must get the retail for free. I still stand by that. Excel math on advertising/retail should be a totally free call option. Until then its overpriced and I wouldn't rely on a gut feeling that this can be profitable.

"My gut is it will work out for AMZN"

- Natey

Subject Re: Re: Re: Its really this simple
 Entry 10/28/2022 09:09 AM
 Member SpocksBrainX

I just dont get how your "gut" can replace the reality that this is a cash burning machine.

Not sure why you say this when if you just go back to 2019 they did about 88b in 3 year CFFO (16 SBC though) w/42b CapEx. The CapEx budget for 2019 was 16.9b. They are doing that in a Q now - so the reality is not that they are a cash burning machine, the reality is they are a cash burning CapEx machine, right? Like META. Which is a rational reason for the decline? But those things can be rationalized, the BS still looks fine, and maybe they will stop doing things with the RSUs going thru the roof. The story is ongoing (though I look at that recent HC acquisition and the spend on the studios and all that and kinda wonder if they've lost their way a bit). I'm not long, but I don't think these results will mean much 5 years from now.

How can anyone make money when they are dropping off a roll of paper towels (6\$ item, 1\$ GP) to my house in 2 hours?

on this view, I used to say that 10, 15 years ago. The reality is a lot of these orders are in dense areas - in our neighborhood, we had a person who hired w/Amazon for the holiday season as a driver, and the routes were concentrated. Only Amazon knows the profitability of routes and orders and so forth, but I wouldn't assume much beyond that if you are making casual observations from the outside - at least, these sorts of things blinded me. You can take random factoids like that as a barrier to entry and stop yourself from carefully looking at a host of things. Be careful, if that matters. Saying this to me too...

Subject Re: Re: Re: Re: Its really this simple
 Entry 10/28/2022 10:46 AM
 Member ahnuld

but spock, we do know directionally the profitability of the routes, its algebra.

If AWS and Ads are extremely profitable (and they are) we know they are losing billions on ecom. Seriously, just look at these operating profits by division (and ads are included so ex ads even more negative ebit)

AMAZON.COM, INC.
Segment Information
(in millions)
(unaudited)

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2022	2021	2022
North America				
Net sales	\$ 65,557	\$ 78,843	\$197,473	\$222,517
Operating expenses	64,677	79,255	189,996	225,124
Operating income (loss)	\$ 880	\$ (412)	\$ 7,477	\$ (2,607)
International				
Net sales	\$ 29,145	\$ 27,720	\$ 90,515	\$ 83,544
Operating expenses	30,056	30,186	89,812	89,062
Operating income (loss)	\$ (911)	\$ (2,466)	\$ 703	\$ (5,518)
AWS				
Net sales	\$ 16,110	\$ 20,538	\$ 44,422	\$ 58,718
Operating expenses	11,227	15,135	31,183	41,082
Operating income	\$ 4,883	\$ 5,403	\$ 13,239	\$ 17,636

Subject Re: Re: Re: Re: Its really this simple
Entry 10/28/2022 11:15 AM
Member glgb913

It does seem very possible, indeed likely, that AMZN along with a plethora of other more egregious examples got carried away with their moat and competitive advantage potential. The tech bible Zero to One has a lot of implicit postulates on scale bringing competitive advantage that just isn't true in many commodity activities. Delivering inventory/SKU intensive, small/dense objects like BOOKS was a business model innovation. Trying to compete with Costco in toilet paper when Amazon delivers and Costco's customers come to the warehouse themselves seems really hard. That's a luxury service with a smaller through-cycle TAM.

Carvana, Wayfair, Stitch Fix. Probably more egregious. And the hardest part is that if/when these businesses have to shrink in a recession it's super hard to put a floor under the cash burn due to the fixed costs. Looking at distressed Carvana bonds is an eye opener for how scary these things can get - for heaven's sake they're saying they need to grow even faster to become FCF neutral. Liquidation in record time becomes a serious probability and it's already happening at the low end of the market.

I don't know what's going to happen with these businesses, least of all Amazon, but I have now analyzed enough distressed prior high-flying tech companies to say that the math of the business models can be pretty nuanced, margins and competitive edge razor thing, and surprisingly overlooked. It's not a given that it makes sense to deliver XYZ to consumers, or that ABC software is actually a sticky magically growing widget that a team from Microsoft can't just build in 3 months just because some VC thought that was obviously true 9 months ago.

Subject Re: Re: Re: Re: Re: Its really this simple
Entry 10/28/2022 11:45 AM
Member WinBrun

It does seem very possible, indeed likely, that AMZN along with a plethora of other more egregious examples got carried away with their moat and competitive advantage potential. The tech bible Zero to One has a lot of implicit postulates on scale bringing competitive advantage that just isn't true in many commodity activities. Delivering inventory/SKU intensive, small/dense objects like BOOKS was a business model innovation. Trying to compete with Costco in toilet paper when Amazon delivers and Costco's customers come to the warehouse themselves seems really hard. That's a luxury service with a smaller through-cycle TAM.

there are 200mm plus Prime members spending \$100/plus per year in Prime member fees and spending somewhere between 1000-\$2000/per year on Amazon. That's over \$200B plus of sales from households that pay Amazon a recurring fee every month because they value saving time and money-not sure what smaller through cycle TAM is--but this is not that--to frame as selling toilet paper--is like saying its hard for Walmart make money selling milk. because online delivery is more convenient for a lot of people, Amazon is expanding selection and making delivery faster--they should get a growing share of spend over time.

AWS will generate \$80B this year, probably \$100B next year. EBIT margin is 30%. backlog is up about 60% YoY--which creates good visibility. Business grew 28% constant currency YoY-pretty good given the backdrop. Backlog is over \$100b-the backlog growth is telling you that shift to the cloud probably accelerates in this environment. 2025-AWS is potentially \$160B in sales with 25% growth. could have 30-\$40B of earnings power. maybe cloud slows down, margins compress and competition heats up. I would take the over--cloud growth will accelerate, operating margins are maintained, and AWS remains the leader. a lot of the op-ex growth in tech and content (up 28% YoY) and sales and marketing (up 38%) is to position AWS to continue growing-it may turn out to be a strategic advantage to long-term to invest in a good growing businesses against this cycle--downturns are generally when the seeds of future market share gains and dominance are cemented.

all of the histrionics around retail/route profitability----AWS is continues to grind--and it represents a very substantial portion of EV.for 20 years there has been debate in some form about the structural profitability of retail--the mip school believes amazon management continues to pursue an uneconomic value destroying plan of investing more in retail--despite growing cash burn and no profits. bulls would disagree. time will tell.

I don't want to rehash everything--but I think if you are long Amazon, one quarter (and a bad one at that) does not change the view that Amazon has leading market share and competitive position and substantial earnings power in two of the largest markets in the world (Retail/IT) and it is still relatively early in both--which necessitates a lot of investment in order to scale into both and generate profits over many years. The size and timing of the investments required to grow three-five-ten years from now is large-and it inevitably it is going to bump against uncertain macro--we went from Covid--where Amazon almost doubled the business in two years-to highest inflation in 50 years and huge currency swing and massive overcapacity. there is no way that this not going to cause a lot of noise in the results-sometimes for the worse. and there is no way a business with Amazon's ambition is going to avoid it.

Subject Re: Re: Re: Re: Re: Its really this simple
Entry 10/28/2022 11:51 AM
Member mike126

Ads are indeed a profitable business but it is difficult to disentangle them from retail functionally and it's not a straightforward argument that they should be separated from it in a SOTP sense. I'd say Ads are highly interlinked with retail and should probably be lumped together.

Subject Re: Re: Re: Re: Re: Its really this simple
Entry 10/28/2022 12:12 PM
Member SpocksBrainX

but spock, we do know directionally the profitability of the routes, its algebra.

I don't think you should compute it based on single Q or ytd or similar thing. With this huge investment cycle, and it has been breathtaking in size (16 to 61b) along with the onset of the pandemic, there are clearly plenty of distortions abounding, enough to not make too many generalized conclusions perhaps about any single point in time. I don't think these times are normalized. At least, that is my thought here - just a small thought.

Subject Re: Re: Re: Re: Re: Its really this simple
Entry 10/28/2022 01:18 PM
Member natey1015

AMZN is losing a ton on delivery net of the subscription fees (and advertising) it takes in to help cover these costs. But it's not like this part of the business cannot be profitable (or at least break-even) over time. UPS has a \$100B business doing a low-mid teens operating margin and sports a \$156B EV. Conversely, FDX's ground business has been struggling for several years and has seen its operating margin compress. It is not an easy business to execute well. AMZN ultimately needs to charge a commensurate fee for this service, which it is not doing at the moment. AMZN can continue to raise prices, which it can and should, but tough to say what the elasticity of demand is.

Subject Re: Re: Re: Re: Re: Re: Its really this simple
Entry 10/28/2022 02:17 PM
Member ahnuld

but natey that was my whole point, they are not charging a commesurate fee for the service and it may have to change drastically for them to ever make money from ecom.

they can set a higher minimum order value
charge much more for prime membership
deliver in two days instead of same day

Or what I think more likely some combination of all of the above. I never said amazon will never make money from ecom. I said I dont see how its possible if you allow people to have one single low contribution margin item delivered to your home.

And for spock, the argument you are making is more scale. Arent we at pretty huge scale already? Do they need to be 60% of retail penetrated before the current model can be profitable?

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Its really this simple
Entry	10/28/2022 02:30 PM
Member	WinBrun

North America Operating Profit (which is retail)

2016: \$2.3B
2017: \$2.8B
2018: \$7.2B
2019: \$7B
2020: \$8.6B
2021: \$7.2B

The retail model in North America has been very profitable for many years. going into this year--they had too much capacity. it is worth reading about how much Amazon expanded the logistics network--they are still working through the unwind.

International is still losing money---but you should de-consolidate given it is a) still very early in many markets where there is an upfront investment in Prime benefits (look at what they are spending in video in Brazil) ; b) overall much earlier

I am not saying this is a good general practice---but with Amazon, you cannot get a view for what is happening from a quick look at the cash flow statement in one quarter post a global pandemic where they doubled the infrastructure of the company in two years.

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Its really this simple
Entry	10/28/2022 04:00 PM
Member	SpocksBrainX

And for spock, the argument you are making is more scale.

Sorry - No, I'm not, or wasn't trying to give that impression.

When you spend a gazillion dollars (again 4x the amounts they spent just in 2019), when you hire lots and lots of people, when you overestimate capacity, when you buy studios and run a lot of businesses and so forth, things can go off-kilter, and major distortions occur, esp when the macro environment tilts after the crazy dollar printing of the last couple years. This occurs with my own stock-picking - usually, every so often, I have to reassess and simplify my work processes and get rid of things and do a re-do (always created by a crisis moment). Things are always deteriorating to some degree, and clearly it would be exacerbated by the boatload of incredible, mind-numbing spending going on still. Smart people pivot, eventually. That's all I'm saying. What you don't do IMO is assume the business is toxic or worthless or whatever in a period of rapid and crazy spending when there is no evidence that the business is permanently impaired. It is like META - if they had instead reported sharply lower expense and CapEx for 2023, that stock would have been at least \$150 (but they didn't). But you have to see a pivot IMO. I don't think Amazon is stupid, but...time will tell.

not much more than 2c from me

Subject	Minsky moment
Entry	11/01/2022 12:20 PM
Member	mip14

I think we are seeing a minsky moment form in mega cap tech. The first minsky moment was to short ARKK names (no profit la la land). We are now entering (finally) phase 2 of the bear market which is where people are hiding (large cap tech). It seems like we will have to wait for phase 3 next year (non-tech sells off).

Bernstein has a pretty thoughtful model on AMZN. **They have \$2.65 in EPS in 2024.** It seems very within the realm of possibilities that AMZN trades at 25x this \$2.65 or \$66/shr. This is the part of the sell-off which will be most painful as people framework (just buy AMZN, just buy MSFT, just buy GOOGL) are broken. Those frameworks developed because to these companies credit they beat and raised EPS. The opposite is now happening and these names are at very, very high multiples. Don't catch this falling knife.

I have been on the other side of this before and its painful. I have also learned this is actually when good short sellers press the attack. The narrative is forming that Amazon is a total dumpster fire, train wreck with epic cash proportions. We can have our qualitative opinion on AMZN, but the numbers suggest this. In turn, these things tend to overshoot on downside.

My previous valuation of \$650-850bn, due to very poor results, is now bracketed around the low end \$650bn. I think cheap is below \$500bn. At that point, this may be a great long.

Welcome to phase 2.

Subject	not sure
Entry	11/01/2022 12:32 PM
Member	SpocksBrainX

The opposite is now happening and these names are at very, very high multiples.

you've been 100% right of course, but at \$92 goog is an EV of 1.1t w/TTM NI+DA of 82b (NI+DA excluding those RSU you rightly mention). it isn't FCF of course but the CapEx has been more modest vs. CFFO, and NI can come down, but unlike the CPG stocks you noted which all seem to trade at valuations that seem high and must have to do with rotation, goog seems interesting here, don't you think? Unless you think search is at risk. Agree though that valuations overshoot in many directions (like, right now as u point out = a clear rotation going on, and those clearly move irrationally at some point) so who knows the future, but I'm not sure of 'very, very high multiples' anymore. course, you know this, so...

Subject	Re: not sure
Entry	11/01/2022 12:39 PM
Member	WinBrun

remains a philosophical difference whether it makes sense to value AMZN on consolidated EPS number (and react to the tape) on a business that has many different businesses in different stages of profitability--and was probably affected more than any other mega-cap tech name from the conditions in 2022--re overcapacity. it has never made sense to do that--given that amazon reinvests almost all profit---but maybe this time will be different.

an activist would argue for the split of AWS before that happened I think-----

the real risk to me is a materially slow-down in AWS--well above consensus.

2024 is reasonable time frame though.

people quote sell-side models in 2024 as a reason to short Amazon--might be the most bullish sign

Subject Re: Re: not sure
Entry 11/01/2022 12:41 PM
Member mip14
 You can't split AWS. The remaining company would be insolvent / BK.

Subject Winbrun - honest question
Entry 11/01/2022 12:45 PM
Member mip14
 At what point will you say this is a dumpster fire? Like what needs to happen.

Let me tell you what would change my mind in advance. **\$5 in GAAP EPS** (then its like 20x and w/e not expensive or cheap but still I am wrong for pressing short).

Subject Re: Re: Re: not sure
Entry 11/01/2022 12:48 PM
Member WinBrun
 who hurt you---

Subject Re: Winbrun - honest question
Entry 11/01/2022 12:55 PM
Member WinBrun
 it is hard for me to see a scenario where it is "dumpster fire"(nice). But, I think the two main risks--and where I would say that I am wrong

1) AWS growth materially slows--and the margins compress. If we look at AWS growing 10-12% with 20% EBIT margins--for the next three years and then slowing down--that changes the math to the upside.

2) "Retail" is ~20 different businesses, and a lot of assets in different stages of maturity and profitability some are incredible (prime/marketplace/ads) some are new (Alexa/Kuiper) some are losing a lot of money and it remains to be seen if they will be good (various international/). IF Amazon management is unwilling to show profits in retail (and they could) and insist on reinvesting all profits into new businesses with uncertain payoffs--it would be a bad development that just makes the stock less attractive

what I don't do--and what it seems like you do--is get hysterical about one quarter (you were posting in five minutes after AMZN reported into the after hours) and extrapolate into 2024--especially given how things have been this year

Subject Re: Re: Winbrun - honest question
Entry 11/01/2022 01:03 PM
Member mip14

re: posting 5m after the quarter. I think its notable no company has ever lost more money then AMZN. That is an output of the print. Its simple math. Takes less than 5 minutes actually. btw, feel free to read my comments on AMZN since earlier this year (comment 29 is a personal favorite). I am not reacting to the tape. I am communicating to VIC now is the time to press the short because there is a paradigm shift occurring which I have been waiting for all year. Take it or leave it.

Also, **your lack of hysteria is exactly the punchline of my minsky moment comment**. Just to round out this point. **Now is the time to get hysterical**. There is something very bad happening and the numbers aren't close to OK, they are awful. This is the time to panic, assess, and reevaluate. While people do this, this will de-rate AMZN to a more normal and reasonable valuation. That is why good short sellers are able to press the short. Its take times for longs to get hysterical. Thank you for proving the point I am trying to make.

Btw, I wish I had gotten more hysterical for almost all my losers over time... Speaking from painful experiences.

Subject Re: Re: Winbrun - honest question
Entry 11/01/2022 01:12 PM
Member BigbetBarmouth

Winbrun sorry I don't mean to pile on you but I have quite some issue with your logic of "when will I be wrong". I recently had this discussion with a friend on Hellofresh, I asked him the same exact question 6-8 months ago - when are we proven wrong? His answer was very similar to yours- if subscriber growth materially slow down or decline. The stock is down 70% and that hasn't even happened yet. The point I am trying to make is that you really want to avoid a situation where the condition of being proved wrong is also the condition of significant loss. If AWS grows 10-12% and EBIT margins fall to 20% in the near future I would argue you are going to be in a world of pain and it will be too late.

Subject Re: Re: Re: Winbrun - honest question
Entry 11/01/2022 01:24 PM
Member WinBrun

i mean why is that notable? it is arbitrary number at a point in time that doesn't mean anything without context. it is like saying no company has ever had as big of a cloud business or sold as many phones—it is snapshot that doesn't tell you where the stock is going to be in 2024—

we really may just have a different timeline. I would accept that anything can happen in seventh month time-frame-(post 29). As I have said to you in prior posts—great job calling the direction this year. you have been unequivocally right on Amazon stock this year.

But I think that is fundamentally different than being right on the stock in 2024—or that retail is worth zero. I don't believe you had made that case at all-and it is just sensationalism in my opinion to call retail a zero based on a cursory look at the cash flow statement. that is conflating a great directional call on a factor (though still don't know what you are really short) with a long-term fundamental short based on Amazon Retail being an uneconomic business.

I think you have to take each stock individually. I have no opinion on MSFT/Apple really (goog I think has very favorable risk/reward here)—but on Amazon—I think

1-cost come down in 2023

2-AWS growth accelerates

3-Profit scales dramatically --as investments in productivity/cost reduction start to show, currency swings, and a business that is more right-sized for projected growth shows that it can earn a lot of money. 2022 will prove to have been an aberration—Amazon way overinvested in logistics—based on demand that did not materialize—and it took/will take several quarters to unwind. but the problems are eminently fixable—and the underlying core businesses are healthy and increasingly dominant and still very small.

on sum-of the two-parts—Retail/AWS hard to for get less than an consolidated \$900B—so the risk/reward is favorable.

Subject Re: Re: Re: Winbrun - honest question
Entry 11/01/2022 01:26 PM
Member WinBrun

I agree that it is too late once it happens. I think the probability of that happening is low—and the upside is worth the risk long-term—I was just identifying what would be thesis changing. I am not saying I would be able to anticipate. size/trade accordingly.

Subject Re: Re: Re: Re: Winbrun - honest question
Entry 11/01/2022 02:01 PM
Member rookie964

I think what we are really seeing is a repricing of risk in the market. The move in rates has repriced assets that trade on a theoretical cash flow yield at some determined point well beyond the investment horizon of most (eg 2035). AMZN to me is a bit perplexing. I get the thesis and in fact I was a believer in the thesis in 2020. That said, despite a massive and what appears to be sustainable step up in revenue, this company simply cannot hit numbers and consistently burns cash. I no longer give the company the benefit of the doubt on a SOTP basis and have come to question whether the rest of the business is even viable. Is the business model of delivering everything to your house on a daily basis profitable. The "subscale" response to this seems to lose its credibility every earnings print. I also am more skeptical that cloud is the growth vehicle it was. It is more penetrated today than pre-COVID and I have concerns over competition and returns in the future. Ultimately, this is a name that very well could be flat or down over the next 5 years as cash flow generation continues to disappoint.

Of note, I don't think Hello Fresh is a great compare but do get the point. They saw a massive deceleration in growth via increased churn last year and a significant step up in marketing spend to maintain too line guidance.

Subject Re: Re: Re: Re: Re: Winbrun - honest question
Entry 11/01/2022 02:36 PM
Member WinBrun

I completely agree with this framing. The main question for Amazon over the next three years, assuming revenue growth is between 8-12% is can Amazon grow revenue above costs in the retail business. Cost growth (and funding of money-losing/long-term non-core businesses (even though many are strategic) was tolerated-and embraced-when top-line was growing 20%+ and capital was free. Bezos as CEO also had as much credibility to operate the company this way as any.

Going forward--the worry would be two-fold--1) Amazon cannot grow revenue above costs in retail 2) they do not have organizational psychology or mandate to do it. part 2 seems unlikely--but managing the business for a slower top-line is a major philosophical change. it is hard to overstate how radically the environment shifted on Amazon in one year. the business grew revenue 20% every year since it went public (except for 2001). this included the recession. The revenue of the company >2X from 2018 on a base of ~\$200B. the compound revenue growth 2020-2021 was 67%. we are witnessing a fairly incredible change in growth trajectory (potentially) and that growth embedded a lot of business practices an culture-that on the margin is a little tougher to support now. biggest risk and biggest opportunity. my (other bulls) bet is that Amazon will almost have no choice but to show how profitable retail is/can be over the coming years if growth is sub 20%.

Subject Re: Re: Re: Re: Re: Re: Winbrun - honest question
Entry 11/01/2022 02:45 PM
Member BigbetBarmouth

Maybe Bezos saw it coming and left at peak Amazon.

Subject Re: Re: Re: Re: Re: Re: Re: Winbrun - honest question
Entry 11/01/2022 02:47 PM
Member mip14

<https://twitter.com/jeffbezos/status/1526574968158314496>

Subject Re: Re: Re: Re: Re: Re: Re: Winbrun - honest question
Entry 11/01/2022 03:01 PM
Member WinBrun

he owns about 10% of the company and is still executive chairman. not like he fled. more likely, the job description changed in a way that he no longer found fun/was as well-suited to (deal with regulators/politicians/unions).

Subject Re: Re: Re: not sure
Entry 11/01/2022 03:19 PM
Member NPComplete

I am not involved but fwiw the "remaining company" ex-AWS compounded revenue and gross profits at over 20%/year for 20 years without using external capital (the \$1B convert raised prior to dot-com crash was never used)... The business is stronger today than it was 20 years ago. I doubt it will go bust.

Some of the bearishness I see on tech is the mirror image of the bullishness I saw just 12- months ago - when 25x Ev/Sales seemed reasonable to people....

Subject Re: Re: Re: Re: Re: Re: Re: Winbrun - honest question
Entry 11/01/2022 03:22 PM
Member NPComplete

He isn't as involved. When you buy a \$500M yacht you are a different person than... This was the old Bezos... <https://www.youtube.com/watch?v=OOmsLIZPaxA>

Subject AMZN Advertising Hiring Freeze
Entry 11/02/2022 12:24 PM
Member mip14
<https://www.bloomberg.com/news/articles/2022-11-01/amazon-freezes-hiring-levels-in-profitable-advertising-business>

I think this is a clear sign of future weakness. This was supposed to be a growth engine. Now AMZN is cutting back. Almost all hiring freezes YTD have been signs of management acknowledging growth red flags.

The probabilities the 'wheels fall off' are increasing.

Subject Amazon Is Pausing Hiring for Corporate Workforce (WSJ)
Entry 11/03/2022 01:40 PM
Member mip14

Growth must be slowing badly. AMZN has announced a hiring pause like every day this week for various divisions.

Funny to think that just a few weeks ago AMZN entering healthcare...

Even if you are a LT bull, AMZN is now a full restructuring story and these things take time, especially for companies as big and unwieldy as Amazon.

Greenlight to stay short (epic cash burn, hiring pauses, huge fixed cost de-leverage into economic turbulence). This needs to trade at a fwd P/E multiple at some point...

Subject Re: Amazon Is Pausing Hiring for Corporate Workforce (WSJ)
Entry 11/03/2022 02:26 PM
Member marwari25

Amazon has no floor. I am not sure it is a no brainer, even at \$50. If it gets there soon enough, there will be plenty of other stocks where one can have 3-5-10x returns.

Subject Re: Re: Amazon Is Pausing Hiring for Corporate Workforce (WSJ)
Entry 11/03/2022 02:30 PM
Member NPCComplete

please share some 3-5-10x return ideas :)

Subject <https://www.wsj.com/articles/amazon-has-launched-a-cost-cutting-review-focused-on-unprofitable-business-units-11668094823>
Entry 11/10/2022 10:49 AM
Member WinBrun

few companies core profitability (1P/3P/UK/Germany/Japan/Ads) as obscured as Amazon. this is a good start.

Subject 3rd Party Profitability
Entry 12/01/2022 02:46 PM
Member honeycreek

Consensus estimate for 3rd Party GMV in 2023 = \$487bn at a 13% take rate = \$63bn. \$63bn + 44bn in advertising = \$107bn in take rate type revenue. Shouldn't this be very high margin (50%+)? Yet, Amazon is projected to lose money in the retail business as a whole in 2023. It's hard to imagine that Amazon loses money on FBA. Maybe Amazon loses a bit of money on 1P as a CAC cost, but I wouldn't expect these losses to be large. I feel like an idiot...what am I missing here?

Subject Re: 3rd Party Profitability
Entry 12/01/2022 04:02 PM
Member WinBrun

international losses and then the general worry/concern that a Amazon is going to continue funding money-losing non-core businesses. on \$500B in retail revenue is very hard to believe that the business could not earn 10% EBIT margins if you strip-out the international losses/non-core investments that are all op-ex with no revenue/profit. International has profitable markets (UK/Germany) and money-losing markets--

some bears (welcome back mip--I kind of missed you...not that much)----believe retail is structurally unprofitable. I think we are seeing the unwind of two major transient factors--1) overhiring/non-core investment on the back of 20%+ growth for almost two decades (and almost 70% 2020-2021) and 2) rationalization of logistics expense for new a lower (but still respectable) level of growth in retail.

Subject Re: Re: 3rd Party Profitability
Entry 12/02/2022 02:28 AM
Member yxd0950

JD already hitting 5% operating margin with a full scale end-to-end 1st party logistics network in a terrible retail environment in China. And they said they still see a ton of improvements and efficiency gains ahead.

Subject Re: Re: Re: 3rd Party Profitability

Entry 12/02/2022 08:38 AM
Member honeycreek

Good example, thank you. Seems closer to 3% after accounting for the unallocated corporate expenses, but still a solidly profitable 1P business. Makes Amazon's 3P losses even harder to understand.

Subject Re: Re: Re: Re: 3rd Party Profitability
Entry 12/02/2022 08:49 AM
Member ThatDu04

Another 3p example, Allegro in Poland is a mainly 3P business and had over 50% EBITDA margins for multiple years before they made a choice to invest in heavy logistics in last couple of years and acquired a more 1p heavy business.. still have mid 30s EBITDA margins.

3P can definitely be profitable so I don't know why its not for amazon

Subject Amazon is gutting its voice assistant, Alexa. Employees describe a division in crisis and huge losses on 'a wasted opportunity.'
Entry 12/05/2022 07:52 PM
Member mip14
<https://www.businessinsider.com/amazon-alexa-job-layoffs-rise-and-fall-2022-11>

During the **first quarter of this year**, Amazon's "Worldwide Digital" unit, which includes everything from the Echo smart speakers and Alexa voice technology to the Prime Video streaming service, **had an operating loss of over \$3 billion**, according to internal data obtained by Insider.

Compared to AMZN oil & gas companies are excellent capital allocators. Doesn't get much easier then long xom/cvx short amzn in mega cap land (implied next 12 months FCF yield of this pair trade is ridiculous). The minsky moment is playing out.

#4/28/23 #4/28/25

Subject Re: Amazon is gutting its voice assistant, Alexa. Employees describe a division in crisis and huge losses on 'a wasted opportunity.'
Entry 12/05/2022 08:59 PM
Member gocanucks97

With the way Qatar built cities/stadiums for show and Saudi threw insane money at star athletes across sports, I can't help wondering if we are seeing peak energy prices. It just feels wrong if this can be sustained.

Subject Re: Re: Amazon is gutting its voice assistant, Alexa. Employees describe a division in crisis and huge losses on 'a wasted opportunity.'
Entry 12/06/2022 01:56 PM
Member mip14

Tech seemed bubbly when they made Silicon Valley (the show, great show, much better then the junk on NFLX). Guess what? it ripped into a MOAB for several years after. Not playing for the energy blow off top bubble but there is a lot of room to run. Got to the point that people started thinking things like ROKU/TWLO are cheap despite deeply unprofitable earnings.

SLB 14x 2024 and AAPL 21x... dont over complicate it. long energy short tech continues to be the play here.

Back to AMZN -> anyone have any theories why this stock goes down everyday? Are people pressing short here. It seems like the wheels are completely falling off. If this is a roll-up about to explode, maybe I am wrong in thinking incremental short dollars shouldn't be applied here.

Curious to get the AMZN debate going since its seems like its ripe for misunderstanding here.

Subject Re: Amazon is gutting its voice assistant, Alexa. Employees describe a division in crisis and huge losses on 'a wasted opportunity.'
Entry 12/07/2022 09:34 AM
Member WinBrun

as mentioned many times in the thread, these losses are non-core i.e. Amazon could cut them tomorrow and it would no little to impact on Prime/Ads/Marketplace/AWS. that is a different dynamic I think than O&G where some of the capital investment is inherently speculative but necessary. Amazon has been pretty clear from the beginning that they are going to make large long-term expensive bets on things that might not work out.

Big tech (Goog/Meta/Amzn), Amazon specifically, remain unique in that there are whole segments of the P&L that are generating losses are not driving/related to the core businesses (each is different). that does not mean they are going to rationalize the spending, but it means the opportunity here--i.e. the immediate benefit to the P&L from cutting 5-10B in non-core spending AND managing costs a little tighter--is likely a dollar-for-dollar benefit pre-tax to GAAP income. not aware of many businesses that could theoretically cut so much spending without any impact to core business or risk to long-term competitive position.

the debate is pretty well fleshed out at this point. Bulls believe that AWS/Core retail are small relative to market size, have many years of growth ahead, are great businesses and likely have core earnings power that is masked by a lot of different investment/non-core expense that is going to be reduced/rationalized over the next two years revealing earnings power and FCF well above consensus and at a level that will make \$900 EV look cheap. bulls believe fundamental downside is ~\$800b--here-the upside is very substantial if both AWS/Retail can profitably grow for a decade+--the balance sheet is one of the strongest in the world, and the overhang right now (no FCF/recession/over-spending during Covid/undisciplined cost growth--are all transitory.

The bears believe that that bulls are deluded--20+ years, \$500B in revenue, and still burning cash. Online retail is structurally challenged business with low margins/AWS is too early to know a) long-term durable revenue growth rate; b) long-term margins--therefore its premature to put a large multiple on it.

The stock is probably down because other big tech out of favor, other big tech offers FCF/buybacks/--near-term profitability is murky, unprofitable tech multiples have compressed, uncertainty around how AWS/Retail will do in a recession--and unlike apple/MSFT/Goog--harder to define a logical investor base for Amazon given growth want 20%+ top-line, and value want dividends, buybacks, demonstrated FCF. too much uncertainty around Amazon in a market that wants certainty.

to press the short on a fundamental basis, I think you need to believe that AWS/Retail are both substantially overvalued here----which really means you probably need a view that Retail is worth 50-\$100B-----I think if you value retail at 200-\$400B----it is very hard to make a case that Amazon is fundamentally overvalued here if you look at three years and believe AWS is generating 140-160B in revenue at same operating margins-----I personally think retail is going to become one of the best and most profitable businesses in the world--so that presents major upside-if we look at three years-and retail is generating \$600B in revenue and has \$60B in earnings power. that would make this price one of the best-risk/rewards for Amazon in some time.

Subject	ecomm margins
Entry	12/08/2022 08:18 AM
Member	WinBrun

This tweet sounds like the CEO of Walmart saying that the he expects e-commerce (when including ads and marketplace) to have higher margins than legacy bricks and mortar—which in the U.S.—was near 7-8% at one point. with automation, he expects it can improve.

that almost sounds like Amazon.



modest proposal

@modestproposal1



Fascinating comments here from the CEO of WMT talking about the ecomm biz and profitability. Says it's about mix of product, mix of 1P vs 3P, success in membership, advertising, etc, but at scale, the biz will have higher margins than the legacy B&M biz. That is... unexpected.
pic.twitter.com/DmY6Re9WLG

12/7/22, 5:06 PM

Subject Re: ecomm margins
Entry 12/08/2022 08:23 AM
Member mip14

I don't get it. AMZN has scale. Its freaking massive. They just lost more FCF on retail the last 12 months than any business in the history of businesses. Yes this year is bad, but I can't wait to see how high margins are in 2023/2024.

Also this is 12 years into bull market, 3.5% unemployment, stimmy, etc. Wait til economy collapses. It will happen eventually just cause crises do happen. If Amazon has to raise equity you heard it here first.

Subject Re: Re: ecomm margins
Entry 12/08/2022 08:37 AM
Member WinBrun

at the risk of exhausting this—you keep defaulting to scale and time as the markers that Amazon should be profitable-and pointing to a trailing snapshot that happened after the business 2x the logistics network in two years after the revenue grew ~70% compounded—maybe that is not the most normalized environment t from which to draw any conclusions... the demand did not materialize. they are unwinding that. they are running-maybe 10-15B in losses through the retail P&L UNRELATED to the core retail business. the North America retail business was profitable every year up until this year (see below).

I think you have to believe that a) they are going to keep running losses in non-core businesses b) they can't economically unwind/rationalize the logistics build.

the CEO of Walmart is telling you that general merchandising ecommerce w/marketplace/ads at scale is higher margin than physical stores-it has a better P&L—automation is going to improve it more—he is describing Amazon, without the labor costs from physical burdening ecomm P&L

Subject Re: Re: Re: ecomm margins
Entry 12/08/2022 09:43 AM
Member pcm983

do you believe the walmart ceo though? or is he using some classic look over there to distract from his B&M challenges - I believe that's the main reason for WMT's ecom focus the past few years

Subject Re: Re: Re: Re: ecomm margins
Entry 12/08/2022 09:59 AM
Member Light62

Forget believing him about his expectations - even if, in his heart of hearts, he actually *believes* that why should we care all that much? How could he even know with a high degree of certainty what a new, untested business model looks like at stable scale? No one's ever done it yet, no one really knows the competitive pressures these business will face when they start taking margin, no one knows how price sensitive consumers will be, no one knows if intermediaries will come along who comparison shop items across platforms for consumers, etc. Why not chalk his views up to hope and motivated reasoning? The Tweet WinBrun links to says that the CEO's view is "unexpected" - maybe that's because it's just wishful thinking and not true.

Subject Re: Re: Re: Re: ecomm margins
Entry 12/08/2022 10:02 AM
Member WinBrun

I believe him. he is really saying that general merchandise at scale in ecommerce with ads/marketplace/membership is a fixed cost business-with labor being the variable cost--which can be potentially minimized through automation in warehouses (see Amazon as the largest commercial robotics company in the world). I don't think WMT would try to build out membership/marketplace/ads if they thought those were decremental to the overall economics of the business--

Subject Re: Re: Re: Re: Re: ecomm margins
Entry 12/08/2022 10:07 AM
Member WinBrun

I mean we do know some of this. online is 15-20% of total retail spend depending on the category and market. they have customer cohort data and we have a lot of rough comps to look at. they can look at unit economics and contribution by category.

we care in the context of this debate regarding whether Amazon can be profitable on \$500B in retail sales with a large mix of that coming from the business segments (ads/marketplace/membership fees) that the CEO of the largest retailer in the world is telling you are more profitable than then legacy physical model

Subject Re: Re: Re: Re: Re: ecomm margins
Entry 12/08/2022 10:19 AM
Member Light62

>coming from the business segments (ads/marketplace/membership fees) that the CEO of the largest retailer in the world is telling you are more profitable than then legacy physical model

As I read it (and as you describe it in 188) he is telling you he *thinks that it will be* more profitable than the legacy physical model not that it *is* more profitable. Clearly it isn't more profitable today so he is making assumptions about: consumer habits/expectations, competitive developments, disintermediation, returns on capital etc. that have not yet been truly tested and about which he cannot/does not have perfect knowledge. Sure, he's well placed to opine on these matters but that doesn't mean he's necessarily right; to some extent he *needs* to say or believe these things - he's probably not getting the job if he doesn't.

Subject Amazon Launches TikTok-Style Feed in Push to Accelerate Social Shopping
Entry 12/08/2022 12:53 PM
Member mip14

<https://www.wsj.com/articles/amazon-launches-tiktok-style-feed-in-push-to-accelerate-social-shopping-11670476199>

these are all serious red flags - the company has no focus and is somehow launching things like this instead of getting its main business right. The odds that this our generation's GE is rising dramatically.

Subject Re: Amazon Launches TikTok-Style Feed in Push to Accelerate Social Shopping
Entry 12/08/2022 01:18 PM
Member WinBrun

<https://www.chicagotribune.com/news/ct-xpm-1999-07-14-9907140122-story.html>

no focus.

the GE comparison is wrong for so many reasons. First, GE capital and leverage really were the main problem. Amazon has one of the strongest balance sheets in the world.

Second, almost all (granted there a few but they are tiny relative to the core) of the investments/adjacencies are strategic to the core business of retail. launching a new shopping format on mobile that leverages your logistics/Prime install base/merchandising teams/product detail pages--does not evince a lack of focus. it allows Amazon to potentially reach customers in different demographics/shopping modalities.

Subject Re: Re: Re: Re: ecomm margins
Entry 12/08/2022 01:19 PM
Member finn520

What do decremental margins have to do with anything? If the businesses have different capital intensity, I would expect the margins might be very different. Sam's Club has way lower EBIT margins than Walmart U.S. but management would put money there all day long if it had a good ROE, which it does because they have higher asset turns.

To back up Light's point, there are dozens if not hundreds of examples of highly profitable physical retailers over the past few decades. How many sustainably profitable e-commerce companies are there? You can count them on one hand, even if you have lost a few fingers in a combine accident. It's not at all clear that e-commerce isn't a terrible business and these guys are all smoking hopium. It's like Zaslav or any of the cable networks guys talking about the future glories of streaming. Buddy, you had 55% EBITDA margins at Discovery U.S. because you were part of a cozy distribution oligopoly, not due to your managerial brilliance or some kind of divine right. Welcome to the new world.

Subject Re: Re: Re: Re: Re: Re: ecomm margins
Entry 12/08/2022 01:38 PM
Member WinBrun

they don't have anything to do with it. of all companies that would not confuse higher margins for a better business--Walmart (Costco) top of the list. that is fair point---it clearly looks like it much harder to build a sustainably profitable model online. probably creates greater dispersion between winners/losers. this was really only in reference to the argument that Amazon retail is an uneconomic model. the spirit of the back and forth- "better P&L" seemed to suggest otherwise if a company could scale and sustain advertising/marketplace/membership.

I completely agree with you--doubtful Walmart wants to enter online any more than Discovery wanted the bundle to break.

Subject Re: Re: Amazon Launches TikTok-Style Feed in Push to Accelerate Social Shopping
Entry 12/08/2022 01:48 PM
Member mip14

AMZN has a ton of leverage. its called operating leverage. its called leases. This is shown by the fact that they just lost like \$30bn in FCF before SBC. If this didnt have a cult following and we weren't still in an asset bubble, the narrative could be very different.

also this company is showing very poor capital allocation recently. Kudos on AWS but since then everything else is pathetic. They are losing tens of billions on Alexa - are you kidding me.

Subject Re: Re: Re: Re: Re: Re: ecomm margins
Entry 12/08/2022 01:51 PM
Member mip14

Great point re: Discovery. Its amazing people were like NFLX margins will eventually reach cable. Guess what - cable's attempt at streaming is helping them reach NFLX! NFLX made no FCF LTM after SBC. 223m subscribers and no profit... but one day they will reach scale. #definescale
 #whenwas223msubsnotscale

Competition is great for consumers but not necessarily corporates profit margins.

Subject Strikes
Entry 12/19/2022 10:49 AM
Member mip14

AMZN may have to deal with strikes in UK/Germany.

Its hard to imagine running a company burning so much cash and also have to deal with strikes.

The wheels may come off soon and if AMZN's profits are even worse next year there could be a liquidity issue.

Sad that the most recent AMZN headline has to do with NFTs... management needs to get their act together. I dont think this company can keep losing \$50bn in a year in cash flow.

Subject Re: Strikes
Entry 12/19/2022 05:36 PM
Member Wrangler

mip, I think your posts generally add value and you should keep them coming, but you don't really think AMZN is "losing" \$50 billion a year in cash flow do you?

Subject Re: Re: Strikes
Entry 12/19/2022 05:53 PM
Member mip14

•Free cash flow less principal repayments of finance leases and financing obligations decreased to an outflow of \$28.5 billion for the trailing twelve months, compared with an outflow of \$8.8 billion for the trailing twelve months ended September 30, 2021.

I treat SBC as a real expense and its what \$20bn?

\$48.5bn is close to \$50bn

Stay short!

Subject Re: Re: Re: Strikes
Entry 12/19/2022 07:39 PM

Member

Wrangler

There's a reason I quoted the word "losing", as in the cash is "lost." I.e. it will not result in any future benefit.

Subject Re: Re: Re: Strikes
Entry 12/19/2022 09:24 PM
Member mip14

What will it take for people to realize that AMZN's isn't some omnipotent Godlike company where every dollar converts into a 20% ROIC? In reality, its an internally driven roll-up of disparate businesses that squeezed every single drop of the MOAB lemon. The free money era is over...

Thats not to say there isn't a price to take a flyer - but you got to wait for \$50 (at best) for that. Then maybe AWS free and retail is worth \$0.

The sad thing is if unemployment doubles and rates need to stay 5% a year for a while this company is beyond toast. The same really can't be said of a lot of other companies I am short which are just extremely expensive but maybe not toast.

Lets see - first need to get to Winbrun's 1 and 3 year bet. Since, you know, mip is really academic.

Subject \$1
Entry 12/20/2022 09:20 AM
Member WinBrun

I think that is a general mischaracterization of the bull view. most bulls think AWS/Retail should be valued separately-thus you need to disaggregate the cap-ex for each (part of Wrangler's point-as 15-20% of the total cap-ex is growth capex-i.e. new regions/availability zones for AWS). AWS is \$80B run-rate 30% EBIT margins growing 20-30%, depending. value how you see fit.

retail is a not roll-up--is just a consolidation of several different businesses (and assets-most developed internally) that are in different stages of growth, maturity and profits but are unified because they generally all leverage the same customer base and physical infrastructure (and digital infrastructure i.e. a fraud detection algorithm that takes 100 engineers to build can be leveraged globally across every country)--that makes AMZN distinct from GE or the myriad of public market roll-ups where disparate businesses, a lack of operational synergy, unstable end-markets or debt caused problems. Amazon funded all growth organically and has no financial debt-so it is probably less of a beneficiary of low-rates-----

We can agree to disagree whether a company that spent close to \$500B in cap-ex-last ten years to move from 2 week delivery to 2-hour delivery with 200mm+ household subscribers spending about \$1000/year (Prime) + more discretionary non-core costs than almost any peer that could be cut would be "toast" under your scenario. the near-term for Amazon is in my view mostly dependent on the decisions that Amazon management makes regarding costs/balancing long-term investment and near-to-medium term free cash flow (versus the economy). but that is still is a risk.

*didn't say you were academic. just the debate was.

Subject Red Flag
Entry 12/22/2022 12:57 PM
Member mip14

I know someone that ordered nearly \$400 of stuff on AMZN. There was an issue with parts of the order. When reached out to AMZN to return items / get correct items AMZN just said: "Sorry for the inconvenience you can just keep it." The whole basket.

Sounds like a common sense money losing business to me!

As I've said in prior posts, Amzn is the GE of this cycle, cash burn as a service, into a recession. Have fun buying this stock down!

Subject Leaked internal documents show Amazon is cutting costs further in anticipation of a severe economic downturn
Entry 12/22/2022 01:39 PM
Member mip14

<https://www.businessinsider.com/leaked-report-amazon-cost-cutting-next-year-layoffs-2022-12>

As I said before, the shrink to greatness hasn't worked for any momo tech company, and it probably won't work for Amazon.

Subject Re: Leaked internal documents show Amazon is cutting costs further in anticipation of a severe economic downturn
Entry 12/23/2022 10:26 AM
Member WinBrun

would argue that this is another mishcharacterization. Technically, they are "shrinking"—but the context is growth of 70% in two years and doubling of the logistics capacity that may have been designed to support retail revenue growth—(maybe at 25%) per year through 2025. They are changing their plan based on the world changing—that seems reasonable. If you think that online retail is mature/bad business—then you are closer to right. If you think that online retail remains a secularly growing business (albeit it at a smaller rate) and Amazon retains a good competitive position in the market and can grow revenue faster than costs over the next three years—seems like a wise move to try to match costs to new expected level of revenue growth given that the economic environment changed—not sure why this is such a radical move—it would be more radical if they did nothing.

A good time to buy a stock is often before a change in capital allocation/operating strategy that is going to cause major upward revision is earnings per share (and will actually drive earnings per share). Apple at low P/E pre-the buyback. Coke in the early 80s when Goizueta refocused the business, sold the bottlers and started buying back a lot of stock (not coincidentally around the time Buffett bought each). Great businesses—that languished until new management made some simple but very effective changes that grew FCF meaningfully over the following several years.

I think we could have a similar phenomenon with Amazon if three things are true; 1) the Jassy regime changes how they allocate capital and manages the business (buybacks and dividends over the next few years as opposed to wide menu of expensive moonshots and reinvestment all of all contribution profit into money-losing businesses); 2) the core retail business (1P/Prime/Marketplace/Ads) is a very profitable business that has been obscured; 3) this is a semi-permanent change.

If Retail for example, can earn 8-10% EBIT margin on \$500B in revenue and Amazon actually shows this earnings power to the market and allocates some of the FCF to buybacks/dividends (as the three megacap tech peers have done)—the stock is very cheap.

You seem to believe that a consolidate (granted enormous) FCF burn this year is dispositive that Amazon is GE and the model only works in a zero-interest rate environment/Amazon is still extremely overvalued.

I think there is a very different and likely reality that Amazon Retail is a profitable and defensible, will grow for many years, and will evolve its capital allocation and investment in a way that reveals this underlying profitability over the next three years. the risk is not that Amazon is GE—the risk is that they are somehow culturally unable to manage the business to balance near-term profitability with growth and moonshots—versus being heavily weighted to the latter—this is very much within their control—but that does not mean it will happen.

this would be also be wrong if we enter a terrible recession and Amazon's business is more economically sensitive than expected (given more apparel versus less grocery for example). there is a fundamental bear case to be made that Amazon's business is vulnerable in a recession because basket size/frequency/Prime/Ads retention will be negatively impacted and Walmart/Costco/Local-low-cost retailer will take share because grocery/bulk wholesale will provide more value—AWS will also have a material deceleration. you are not making that case in any fundamental way—but there is some chance. equally, if not more, likely that amazon takes market share in a down economy if prime customers find more value in the service in a tough economy—

is retail a bad business that was covered up by revenue growth and stories—or is retail a great business that was covered up by unprofitable-long-term bets and capital investment and hiring designed to meet demand 3-5 years from now that needs to be right-sized but will. we will see.

Subject	Has there been any company the last 2 years that did massive layoffs and the stock worked after?
Entry	01/05/2023 10:22 AM
Member	mip14

Amazon will lay off more than 18,000 workers

Subject	Re: Has there been any company the last 2 years that did massive layoffs and the stock worked after?
Entry	01/05/2023 12:21 PM
Member	Nails4

AMZN mgmt has to create a sense of urgency to enact meaningful change. The recession could be a blessing in disguise for them.

The best thing that can happen to AMZN today is for the mgmt to realize that retail is no longer a fast growing business and run it accordingly. If I were a shareholder, I would be very happy if retail can be a 8-12% type grower but with meaningful profitability and FCF. The maturity of the business is reality but the mgmt's mindset seems about 3 years behind the curve. If they keep spending insane amounts of money to drive the next leg of hypergrowth for retail, they'll end up lighting hundreds of billions of \$ on fire with no return.

Subject	Re: Re: Has there been any company the last 2 years that did massive layoffs and the stock worked after?
Entry	01/05/2023 12:30 PM
Member	mip14

I think that's right. If we get a real recession, the stock is down 80-90% from highs, and they burn a few hundred billion in FCF it will force significant change that will drive the next bull run. Having said that 8-12% retail growth seems extremely unrealistic. I could see overall sales grow that fast due to AWS.

Subject Re: Has there been any company the last 2 years that did massive layoffs and the stock worked after?
Entry 01/05/2023 05:27 PM
Member Supernova
 Amazon has 1.55MM employees. The lay off is 1.1% of their employee base. Far from massive.

Subject Re: Re: Has there been any company the last 2 years that did massive layoffs and the stock worked after?
Entry 01/05/2023 07:28 PM
Member yxd0950

Cuts focused on the company's corporate staff exceed earlier projection and represent about 5% of the company's *corporate workforce*

-WSJ

Subject Amazon earnings
Entry 02/02/2023 05:50 AM
Member marwari25

Any longs or shorts - any view on the name going into earnings?

I remain bearish for several of the same reasons that mip14 has outlined.

Subject Re: Amazon earnings
Entry 02/02/2023 06:56 AM
Member Pluto
 Alt. data providers have them doing well on retail sales (outperforming consensus). No idea on costs this quarter, but Day 2 will be arriving sooner or later

Subject Re: \$1
Entry 02/02/2023 09:18 PM
Member mip14
 WinBrun - Question. You said AWS is 30% EBIT margins growing 20-30%. Correct me if I am wrong, but they are growing mid-teens into 1Q23 and margins seem to be declining (28.5% LTM). Do you see a re-acceleration at some point or have you de-rated your growth expectations. Thanks.

Subject Re: Re: \$1
Entry 02/03/2023 08:29 AM
Member WinBrun

I think it is worth distinguishing short-term versus long-term.

I guess I would expect some slow-down given that almost every business is experiencing a slow-down and is managing costs.

The long-term trends driving cloud adoption and the share of spend still on-premise seem fairly intact and so I would not over-interpret quarterly performance. same for margins.

In what was a difficult quarter for most companies large and small, Amazon grew advertising 19% (\$45B business), seller-services (probably the highest margin retail business) grew 20% (and is now a \$140+ revenue stream annualized) and AWS grew 20% is close \$85B annualized. These growth rates are happening on large base and are all structurally higher-margin than 1P retail and they are happening in a difficult economy.

within Amazon--there remain many different businesses in different stages of growth and profitability (within the international segment alone--UK/Germany/Japan are very different than Brazil/Poland/Turkey). there also remain non-core businesses with no revenue or profitability. You have to de-consolidate to get a view of the underlying earnings power. But it is nice to see three of the highest-margin/biggest market opportunity segments grow nicely.

Subject Re: Re: Re: \$1
Entry 02/03/2023 09:25 AM
Member mip14

Thanks - super helpful. I guess another way to ask is what is your expected AWS revenue growth rate off 2022 for next 5 years. Curious if its 10, 15, 20, 25?

Subject kuiper
Entry 02/11/2023 11:15 AM
Member WinBrun
<https://www.zdnet.com/article/amazons-kuiper-satellite-broadband-takes-a-big-step-forward-despite-spacex-objections/>

certainly hard to know whether this will be a large commercially successful business---though it has the potential to indirectly help Amazon grow through improved global connectivity which benefits amazon retail and aws

one wonders the total opex/capex for building and launching 3,236 satellites and the 172,000 square foot production facility that serves as the base of operations---whatever the costs (reports are \$10B in aggregate)--this is an expense that is totally unrelated to core profitability of retail---and should be deconsolidated--i

SpaceX raised \$750m early Jan that reportedly valued the business at \$137B-----one wonders what Kuiper would be worth? and whether Kuiper could eventually be a standalone company, possibly one that is merged with Blue Origin--or as a roll-up vehicle for other satellite based connectivity businesses (i.e. sats)

Subject grocery
Entry 04/27/2023 09:51 AM
Member finn520

Why isn't Amazon doing with grocery what is staring them right in the face?

They should launch a Trader Joe's knockoff (call it 365) that is optimized for pickup. 1) Trader Joe's has an amazing model and is killing it, and nothing about it is really proprietary. 2) WMT/TGT have figured out that buy online/pickup at store is a good model, 3) The super aggressive pricing by CPG companies gives a huge umbrella for a private label-focused model. 4) The interface is very easy to envision and Amazon already has the grocery presence via Whole Foods to get this launched.

Subject Re: grocery
Entry 04/27/2023 10:03 AM
Member WinBrun

they have been doing a lot with grocery. it is a major strategic focus. what you really mean when you say grocery is perishable/frozen. they already have huge center of store business online (paper products/cleaning supplies/pet/beauty/packaged food). where they have not had anything work at scale is perishable (outside of Whole Foods) with immediate fulfillment. they are working on it--but Amazon Fresh is probably not the model and Whole Foods is not mass market given the price point and assortment. in terms of perishables--it does not look like they are close to competing with WMT/Costco/TGT. It would scale faster if they could acquire something-but that ship has probably sailed.

you could argue whether they need it given that it does not seem to lend itself to 3P and it is really well-served today by big national and regional chains and it is low-margin and competitive and seemingly difficult to do with a large physical store base. but it is a giant category of retail they likely want to participate in.

Subject Re: Re: grocery
Entry 04/27/2023 10:53 AM
Member finn520

Yes, they seem to be doing a bunch of things with grocery but they are not doing the obvious thing. I am talking about perishables/grocery-like non-perishables, the things that fill my cart when I walk out of Trader Joe's every week, almost none of which I buy on Amazon.

Trader Joe's and Costco are different versions of the same model. 365 should have high private label, low SKU count, low price, I go online and click the order I want and pick a time window and drive to the store and pick it up. It's basically Trader Joe's but I just stop in a lane and they hand me my bags, or what I understand the TGT/WMT pickup models are.

They could compete with WMT/COST/TGT very quickly, and it would scale quickly. The bottleneck, aside from getting the right real estate, is building up the supply chain, which Trader Joe's has done really well - partly because they have done it a steady pace over a long period. Trader Joe's is highly profitable with great ROIC. Why doesn't AMZN just rip them off and add a few easy bells and whistles (mainly through existing AMZN accounts online) to make it attractive?

Subject Re: Re: Re: grocery
Entry 04/27/2023 11:19 AM
Member WinBrun

i think it is much harder to execute at scale than you are assuming. think about how big this needs to be for Amazon for it to be worth it (beyond a Prime benefit)—just the real estate footprint alone I would assume is a massive barrier given that food retail has been very resilient and many of the companies have been in the business for a long time and there probably are not 20 great locations per area for the model you are proposing. the companies that are good at it they you named have been in the business for a long time, have established supply chain/cold supply chains, have enormous scale, great real estate and have decades of experience is grocery, huge habitual shopping customer bases and are fantastic operators. I am sure of two things; 1) Amazon wants to be in grocery; 2) it is hard

Subject	Amazon Update
Entry	11/16/2023 09:03 AM
Member	WinBrun

the likelihood the Amazon is like GE continues to decline. despite the stock being up ~70% YTD, there are several fundamentally positive developments in the business that I think can meaningfully grow earnings for the foreseeable. In the quarter just reported, sales increased 11% and EBIT increased to \$11.2B from \$2.5B in Q2 2023, demonstrating the operating leverage in the business. there is a lot to be constructive on here...namely

1) Andy Jassy may be to Amazon what Tim Cook was to Apple. Andy Jassy inherited a lot of non-core bets that were greenlit before his tenure—I do not think we will see the same level of of non-core investment going forward. as has been stated on this thread many times, Amazon has a lot of expensive projects in different stages of development that were not generating revenue or profit—that obscured the core profitability of retail. On top of fewer large non-core investments, the business should start to generate meaningful free cash flow over the next few years—allowing for a return of capital that Amazon has not previously provided.

2) The progress in improving the cost and efficiency of the logistics network continues in force. Amazon just reported the faster Prime delivery speeds in the 29-year history of the company. it appears that moving from one national fulfillment network to 8 regional networks is delivering many operational and cost improvements. the leverage that Amazon's retail business has to faster, more cost effective delivery is immense...consider a few of the benefits

1) faster delivery drives higher customer conversion

2) faster delivery drives more repeat purchase

3) faster delivery drives more market share growth in everyday consumables and replenishment orders—thereby allowing Amazon to expand assortment of these items—expanded assortment then increases selection which drives more market share and allows Amazon to get frequent purchases across consumable and replenishment categories from more customers

4) faster delivery should create more predictable order patterns across more customers—this in turn should allow Amazon to better forecast and plan the business which should have positive effects on cost and accuracy-and customer experience—to the degree this creates more predictable order patterns in a geography—there is greater chance to optimize route density and routing algorithms—

5) faster delivery that drives higher conversion per session—should improve overall efficiency of the product detail page—Amazon can automate bundling, cross-selling, and up-selling per session with more use—this is a very unappreciated advantage—

6) Faster delivery—will make a Prime membership more valuable—can support more long-term pricing power in Prime—thereby increasing the subscription revenue base making Amazon's financial profile better—it can also increase Prime member spend and grow the overall number of Prime customers globally,

7) Faster delivery will make Amazon a more attractive platforms for more sellers—this has enormous benefits for FBA, advertising, and other logistics services

8) Faster delivery should improve the competitive position as a preferred logistics provider for merchants that do not sell on Amazon i.e. buy with Prime

In addition to the improvements in delivery cost to serve, speed and Prime, the advertising business is shaping up to be one of the most profitable and defensible in the world. At \$50B in revenue with 25% growth rate, the business would be near \$100B in 2026. next year, Amazon will introduce ads to all Prime video members-and given that Prime members are not going to cancel Prime because it has ads, this should be a new and sustainable source of ad revenue. there have also been several deals signed with social media platforms (Snap/Meta/Pins) that will allow users on those platforms to buy from Amazon in the feeds when they see an Amazon ad. Amazon will manage check-out and payments.

Subject	Post-mortem
Entry	05/01/2024 07:24 PM
Member	wfc

Perhaps early for a post-mortem but there was a lot to be learned from this discussion. Thank you to everyone who contributed.

With yesterday's earnings, bulls seem to have the upper hand:

-North America has a 5.8% margin. A lot of that is ads but that was always part of the take rate.

-International is profitable and produced ~\$1 bn in EBIT

-AWS has reaccelerated, is at \$100 bn in yearly revenues run rate, and made a 36% EBIT margin

Jassy is turning out to be a good CEO and, importantly, Amazon, which many value investors ignored for a long time due to lack of earnings/FCF just produced \$50 bn in FCF and is poised to produce a lot more going forward (even after added capex guidance for AWS). The big question now is what it will do with this cash flow going forward.

-wfc

Subject	Re: Post-mortem
Entry	05/01/2024 08:10 PM
Member	yxd0950

They have too many growth areas to invest right now to think about any form of capital return. As a bull, that's a good thing because it means they still have a long way of growth ahead of them.

International expansion, domestic expansion, healthcare, logistics as a service, AWS, video, ads, robotics, grocery... the list goes on. I argue none of the other mag 7 except maybe Tesla has so many areas it can invest in.

Subject	Re: Post-mortem
Entry	05/02/2024 08:45 AM
Member	WinBrun

it seems to me that Amazon has worked through a lot of the challenges that came with doubling the size of the logistics network basically from 2019-2022 and then running into a difficult macro and inflation. I would be surprised if there are many businesses that have ever improved free cash flow on the order of an outflow of \$4B in to ttm of ~\$50B. On TTM basis, the business generated nearly \$100B in operating cash flow.

There are a lot of reasons to remain very bullish here. A few:

- 1) Andy Jassy is a turning out to be an incredible CEO. Anyone interested should read his letters and listen to him on the calls. He is the exactly person that Amazon needs. To name just one example, I think A Jassy has totally changed the operating model and approach to Prime Video—he is going to run it to be profitable as a standalone business with a growing focus on advertising.
- 2) There is a growing level of financial discipline that makes a lot of the other bets unlikely. the big bets are more likely to be core to the business now.
- 3) I am not sure why North American cannot generate \$500B at a 10% EBIT margin by 2026 based on the current trajectory—international business is also inflecting to profitability in aggregate (UK/Japan/Germany) already profitable.
- 4) in terms of inputs to the numbers, the re-architecture of the logistics network to regionalize the model and the investment in same-day facilities is rocket fuel for this business—it fundamentally improves the business in major ways—lower cost to serve customers, happier customers due to faster deliveries, more re-orders, Prime is more valuable, allows for increased selection, likely ad inventory becomes more valuable— I am not sure that I am aware of a business that has as much leverage to an improvement in an area of core competitive advantage as Amazon does to continued improvement in delivery speed (and accuracy). the year-over-year-and quarter-over-quarter absolute and percentage improvements are stunning. t
- 5) AWS growth accelerating to 17% with EBIT up to \$9.1B from 5.4B is very positive. some of the AWS core advantages (security) position it well.not sure there is any reason to think that AWS still does not have a lot growth. AWS seems to be a on path to ~\$40B in EBIT and growth is may be accelerating.
- 6) advertising up 24% in the quarter and there is a path for ads to be \$100B+ by 2026-2027. this should drive meaningful margin expansion in N.A retail.
- 7) the financial position of the business is rock-solid. Cap-ex steps up this year beyond the mid-40B of last year—but Amazon seems to now be at a place where it can both grow free cash flow and make long-term, large capital investments to in large growth businesses on a scale and time horizon that few companies can make-it can internally fund all of it capital needs—and unlike some of its big tech peers and it still only represents a small percentage of the global market share in the businesses in which it operates and those markets continue to grow.